

The Colombo Fort Land & Building PLC



Annual Report 2015/16



Industrial Products



Consumer Products



Leisure



Plantations



Property Rental



Motors



Services



Investments



Manufacturing

The Colombo Fort Land & Building PLC

Annual Report 2015/16

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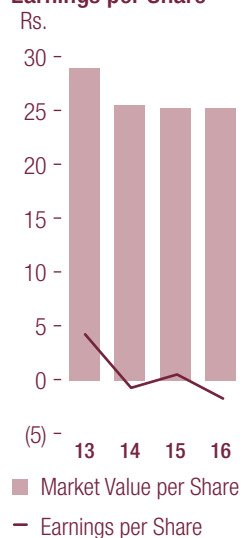
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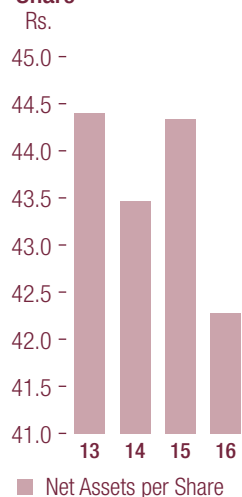
Group Financial Highlights

Financial Performance - For the year ended 31st March,		2016	2015	Change %
Revenue - Consolidated	Rs. million	36,860	35,385	4
Gross Profit	Rs. million	7,547	6,287	20
Share of Results of Associates (Net of Tax)	Rs. million	(10.7)	30.1	(135)
Profit before Interest & Tax (EBIT)	Rs. million	1,050	1,428	(26)
Profit before Tax	Rs. million	(538)	86	(728)
Profit for the Year	Rs. million	(698)	(248)	(181)
Profit Attributable to-				
Owners of the Company	Rs. million	(321)	57	(665)
Non Controlling Interest	Rs. million	(377)	(305)	(23)
Financial Position - As at 31st March,		2016	2015	Change %
Total Assets	Rs. million	40,403	39,463	2
Total Shareholders' Funds	Rs. million	7,611	7,979	(5)
Non Controlling Interest	Rs. million	4,169	4,374	(5)
Total Equity	Rs. million	11,779	12,353	(5)
Total Debt	Rs. million	14,798	12,324	20
Total Capital Employed	Rs. million	26,578	24,677	8
Net Assets per Share	Rs.	42.28	44.33	(5)
Market/Shareholder Information - As at 31st March,		2016	2015	Change %
Number of Shares in Issue	million	180	180	-
Market Price of Share	Rs.	19.50	25.20	(23)
Market Capitalisation	Rs. million	3,510	4,536	(23)
Price Earnings Ratio (PER)	No. of times	(11)	80	(114)
Key Financial Ratios - As at 31st March,		2016	2015	Change %
Gross Profit Margin	%	20.47	17.77	15
EBIT Margin	%	2.85	4.03	(29)
Interest Cover	No. of times	0.66	1.06	(38)
Net Profit Margin	%	(1.89)	(0.70)	(170)
Earnings per Share	Rs.	(1.78)	0.32	(665)
Return on Capital Employed	%	3.95	5.78	(32)
Return on Equity	%	(5.92)	(2.01)	(195)
Debt Ratio	%	70.85	68.70	3
Total Assets Turnover	No. of times	1.10	1.12	(2)
Current Ratio	No. of times	0.87	0.96	(9)
Dividend Cover	No. of times	(0.17)	0.95	(118)

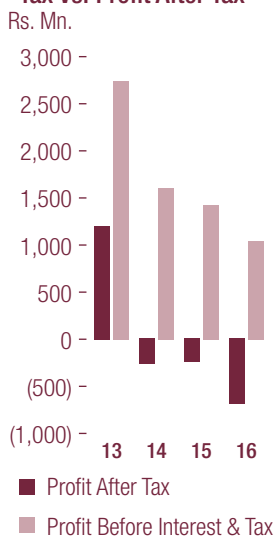
Market Value Vs. Earnings per Share



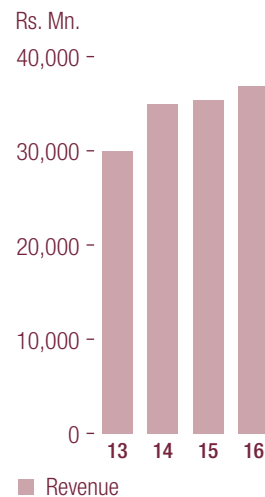
Net Assets per Share



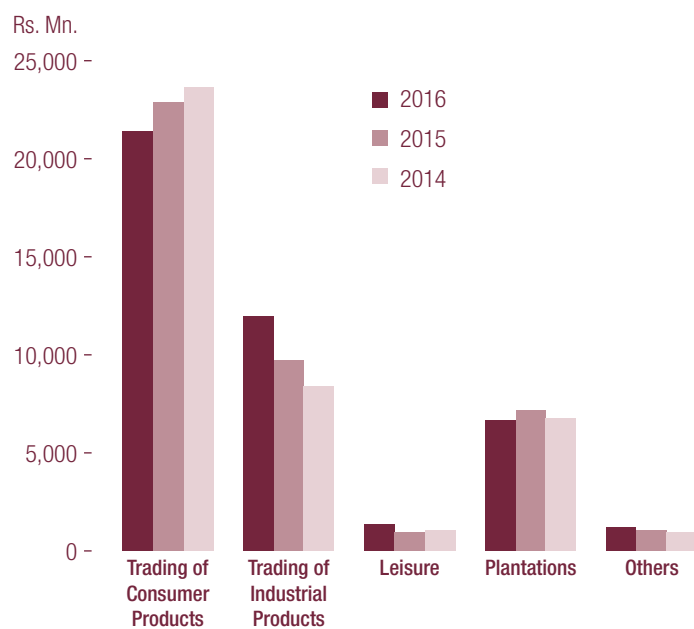
Profit Before Interest & Tax Vs. Profit After Tax



Revenue



Segment Contribution in the Group Revenue - (Gross)



Chairman's Review

On behalf of the Board of Directors it gives me great pleasure to present to you the Annual Report and the Audited Financial Statements for the year ended 31st March, 2016.

For the year under review the Group recorded a turnover of Rs. 36.9 Billion an increase from Rs. 35.4 billion in the previous year while at Company level the turnover reduced marginally from Rs.105.2 million to Rs. 95.5 million.

Unfortunately, at Group level a loss of Rs.697.7million was recorded for the Group. Correspondingly at Company level profit increased significantly from Rs.65.9 million to Rs.135.4 million.

The increase in losses at Group level are directly linked to the worsening performance of the Group's plantation subsidiaries. Both Agarapatana Plantations Limited and Kotagala Plantations PLC have been impacted by the fall in price of the commodities. The plantations were also impacted by adverse climatic conditions which resulted in significant declines in crop.

Both E.B. Creasy & Company PLC and C.W. Mackie PLC have performed exceptionally well during the year. Both companies have a presence in the competitive fast moving consumer goods sector. Their product offerings are well accepted in the market and as our country continues to develop the prospects for both companies will be bright.

C.M. Holdings PLC which handles the Group's automotive sector recorded a group loss for the financial year. This is mainly due to the punitive rates of tax levied on motor vehicles imported by the subsidiary companies. The Management has taken steps to rationalise the operations in order to return the group to profitability. In addition the company will develop its property located at Union Place in stages so that it could exploit an additional revenue stream by way of commercial rents.

Under these difficult operating conditions, the Group continues to invest in capacity and human capital so that as commodity prices recover and market sentiment lift, the Group will be best placed to take advantage of opportunities to improve profitability, significantly in the years ahead.

The Board of Directors, recommend a First & Final Dividend of Rs. 0.30 per share for the year ended 31st March, 2016.

I would like to take this opportunity to thank the many stakeholders who help in the operations of the Group. My thanks also go out to my colleagues on the Board for their counsel and support as the Group grows out of the current troubled period.

A. Rajaratnam
Chairman

23rd August, 2016

Directors' Profiles

A. Rajaratnam - Chairman

FCA

Mr. A. Rajaratnam having joined the Board in 1994, was appointed Chairman of the Company in November 2011. He also serves as Chairman on the Boards of certain subsidiaries of The Colombo Fort Land & Building Group and holds other Directorships within the Group.

S. D. R. Arudpragasam - Deputy Chairman

FCMA (U.K.)

Mr. S.D.R. Arudpragasam joined the Board in the year 2000 and was appointed Deputy Chairman in November 2011. He serves as Chairman of several subsidiaries of The Colombo Fort Land & Building PLC. Mr. Arudpragasam also holds the position of Deputy Chairman, Lankem Ceylon PLC and functions as Managing Director of E.B. Creasy & Company PLC, in addition to serving on the Boards of other companies in The Colombo Fort Land & Building Group.

N. H. B. S. Perera - Director

B.Sc. (Cey.)

Mr. N.H.B.S. Perera joined the Board in the year 2000. He is a former Chairman of Harrisons (Colombo) Limited and the Pesticides Association of Sri Lanka. He has held office as Deputy Chairman of the Planters' Association of Sri Lanka and has functioned as Group Director of The Maharaja Organisation Limited. Mr. Perera has also served as Director on the Board of Harrison Lister (Colombo) Limited and on several plantation company Boards such as Aislaby Estates Limited, Attampettia Estates Limited, Newburgh Estates Limited, Kinross Estates Limited, and Lunuwa Plantations Limited prior to nationalisation. He presently serves on the Boards of Lankem Ceylon PLC and Lankem Developments PLC. Mr. Perera has considerable expertise in the field of developing and marketing Agri-Chemicals, managing of plantation companies, manufacture and distribution, shipping and warehousing.

A. M. de S. Jayaratne - Director

B.Sc. (Econ.), FCA (Eng. and Wales), FCA (ICASL)

Mr. A.M. de S. Jayaratne joined the Board in 2005. He was a former Chairman of Forbes & Walker Limited, Colombo Stock Exchange, Ceylon Chamber of Commerce and The Finance Commission. He also served as Sri Lanka's High Commissioner in Singapore. Mr. Jayaratne is a Director of several listed and unlisted Companies.

R. Seevaratnam - Director

B.Sc. (Lond.), FCA (Eng. and Wales), FCA (ICASL)

Mr. R. Seevaratnam was appointed to the Board in 2009. He is a fellow member of The Institute of Chartered Accountants of England and Wales and Sri Lanka and holder of a General Science Degree from the University of London. He was a former Senior Partner of KPMG. Mr. Seevaratnam is a Director of several listed and unlisted companies.

Anushman Rajaratnam - Director

B.Sc. (Hons.), CPA, MBA

Mr. Anushman Rajaratnam was appointed to the Board in November 2011. He has spent several years working overseas as a Consultant for a leading Accountancy Firm. He currently holds the position of Managing Director, Lankem Ceylon PLC and also serves on the Boards of several subsidiaries of the Lankem Group.

Directors' Profiles contd.

Ms. Anandhiy K. Gunawardhana - Director

LL.B (Hons.) (Colombo), LL.M (Distinction) (Georgetown)

Attorney-at-Law

Ms. Anandhiy K. Gunawardhana joined the Board in November 2011. Ms. Gunawardhana is an Attorney-at-Law and a Partner of Julius & Creasy, Attorneys-at-Law and Notaries Public. She graduated from the University of Colombo's Faculty of Law in 1995 with Second Class (Upper Division) Honours and also secured First Class Honours at the Attorneys-at-Law (Final) Examination in 1996, conducted by the Sri Lanka Law College. She is a Fulbright Scholar and was awarded the Master of Laws (LL.M with Distinction) by Georgetown University, Washington DC, in May 2000 and thereafter, served a 7 month internship with the International Monetary Fund's Legal Department in Washington DC. She was called to the Bar in June 1997 and was duly enrolled as an Attorney-at-Law of the Supreme Court of Sri Lanka. Having joined Julius & Creasy in August 1996, as an apprentice, she was made a Professional Associate in July 1997 and admitted as a Partner in 2005. Her areas of specialisation are Capital Markets, Corporate and Commercial Law, Insurance Law and Mergers & Acquisitions. She is a Life Member of the Bar Association of Sri Lanka, the Colombo Law Society, the University Women's Federation, Sri Lanka and the Alumni Association of the Faculty of Law, University of Colombo. She is a Director of Messrs. Jacey and Company, Jacey Trust Services (Private) Limited, Jacey Advisory Services (Private) Limited, Jacey Secretarial Services (Private) Limited and Brand Protection Services (Private) Limited, affiliate companies of the Firm engaged in providing ancillary services, and of G S Investments (Private) Limited, S V Investments (Private) Limited, A S Investments (Private) Limited, S S Investments (Private) Limited, G T Investments (Private) Limited, M B Investments (Private) Limited, G J Investments (Private) Limited, S A Investments (Private) Limited, S T Investments (Private) Limited, V P Investments (Private) Limited and Corporate Holdings (Private) Limited, which are investment companies, and of LB Finance PLC and John Keells PLC.

C. P. R. Perera - Director

Mr. C.P.R. Perera was appointed to the Board in May 2013. He serves as a Director of several Companies in The Colombo Fort Land & Building Group and also holds directorships in other private and public companies. He is a past Chairman of the Sri Lanka Tea Board, Sri Lanka Insurance Corporation, PERC and Bank of Ceylon. He retired as Chairman of Forbes & Walker Limited and its subsidiary companies in June 2005 after almost 44 years of service. He presently functions as Chairman of Ceylon Tea Brokers PLC. Mr. Perera has served as a Committee Member of the Ceylon Chamber of Commerce, The Planters Association of Ceylon and on the Committee of Management of the Ceylon Planters Provident Society.

Risk Management Review

Overview

Risk management involves identifying potential risks faced by the Group and implementing proper risk management techniques to mitigate such risks.

The Colombo Fort Land & Building Group is involved in a diverse range of business activities. Whilst this diversification provides a hedge against the positive correlation of business and environmental risks, it also exposes the Group to a wider range of risks and opportunities. Therefore, a disciplined approach to risk management is important in order to ensure successful execution of strategic objectives and to express acceptance towards risk management which has been adequately compensated.

Company's Approach to Risk

Risk management is an important function of our Group. The Group reviews and assesses significant risks on a regular basis and has implemented an oversight programme to ensure that there is a system of internal controls in place. It is more important to identify risks that may prevent a business from realising its potential, and to manage them in order to minimise adverse effects and maximise positive outcomes.

The risk management process involves identifying the risks, analysing and evaluating the risks and treating such risks by taking steps to reduce and eliminate the losses which may be faced by the Group. As a part of the Risk Management process, at the Group level, the Board reviews its strategies, processes, procedures and guidelines on a continuous basis to effectively identify, assess and respond to such risks.

The Group assesses risk at the individual transaction level and evaluates aggregated risk at the customer, industry, geographic and collateral-type levels, where appropriate. Risk assessment and risk management are the responsibilities of management. The risk infrastructure is designed to identify, evaluate and mitigate risks within each of the following categories;

Risk Factors

Strategic Risk

Strategic risk relates to the Group's future business plans and strategies, and includes risks associated with the markets and industries in which the Group operates, demand for products and services, competitor threats, technology and product innovation, mergers and acquisitions and public policy.

Operational Risk

Operational risk relate to the risk arising from the execution of business operations. The Group has established sound internal control systems in all its operations and continuously reviews and monitors those procedures to ensure accountability and transparency in all its operations.

The Group faces a number of operational risks on an ongoing basis, including: Stock management; Supply chain management; Key supplier failure; and IT security. The Group is continuously focusing on improving its controlling and monitoring processes to ensure smooth functioning of all its operations.

Financial Risk

Financial risk relates to the ability to meet financial obligations and mitigate credit risk, liquidity risk and exposure to broad market risks, including volatility in foreign currency exchange rates, interest rates and commodity prices. Liquidity risk is the risk of being unable to accommodate liabilities at maturity, fund asset growth and meet contractual obligations through access to funding at reasonable market rates. Credit risk is the risk of financial loss arising from a customer or counterparty failing to meet contractual obligations.

Legal and Compliance

Legal and compliance risk relates to changes in the Government and regulatory environment, compliance requirements with policies and procedures, including those relating to financial reporting, environmental health and safety and intellectual property risks. Government and regulatory risk is the risk that the Government or Regulators' actions which will impose additional cost or cause the Group to change its business models or practices.

New Business and Acquisitions

Innovation is encouraged across CFLB businesses and activities. Therefore, it is important that all elements of new business initiatives are well understood before commencement. All new business initiatives must be approved by all Directors prior to commencement. The new business approval process is a formal process whereby all relevant risks (e.g. market, credit, equity, legal, compliance, taxation, accounting, operational and systems issues) are reviewed to ensure that the transaction or operation can be managed properly and will not create unknown or unwanted risks for CFLB in the future.

Credit Risk

Credit Risk is defined as the risk of a counterparty failing to complete its contractual obligations when they fall due. The consequent loss is either the amount of the loan being unpaid, or the loss incurred in replacing a trading contract with a new counterparty.

Business Risk

New entrants into the markets and the intensification of competition from existing players in these markets, variation in consumer spending patterns and effects of the weather conditions for seasonal businesses are the significant business risks that the Group encounters.

Corporate Governance

The Colombo Fort Land & Building PLC's (CFLB) Corporate Governance policy has ensured transparency and accountability towards our valuable stakeholders. The core objective of all Corporate Governance rules and regulations is to ensure that the interests of all stakeholders are reasonably safeguarded. Thus, the Board strives to take all possible steps to comply with best practices on Corporate Governance as it builds trust among stakeholders and establishes a basis for responsible conduct.

Our values have been applicable at all levels and this guarantees the business transparency towards our valuable stakeholders and corporate society.

THE BOARD

Board Composition

The Board comprises of eight Non-Executive Directors of whom five are Independent. The Directors possess the necessary expertise in the fields of finance, corporate management and corporate law with varied business and professional experience in order to direct, lead and control the Company's business activities successfully. The Directors who are currently in office are named below and are profiled on pages 5 and 6 of this Report.

Mr. A. Rajaratnam - Chairman - Non-Executive
Mr. S.D.R. Arudpragasam - Deputy Chairman - Non-Executive
Mr. N.H.B.S. Perera – Independent Non-Executive
Mr. A.M. de S. Jayaratne - Independent Non-Executive
Mr. R. Seevaratnam - Independent Non-Executive
Mr. Anushman Rajaratnam - Non-Executive
Ms. A.K. Gunawardhana - Independent Non-Executive
Mr. C.P.R. Perera – Independent Non Executive

Decision Making of the Board

The Board discusses matters relating to formulation and implementation of sound business strategies, ensuring an effective system to secure integrity of information, internal controls and risk management.

In addition to the decisions taken at Board Meetings, matters are referred to the Board and decided by resolutions in writing. The Board collectively and the Directors individually, act in accordance with the laws of the country, which are applicable to the business enterprise.

Board Responsibilities

- Formulation of short and long term strategies towards sustainable growth.
- Enhancing shareholder value.
- Identifying principal risks of the business.
- Overseeing systems of internal control.
- Approval of interim and annual financial statements.
- Ensuring compliance with laws and regulations.
- Authorising all material contracts, acquisitions or disposal of subsidiaries and approving capital projects.

Company Secretary and Independent Professional Advice

The Company and all the Directors may seek advice from Corporate Managers & Secretaries (Private) Limited (CMSL) who are qualified to act as Secretaries as per the provisions of the Companies Act No. 07 of 2007. CMSL assists the Board in ensuring that Board procedures are followed and that relevant rules and regulations are complied with. The Board in discharging its duties seeks independent professional advice from external parties when necessary.

Chairman's Role

The Chairman is a Non- Executive Director and is responsible for steering the Board to preserve order and to facilitate the effective discharge of Board functions. He conducts Board proceedings in a manner which always ensures the following:

- The effective participation of Directors.
- Encourages an effective contribution from Directors within their respective capabilities, for the benefit of the Company.
- Ascertains the views of Directors on issues under consideration.

The Board is in complete control of the Company's affairs and is alert to its obligation to all shareholder and other stakeholders.

Financial Acumen

The Board includes five finance professionals who possess the knowledge and competence to offer the Board the necessary guidance on matters of finance.

Board Balance

All Directors on the Board are Non- Executives of whom, five are Independent Directors. The Directors with a blend of experience in the fields of finance, business management and corporate law possessing a high standing of integrity and business acumen, constitute a balanced Board. This enables individual Directors to make a significant contribution towards the Board's decision making process. Further, the balanced structure of the Board makes the strategic decision making process more effective which ultimately facilitates build up of sustainable value for shareholders and all its other stakeholders.

Independent Directors on the Board have declared that they are Independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgements. All Non- Executive Directors have also submitted signed and dated declarations of their independence or non-independence to the Board.

The Board makes a determination annually as to the independence or non-independence of each Non-Executive Director based on such declarations made on the defined criteria and other information available to the Board. The names of Directors determined to be "Independent" are set out in the Annual Report.

Mr. A.M. de S. Jayaratne, Mr. N.H.B.S. Perera, Mr. C.P.R. Perera and Mr. R. Seevaratnam are Directors of several subsidiaries of The Colombo Fort Land & Building PLC. Mr. A.M. de S. Jayaratne, Mr. N.H.B.S. Perera and Mr. C.P.R. Perera have served on the Boards of some subsidiaries for a period exceeding nine years. These Independent Directors are also on the Boards of certain companies which has a significant shareholding in another and also serve on the Boards of some companies of which a majority of the Directors serve on the Board of another. Mr. A.M. de S. Jayaratne and Mr. N.H.B.S. Perera have served on the Board of the Listed Entity for over a period of nine years. However, the Board having taken into consideration all other circumstances listed in the Rules pertaining to the Criteria for Defining Independence is of the view that the said Directors are nevertheless Independent.

Appointments to the Board

There is a formal and transparent procedure for the appointment of new Directors to the Board, which is in accordance with the Articles of Association of the Company and also in compliance with the Best Practices of Corporate Governance. The Board as a whole annually assesses Board-composition to ascertain whether the combined knowledge and experience of the Board matches the strategic demands facing the Company. The findings of such assessments are taken into account when new Board appointments are considered and when incumbent Directors come up for re-election. Upon the appointment of a new Director to the Board, the Company makes required disclosures to the shareholders by making announcements to the Colombo Stock Exchange.

Re-election of Directors

The Company's Articles of Association require two of the Directors in Office to retire at each Annual General Meeting. The Directors to retire in each year are those who have been longest in office since their last election or appointment. Retiring Directors are eligible for re-election by the shareholders.

DIRECTORS' REMUNERATION

Remuneration Committee and the Remuneration Procedure

The Remuneration Committee comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam, Independent Non –Executive Directors and Mr. S.D.R Arudpragasam, Non-Executive Director.

However, the Board does not consist of Executive Directors and thereby no remuneration is paid. Nevertheless, Non-Executive Directors are entitled to a Directors' fee which is paid annually. Further, the Company does not employ a Chief Executive Officer or a Chief Financial Officer and all managerial and secretarial services are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

RELATIONS WITH SHAREHOLDERS

Constructive use of Annual General Meeting (AGM) and Conduct of General Meetings

The Board makes use of the Annual General Meeting /General Meetings to communicate with shareholders and does encourage their

active participation. The Board considers the AGM/General Meetings as an opportunity to communicate and maintain an appropriate dialogue with its shareholders and welcomes their suggestions. It also enables shareholders to meet and discuss Company matters with the Directors.

Major Transactions

In compliance with the requirements under Section 185 of the Companies Act No. 07 of 2007, the Directors take necessary measures to disclose to shareholders all proposed corporate transactions, which if entered into, would materially alter/vary the Company's net asset base

ACCOUNTABILITY AND AUDIT

Financial Reporting and Going Concern

The Board undertakes the responsibility for the preparation and presentation of financial statements and ensures that they are prepared and presented in accordance with the Sri Lanka Accounting Standards adopted by The Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007. The Board values the timely publication of annual and quarterly results and other price-sensitive information enabling shareholders to make effective economic decisions and strives to take all possible steps to comply with the statutory requirements and procedures laid down by the Colombo Stock Exchange and the Securities and Exchange Commission with regard to those publications.

The Annual Report of the Board of Directors presents a balanced and understandable assessment of the Company's financial position, performance and future prospects.

The Directors, after making necessary inquiries and reviews of the Company's financial performance, position, future cash flows and potential borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue as "a going concern" in the foreseeable future. Further, the Directors do not intend either to liquidate or cease its operations and therefore, the "going concern assumption" adopted in the preparation of the financial statements is appropriate.

All statutory and material declarations are highlighted in the Annual Report of the Board of Directors.

Compliance with Legal Requirements

The Board is conscious of its responsibility to the shareholders, the Government and the Society in which it operates and is unequivocally committed to upholding ethical behaviour in conducting its business. The Board strives to ensure that the Company and its Subsidiaries comply with the laws and regulations of the Country.

Corporate Governance Contd.

Internal Control

The Company maintains a sound internal control system to safeguard the shareholders' investment and the Company's assets. The Board is responsible for ensuring the Company has in place an effective system of internal controls and periodical reviews are held to identify any deviations that may need corrective action. The observations of the Audit Committee are reported to the Board for appropriate action.

Audit Committee

The Audit Committee comprises of four Non-Executive Directors of whom three are Independent. The Chairman of the Committee is an Independent Non-Executive Director. The members of the Committee possess financial and industry experience to assist the Board in discharging its duties effectively.

The Report of the Audit Committee is set out on pages 12 and 13 of this Annual Report.

Related Party Transactions Review Committee

The Related Party transactions are disclosed in note 29 on pages 109 to 114.

The Report of the Related Party Transactions Review Committee appear on page 14.

The Company's compliance status with Section 7 of the Colombo Stock Exchange Listing Rules on Corporate Governance which is mandatory for listed entities is disclosed on pages 10 and 11.

ADHERENCE TO THE CORPORATE GOVERNANCE RULES OF THE COLOMBO STOCK EXCHANGE FOR LISTED COMPANIES

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
7.10.1 (a)	Non-Executive Directors	Two or at least one third of the total number of Directors should be Non-Executive Directors.	Complied	Corporate Governance
7.10.2 (a)	Independent Directors	Two or one third of Non-Executive Directors, whichever is higher, should be Independent.	Complied	Corporate Governance
7.10.2 (b)	Independent Directors	Each Non-Executive Director should submit a declaration of Independence / Non-Independence in the prescribed format.	Complied	Corporate Governance
7.10.3 (a)	Disclosure relating to Directors	The Board shall annually make a determination as to the Independence or Non-Independence of each Non-Executive Director and names of Independent Directors should be disclosed in the Annual Report.	Complied	Corporate Governance
7.10.3 (b)	Disclosure relating to Directors	The basis for the Board to determine a Director is Independent, if criteria specified for Independence is not met.	Complied	Corporate Governance
7.10.3 (c)	Disclosure relating to Directors	A brief resume of each Director should be included in the Annual Report containing information on the nature of his/her expertise in relevant functional areas.	Complied	Directors' Profiles
7.10.3 (d)	Disclosure relating to Directors	Provide a brief resume of new Directors appointed to the Board with details specified in Rule 7.10.3(a), (b) and (c) mentioned above.	Not Applicable	No new Directors appointed during the year
7.10.5	Remuneration Committee	A Listed Company shall have a Remuneration Committee in conformity with the following; (a) Composition (b) Function (c) Disclosure in the Annual Report	Complied	Corporate Governance and Remuneration Committee Report

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
7.10.6	Audit Committee	The Company shall have an Audit Committee.	Complied	Corporate Governance and Audit Committee Report
7.10.6 (a)	Composition of Audit Committee	Shall comprise a minimum of two Independent Non-Executive Directors or Non-Executive Directors a majority of whom shall be Independent, which ever shall be higher.	Complied	Audit Committee Report
		A Non-Executive Director shall be appointed as the Chairman of the Committee.	Complied	Audit Committee Report
		Unless otherwise determined by the Audit Committee the Chief Executive Officer and the Chief Financial Officer shall attend Audit Committee Meetings.	Not Applicable	Corporate Governance
		The Chairman of the Audit Committee or one member should be a member of a professional accounting body.	Complied	Audit Committee Report
7.10.6 (b)	Audit Committee Functions	Functions shall include;		
		a. Overseeing the preparation, presentation and adequacy of disclosures in the Financial Statements in accordance with Sri Lanka Accounting Standards.	Complied	Audit Committee Report
		b. Ensuring Compliance with financial reporting requirements, information requirements of the Companies Act and other relevant financial reporting related regulations and requirements.	Complied	
		c. Overseeing the processes to ensure that the internal controls and risk management are adequate to meet the requirements of the Sri Lanka Auditing Standards.	Complied	
		d. Assessment of the Independence and performance of the External Auditors.	Complied	
		e. Making recommendations to the Board pertaining to appointment, re-appointment and removal of External Auditors, and approving the remuneration and terms of engagement of External Auditors.	Complied	
7.10.6 (c)	Disclosure in the Annual Report	a. Names of Directors comprising the Audit Committee.	Complied	Audit Committee Report
		b. The Audit Committee shall make a determination of the Independence of the Auditors and disclose the basis for such determination.	Complied	
		c. The Annual Report shall contain a Report of the Audit Committee setting out of the manner of compliance with their functions.	Complied	

Audit Committee Report

The responsibilities of The Colombo Fort Land & Building PLC's Audit Committee are governed by the Rules and Regulations which are approved and adopted by the Board. The Board fulfils its overall responsibility to the shareholders in relation to the integrity of the Company's financial reporting process in accordance with the Companies Act and other legislative reporting requirements including adequacy of disclosures in the financial statements in accordance with the Sri Lanka Accounting Standards.

The Audit Committee also has a responsibility to ensure that the internal controls of the Company are in accordance with legal and regulatory requirements. The Committee also evaluates the performance and the independence of the Company's External Audit function.

Composition

The Audit Committee comprises of four Non-Executive Directors of whom three are independent. The Chairman of the Committee, Mr. R. Seevaratnam, an Independent Non-Executive Director, is a Fellow member of the Institute of Chartered Accountants of Sri Lanka (FCA) as well as England & Wales. The members of the Committee are named below.

Mr. R. Seevaratnam	- Chairman – Independent Non-Executive
Mr. A.M. de S. Jayaratne	- Independent Non-Executive
Mr. S.D.R. Arudpragasam	- Non-Executive
Mr. N.H.B.S. Perera	- Independent Non-Executive

The Committee has a blend of experience in the commercial sector with financial expertise, audit exposure and high standing of integrity and business acumen in order to carry out their role efficiently and effectively.

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited function as the Secretaries to the Audit Committee.

Meetings and Attendance

The Audit Committee has met on five occasions during the financial year ended 31st March, 2016 and the attendance was as follows:

Mr. R. Seevaratnam - Chairman	(5/5)
Mr. A.M. de S. Jayaratne	(5/5)
Mr. S.D.R. Arudpragasam	(4/5)
Mr. N.H.B.S. Perera	(5/5)

Representatives from Corporate Managers & Secretaries (Private) Limited, Managers & Secretaries and other Directors and senior management personnel are invited to the meetings as and when required. The proceedings of the Audit Committee are regularly reported to the Board.

Terms of Reference

The Committee is governed by specific terms of reference set out in the Audit Committee Charter. The Committee focuses on the following objectives in discharging its responsibilities taking into consideration the terms of reference together with the requirements of the Listing Rules of the Colombo Stock Exchange.

- a) Risk Management.
- b) Efficiency of the system of internal controls.
- c) Independence and objectivity of the External (Statutory) Auditors.
- d) Appropriateness of the principal accounting policies used.
- e) Financial Statement integrity.

Compliance

The Audit Committee reviewed the activities and the financial affairs of the Company and its Subsidiaries and the financial reporting system adopted in the preparation of the Quarterly and Annual Financial Statements to ensure reliability of the processes, appropriateness and consistency of the accounting policies and methods adopted in order to comply with the requirements of the Sri Lanka Accounting Standards (SLFRS/LKAS), the Companies Act No. 07 of 2007 and other relevant statutory and regulatory requirements. The Committee also reviewed the quarterly and year end Financial Statements and have recommended their adoption to the Board of Directors.

Group Internal Audit

The Committee assessed the adequacy of existing internal controls and risk management procedures and has recommended to the Board additional controls and risk mitigating strategies that could be implemented to strengthen the existing internal control system.

Further, the Committee has reviewed the routine operations of the Company and assessed the future prospects of its business operations and accordingly ensures that the going concern assumption used in the preparation of the financial statements, is appropriate.

A few companies of the Group have outsourced the internal audit function in order to strengthen the internal control measures.

External Audit

The Company has appointed KPMG, Chartered Accountants as its External Auditor for the financial year ended 31st March, 2016 and the services provided by them are segregated between audit/assurance services and other advisory services such as tax consultancy. The Committee has reviewed the progress and conduct of the statutory audit function and discussed the audit related issues with the Auditors. The Committee has also negotiated with the External Auditors on the quantum of their fees and incidental expenses.

The Committee after evaluating the independence and performance of the External Auditors has recommended to the Board the reappointment of KPMG, Chartered Accountants, for the financial year ending 31st March, 2017 subject to the approval of the Shareholders at the Annual General Meeting of the Company.

Conclusion

The Audit Committee is satisfied that the effectiveness of the organisational structure of the Group and Company in the implementation of the accounting policies and operational controls provide reasonable assurance that the affairs of the Group and Company are managed in accordance with accepted policies and that assets are properly accounted for and adequately safeguarded.

(Sgd.)

R. Seevaratnam

Chairman

Audit Committee

Colombo

23rd August, 2016

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee is entrusted with the responsibility of ensuring that the interest of the Shareholders are taken into consideration when entering into Related Party Transactions.

Composition

The Related Party Transactions Review Committee of the Company comprises of the following members:

- | | |
|--------------------------|---|
| Mr. R. Seevaratnam | - Chairman - Independent / Non-Executive Director |
| Mr. A.M. de S. Jayaratne | - Member - Independent / Non-Executive Director |
| Mr. S.D.R. Arudpragasam | - Member - Non- Executive Director |

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited, functions as the Secretaries to the Related Party Transactions Review Committee.

Meetings of the Committee

The Related Party Transactions Review Committee met for the first time during the first quarter of the current financial year. The activities and views of the Committee would be communicated on a regular basis to the Board of Directors by tabling the Minutes of the Committee Meetings at Meetings of the Board.

Functions of the Committee:

- To identify the persons/entities considered to be Related Parties.
- Review all proposed Related Party Transactions. (Except for transactions which are exempted)
- Advise Management on Related Party Transactions and where necessary direct the transactions for Board approval / Shareholder approval as deemed appropriate.
- Obtain updates on previously reviewed Related Party Transactions from Senior Management and approve any material changes.
- Establish guidelines for Senior Management to follow in ongoing dealings with Related Parties.
- Review and assess on an annual basis the transactions for Compliance against the Committee guidelines.
- Ensuring that immediate market disclosures and disclosures in the Annual Report are made as required by the applicable rules and regulations.

Conclusion

The Related Party Transactions Review Committee has reviewed the Related Party Transactions entered into during the financial year under review and has communicated its comments and observations to the Board of Directors.

The Board of Directors have also declared in the Annual Report that there were no recurrent or non-recurrent related party transactions which exceeded the respective thresholds mentioned in Section 9 of the Colombo Stock Exchange Listing Rules and that the Company has complied with the requirements of the Listing Rules on Related Party Transactions.

(Sgd.)

R. Seevaratnam

Chairman

Related Party Transactions Review Committee

23rd August, 2016

Remuneration Committee Report

The Remuneration Committee of The Colombo Fort Land & Building PLC consists of the following members:

Mr. A.M. de S. Jayaratne - Chairman / Independent Non-Executive

Mr. R. Seevaratnam - Independent Non-Executive

Mr. S.D.R. Arudpragasam - Non-Executive

The main function of the Remuneration Committee is to assist the Board in developing and administering an equitable and transparent method for setting policy on the overall human resources strategy of the Group and the remuneration of Directors and senior management of the Group.

The key objective of the Committee is to attract, motivate and retain qualified and experienced personnel throughout the Group and to ensure that the remuneration of executives at each level of management is competitive and are rewarded in a fair manner based on their performance.

(Sgd.)

A.M. de S. Jayaratne

Chairman

Remuneration Committee

Colombo

23rd August, 2016

Annual Report of the Board of Directors

The Board of Directors of The Colombo Fort Land & Building PLC present their Report on the affairs of the Company together with the Audited Financial Statements for the year ended 31st March, 2016.

The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, and the Colombo Stock Exchange Listing Rules and are guided by recommended best practices.

GENERAL

The Company was re-registered on 3rd July, 2008 as required under the Companies Act No. 07 of 2007.

PRINCIPAL ACTIVITIES AND BUSINESS REVIEW

The principal activities of the Company together with those of its subsidiary companies have been described in the Notes to the Financial Statements in this Annual Report. A review of the Company's business and its performance during the year with comments on financial results is contained in the Chairman's Review which together with the Financial Statements reflects the state of affairs of the Company.

The Directors to the best of their knowledge and belief confirm that the Company has not engaged in any activities that contravene laws and regulations.

FINANCIAL STATEMENTS

The Financial Statements of the Company are given on pages 22 to 124.

INDEPENDENT AUDITORS' REPORT

The Independent Auditors' Report on the Financial Statements is given on page 21.

ACCOUNTING POLICIES

The accounting policies adopted in the preparation of Financial Statements are given on pages 28 to 42.

INTEREST REGISTER

Directors' Interest in Transactions

The Directors have made general disclosures as provided for in Section 192(2) of the Companies Act No. 07 of 2007. These have been entered in the Interest Register which is maintained by the Company. The Company carries out transactions in the ordinary course of business with entities in which a Director of the Company is a Director and the said transactions are disclosed in Note 29 'Related Party Transactions', on pages 109 to 114.

The Directors have no direct or indirect interest in any other contract or proposed contract with the Company.

Directors' Interest in Shares

Directors of the Company who have an interest in the shares of the Company are required to disclose their shareholdings and any acquisitions/disposals to the Board in compliance with Section 200 of the Companies Act.

Details pertaining to Directors' direct shareholdings are set out below:

Name of Director	No. of shares as at 31.03.2016	No. of shares as at 31.03.2015
A. Rajaratnam	1,263,900	1,362,900
S.D.R. Arudpragasam	176,000	176,000
N.H.B.S. Perera	2,500	2,500
A.M. de S. Jayaratne	500	500
R. Seevaratnam	-	-
Anushman Rajaratnam	-	-
Ms. A.K. Gunawardhana	25,000	25,000
C.P.R. Perera	10,000	10,000

DIRECTORS' REMUNERATION

Key management personnel compensation in respect of the Company for the financial year 2015/2016 is given in Note 7 to the Financial Statements on page 44.

CORPORATE DONATIONS

No donations were made by the Company during the year.

DIRECTORATE

The names of the Directors who held office during the financial year are given below and are profiled on pages 5 and 6.

Mr. A. Rajaratnam - Chairman
 Mr. S.D.R. Arudpragasam - Deputy Chairman
 Mr. N.H.B.S. Perera
 Mr. A.M. de S. Jayaratne
 Mr. R. Seevaratnam
 Mr. Anushman Rajaratnam
 Ms. A.K. Gunawardhana
 Mr. C.P.R. Perera

In terms of Articles 85 and 86 of the Articles of Association Mr. Anushman Rajaratnam and Ms. A.K. Gunawardhana retire by rotation and being eligible offer themselves for re-election.

Mr. N.H.B.S. Perera who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. A.M. de S. Jayaratne who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. A. Rajaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. R. Seevaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. C.P.R. Perera who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

CORPORATE GOVERNANCE

The Corporate Governance Principles adhered to by the Company are given on pages 8 to 11.

AUDITORS

The Financial Statements of the Company for the year have been audited by Messrs. KPMG, Chartered Accountants, who retire at the forthcoming Annual General Meeting. The retiring Auditors have expressed their willingness to continue as Auditors of the Company and are recommended for reappointment. A resolution to reappoint them and to authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting. They were paid Rs.935,000/- (2014/15 - Rs.860,000/-) as audit fees by the Company. In addition, they were paid Rs.117,000/- (2014/15 - Rs.108,000/-) by the Company for non-audit related work, which consisted mainly of fees for tax compliance services.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor) with the Company. The Auditors do not have any interest in the Company.

REVENUE

The revenue of the Company for the year was Rs. 95.52 million (2014/15 – Rs.105.24 million).

RESULTS

The Company made a net profit before tax of Rs. 152.56 million against a profit of Rs.92.53 million in the previous year. The detailed results are given in the Statement of Comprehensive Income on page 22.

DIVIDENDS

The Directors are pleased to recommend the payment of a First and Final Dividend of Rs. 0.30 per share on the ordinary shares of the Company for the year ended 31st March, 2016 for approval by the shareholders at the forthcoming Annual General Meeting to be held on 29th September 2016.

The Directors have confirmed that the Company satisfies the solvency test requirement under Section 56 of the Companies Act No. 07 of 2007 for the dividend proposed.

A solvency certificate has been sought from the Auditors in respect of the aforementioned dividend.

INVESTMENTS

The Cost of Investments in Quoted Securities held as at 31st March, 2016 was Rs. 909.07 million (2014/15 – Rs.948.84 million) and the Market Value of such Investments was Rs. 3,468.37 million (2014/15 - Rs.3,772.84 million). The detailed investment portfolio is given in Notes 14, 15 and 16 to the Financial Statements on pages 63 to 85.

PROPERTY, PLANT & EQUIPMENT

During 2015/16, the Company did not invest in Property, Plant & Equipment (2014/15 – Rs.0.28 million). Further, your Directors are of the opinion that the net amounts at which Property, Plant & Equipment appear in the Statement of Financial Position, are not greater than their market value as at 31st March, 2016.

STATED CAPITAL

In compliance with the Companies Act No. 07 of 2007, the Financial Statements reflect the Stated Capital of the Company. The Stated Capital is the total of all amounts received by the Company in respect of issue of shares.

The Stated Capital of the Company as at 31st March, 2016 was Rs.327,000,000/- represented by 180,000,000 issued and fully paid Ordinary Shares.

RESERVES

The total reserves of the Company as at 31st March, 2016 amounted to Rs. 1,117.3 million (2014/15 - Rs.1,036.1 million). The Reserves comprise, Property Development Reserve of Rs.10 million (2014/15 - Rs.10 million), General Reserve of Rs. 0.5 million (2014/15 - Rs.0.5 million), Available for Sale Reserve of Rs. 1.12 million (2014/15 - Rs.1.34 million) and the accumulated profit of Rs. 1,105.6 million (2014/15 - Rs.1,024.26 million). The movements are shown in the Statement of Changes in Equity in the Financial Statements.

Annual Report of the Board of Directors Contd.

TAXATION

In terms of the Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto the Company is liable to pay income tax at the rate of 28% for the Year of Assessment 2015/16. The details of the Income Tax Computation are given in Note 8 to the Financial Statements on pages 45 to 47.

RELATED PARTY TRANSACTIONS

During the financial year there were no recurrent or non-recurrent related party transactions which exceeded the respective thresholds mentioned in Section 09 of the Colombo Stock Exchange Listing Rules and the Company has complied with the requirements of the Listing Rules on Related Party Transactions.

The Related Party Transactions presented in the Financial Statements are disclosed in Note 29 from page 109 to 114.

SHARE INFORMATION

Information relating to earnings, net assets, market value per share and share trading is given on pages 127 and 128.

EVENTS AFTER THE REPORTING DATE

No Circumstances have arisen since the Reporting date that would require adjustments to or disclosure in the Financial Statements other than those disclosed in Note 34 to the Financial Statements on pages 122 and 123.

CAPITAL COMMITMENTS AND CONTINGENT LIABILITIES

Capital Commitments and Contingent Liabilities as at the Reporting date are disclosed in Notes 31 and 32 to the Financial Statements on pages 119 to 121.

EMPLOYMENT POLICY

The Company does not employ any staff. All operational services are provided by Corporate Managers & Secretaries (Private) Limited, to whom a fee is paid.

SHAREHOLDERS

It is the Company's policy to endeavour to ensure equitable treatment to its shareholders.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government have been paid or where relevant, provided for.

ENVIRONMENTAL PROTECTION

The Group's business activities can have direct and indirect effects on the environment. It is the Group's policy to minimise any adverse effect its activities have on the environment and to promote co-operation and compliance with the relevant authorities and regulations. The Directors confirm that the Group has not undertaken any activities which have caused or are likely to cause detriment to the environment.

INTERNAL CONTROL

The Directors acknowledge their responsibility for the Company's system of internal control. The system is designed to give assurance regarding the safeguarding of assets, the maintenance of proper accounting records and the reliability of financial information generated.

GOING CONCERN

The Directors, after making necessary inquiries and reviews of the Company's future prospects and risks, cash flows and borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Therefore, the going concern basis has been adopted in the preparation of the Financial Statements.

For and on behalf of the Board,

(Sgd.)

S.D.R. Arudpragasam
Director

(Sgd.)

Anushman Rajaratnam
Director

By Order of the Board,

(Sgd.)

Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo

23rd August, 2016

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Independent Auditors' Report



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(Chartered Accountants)
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TO THE SHAREHOLDERS OF THE COLOMBO FORT LAND & BUILDING PLC

Report on the Financial Statements

We have audited the accompanying financial statements of The Colombo Fort Land & Building PLC, ("the Company"), and the consolidated financial statements of the Company and its subsidiaries ("Group"), which comprise the statement of financial position as at March 31, 2016, and the statements of profit or loss and other comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising a summary of significant accounting policies and other explanatory information set out on pages 22 to 124 of the annual report.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as

well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at March 31, 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Emphasis of Matter

Without qualifying our opinion we draw attention to Note 33 to these Financial Statements regarding matters that may cast significant doubt that the respective group companies will be able to continue as a going concern.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

- The basis of opinion and scope and limitations of the audit are as stated above
- In our opinion:
 - we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - The financial statements of the Company give a true and fair view of its financial position as at March 31, 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.
 - The financial statements of the Company, and the Group comply with the requirements of sections 151 and 153 of the Companies Act No. 07 of 2007.

(Sgd.)

CHARTERED ACCOUNTANTS

Colombo

23rd August, 2016

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

M.R. Mihular FCA	P.Y.S. Perera FCA	C.P. Jayatilake FCA
T.J.S. Rajakarier FCA	W.W.J.C. Perera FCA	Ms. S. Joseph FCA
Ms. S.M.B. Jayasekara ACA	W.K.D.C. Abeyrathne FCA	S.T.D.L. Perera FCA
G.A.U. Karunaratne FCA	R.M.D.B. Rajapakse FCA	Ms. B.K.D.T.N. Rodrigo FCA
R.H. Rajan ACA		

Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA

Statement of Profit or Loss & Other Comprehensive Income

For the year ended 31st March,		GROUP		COMPANY	
		2016 Rs.'000	2015 Rs.'000 Restated	2016 Rs.'000	2015 Rs.'000
Notes					
Revenue	4	36,860,104	35,384,600	95,523	105,244
Cost of Sales		(29,313,042)	(29,098,031)	-	-
Gross Profit		7,547,062	6,286,569	95,523	105,244
Other Income	5.1	761,045	1,048,255	173,941	68,718
Distribution Expenses		(2,757,654)	(2,455,333)	-	-
Administrative Expenses		(3,907,503)	(3,346,157)	(30,513)	(28,362)
Other Expenses	5.2	(582,240)	(135,929)	(57,012)	-
Net Finance Cost	6	(1,588,064)	(1,341,824)	(29,379)	(53,069)
Share of Profit of Equity					
Accounted Investees (Net of Tax)	15	(10,662)	30,146	-	-
Profit/ (loss) before Tax	7	(538,016)	85,726	152,560	92,531
Income Tax Expense	8	(159,679)	(334,213)	(17,177)	(26,638)
Profit/ (loss) for the Year		(697,695)	(248,487)	135,383	65,893
Other Comprehensive Income					
Items that will not be reclassified to Profit or loss					
Actuarial gains/(losses) on Defined Benefit Plans		251,395	(24,851)	-	-
Tax on Other Comprehensive Income		6,136	4,841	-	-
Share of Other Comprehensive Income of					
Equity Accounted Investees (Net of tax)		(100,097)	21,778	-	-
Items that are or may be reclassified to Profit or loss					
Net Change in Fair Value of Available-for-Sale Financial Assets		66,668	56,271	(219)	146
Other Comprehensive Income for the Year Net of Tax		224,102	58,039	(219)	146
Total Comprehensive Income For the Year		(473,593)	(190,448)	135,164	66,039
Profit/ (Loss) Attributable to:					
Owners of the Company		(321,178)	56,818	135,383	65,893
Non - Controlling Interest		(376,517)	(305,305)	-	-
Profit/(Loss) for the Year		(697,695)	(248,487)	135,383	65,893
Total Comprehensive Income Attributable to:					
Owners of the Company		(246,488)	208,795	135,164	66,039
Non - Controlling Interest		(227,105)	(399,243)	-	-
Total Comprehensive Income For the Year		(473,593)	(190,448)	135,164	66,039
Earnings / (Deficit) per Share (Rs.)	9	(1.78)	0.32	0.75	0.37

The Notes from pages 28 to 124 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Financial Position

As at 31st March,		GROUP		COMPANY	
		2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Notes					
ASSETS					
Non-Current Assets					
Property, Plant and Equipment	10	18,989,573	18,522,474	2,957	6,219
Biological Assets	10.5	1,201,905	1,131,930	-	-
Leasehold Property	11	548,263	585,115	-	-
Investment Property	12	440,870	272,939	720,373	721,648
Intangible Assets	13	870,872	865,801	-	-
Investments in Subsidiaries	14	-	-	1,196,550	1,276,394
Investments in Equity Accounted Investees	15	464,236	584,547	89,434	106,364
Other Financial Assets	16	559,868	601,580	1,441	1,660
Employee Benefits - Plan Assets	26	95,539	132,257	-	-
Deferred Tax Assets	17	114,736	42,055	-	-
Total Non-Current Assets		23,285,862	22,738,697	2,010,755	2,112,285
Current Assets					
Inventories	18	6,803,178	5,807,337	-	-
Trade & Other Receivables	19	7,721,022	7,624,402	2,932	4,167
Amounts due from Related Parties	29	134,749	208,907	148,726	160,187
Loans Given to Related Parties	29	-	-	277,500	290,000
Income Tax Recoverable		110,230	75,787	-	-
Other Financial Assets	16.3	727,844	916,140	-	-
Cash & Cash Equivalents	20	1,620,026	2,091,975	115,124	112,789
Total Current Assets		17,117,049	16,724,548	544,282	567,143
Total Assets		40,402,911	39,463,245	2,555,037	2,679,428
EQUITY AND LIABILITIES					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	21	327,000	327,000	327,000	327,000
Capital Reserves	22	20,058	20,058	10,000	10,000
Reserves		7,263,598	7,632,297	1,107,261	1,026,097
Equity Attributable to Owners of the Company		7,610,656	7,979,355	1,444,261	1,363,097
Non - Controlling Interest		4,168,728	4,373,635	-	-
Total Equity		11,779,384	12,352,990	1,444,261	1,363,097
Non-Current Liabilities					
Loans and Borrowings	23	5,374,243	5,905,198	110,000	195,650
Deferred Income-Capital Grants	24	585,423	572,003	-	-
Deferred Tax Liabilities	25	530,882	667,412	26,809	26,997
Retirement Benefit Obligations	26	2,540,668	2,483,890	-	-
Rent Received In Advance	27	6,627	1,172	187	637
Total Non-Current Liabilities		9,037,843	9,629,675	136,996	223,283
Current Liabilities					
Trade & Other Payables	28	6,271,729	7,883,338	75,667	73,235
Amounts due to Related Parties	29	252,774	214,600	679,880	778,307
Loans and Borrowings	23	9,491,652	6,418,590	85,650	122,848
Rent Received in Advance	27	3,810	6,483	450	450
Income Tax Payable		295,806	216,421	38,281	24,583
Bank Overdraft	20	3,269,913	2,741,148	93,852	93,624
Total Current Liabilities		19,585,684	17,480,580	973,780	1,093,047
Total Liabilities		28,623,527	27,110,255	1,110,775	1,316,331
Total Equity and Liabilities		40,402,911	39,463,245	2,555,037	2,679,428
Net Asset per Share (Rs.)		42.28	44.33	8.02	7.57

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

(Sgd.)

M.V.M. Paulraj

Director

Corporate Managers & Secretaries (Private) Limited

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Approved and signed for and on behalf of the Board,

(Sgd.)

S.D.R. Arudpragasam

Director

(Sgd.)

Anushman Rajaratnam

Director

Colombo

23rd August, 2016

The Notes on pages 28 to 124 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Changes in Equity

GROUP	Equity Attributable to Equity Holders of the Parent							Total	Non-Controlling Interest	Total
	Stated Capital	Property Development Reserve	Capital Redemption Reserve Fund	Available for Sale Reserve	General Reserve	Accumulated Profit / (Loss)				
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st April, 2014 - Restated	327,000	15,190	4,868	619,901	84,453	6,773,149	7,824,561	4,993,804	12,818,364	
Loss for the year	-	-	-	-	-	56,818	56,818	(305,305)	(248,487)	
Other Comprehensive Income for the Year	-	-	-	138,778	-	13,199	151,977	(93,938)	58,039	
Dividend Paid - 2013/2014	-	-	-	-	-	(54,000)	(54,000)	-	(54,000)	
Net of Acquisition of Subsidiary	-	-	-	-	-	-	-	(132,328)	(132,328)	
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	-	(88,598)	(88,598)	
Balance as at 31st March, 2015	327,000	15,190	4,868	758,679	84,453	6,789,166	7,979,356	4,373,635	12,352,990	
Profit/ (Loss) for the year	-	-	-	-	-	(321,178)	(321,178)	(376,517)	(697,695)	
Other Comprehensive Income for the Year	-	-	-	131,057	-	(56,366)	74,691	149,411	224,102	
Dividend Paid - 2014/2015	-	-	-	-	-	(54,000)	(54,000)	-	(54,000)	
Effect of Change in Percentage Holdings in Subsidiaries	-	-	-	-	-	(68,213)	(68,213)	-	-	
Net of Acquisition of Subsidiary	-	-	-	-	-	-	-	72,740	4,527	
Right Issue	-	-	-	-	-	-	-	(16,606)	(16,606)	
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	-	79,467	79,467	
Balance as at 31st March, 2016	327,000	15,190	4,868	889,736	84,453	6,289,409	7,610,656	4,168,728	11,779,384	
COMPANY	Equity Attributable to Equity Holders of the Parent							Total	Non-Controlling Interest	Total
	Stated Capital	Property Development Reserve	General Reserve	Available for Sale Reserve	Accumulated Profit / (Loss)	Accumulated Profit / (Loss)				
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 01st April, 2014	327,000	10,000	501	1,195	1,012,362	1,351,058	1,351,058	-	-	
Profit for the year	-	-	-	-	65,893	65,893	65,893	-	-	
Other Comprehensive Income for the Year	-	-	-	146	-	146	146	-	-	
Dividend Paid	-	-	-	-	(54,000)	(54,000)	(54,000)	-	-	
Balance as at 31st March, 2015	327,000	10,000	501	1,341	1,024,255	1,363,097	1,363,097	-	-	
Profit for the year	-	-	-	-	135,383	135,383	135,383	-	-	
Other Comprehensive Income for the Year	-	-	-	(219)	-	(219)	(219)	-	-	
Dividend Paid	-	-	-	-	(54,000)	(54,000)	(54,000)	-	-	
Balance as at 31st March, 2016	327,000	10,000	501	1,122	1,105,638	1,444,261	1,444,261	-	-	

The Notes from pages 28 to 124 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Cash Flows

For the year ended 31st March,		GROUP		COMPANY	
		2016 Rs.'000	2015 Rs.'000 Restated	2016 Rs.'000	2015 Rs.'000
Notes					
Cash Flows from Operating Activities					
	A	3,062,008	2,632,670	79,875	90,386
Profit before Working Capital Changes					
(Increase)/Decrease in Inventories		(1,092,693)	201,105	-	-
(Increase)/Decrease in Trade & Other Receivables		(245,698)	(473,254)	785	(514)
(Increase)/Decrease in Amounts due from Related Parties		125,347	70,284	11,461	(38,493)
Increase/(Decrease) in Trade & Other Payables		(1,630,734)	1,010,908	2,432	21,032
Increase/(Decrease) in Amounts due to Related Parties		(111,473)	26,062	(12,427)	26,630
Cash Generated from Operating Activities		106,757	3,467,774	82,126	99,041
Income Tax Paid		(319,265)	(292,553)	(3,667)	(21,211)
Interest Expenses Paid		(1,567,520)	(1,550,679)	(62,578)	(98,489)
Gratuity Paid		(213,825)	(256,129)	-	-
Rent Income Received		20,930	18,323	-	-
Net Cash Generated from/(used in) Operating Activities		(1,972,923)	1,386,736	15,881	(20,659)
Cash Flows from Investing Activities					
Acquisition of Property, Plant & Equipment,					
Investment Property & Biological Assets		(1,846,281)	(3,139,817)	(372)	(276)
Acquisition of Intangible Assets		(42,264)	(1,553)	-	-
Proceeds from Disposal of Property, Plant & Equipment		428,805	542,375	-	-
Acquisition of subsidiaries	B	(43,545)	(878,454)	(2,263)	-
Acquisition of held for trading financial assets		(13,733)	23,094	-	-
Acquisition of Held to Maturity Investments		138,685	(82,489)	-	-
Net Disposal/Acquisition of Other Investments		(30,305)	18,012	114,970	7,008
Acquisition and Disposal of Subsidiary Shares from/to NCI		(1,281)	-	-	-
Interest Income Received		51,907	79,049	33,388	45,779
Dividend Income Received		25,480	17,947	91,040	55,197
Net Cash Generated from/(used in) Investing Activities		(1,332,532)	(3,421,836)	236,763	107,708
Cash Flows from Financing Activities					
Capital Grants Received		34,648	18,645	-	-
Increase/(Decrease) in Other Short-Term Loans		2,794,626	780,096	(73,500)	(39,000)
Repayment of Lease Rentals		(106,222)	(79,254)	(1,037)	(1,744)
Receipt of Interest-bearing Borrowings		1,732,499	2,772,662	-	100,000
Issue of Debenture (Net of redemption)		(150,000)	915,000	-	-
Rights Issue of Shares by Subsidiary		79,467	-	-	-
Repayment of Interest-bearing Borrowings		(1,912,874)	(1,986,291)	(122,000)	(82,000)
Dividend Paid		(54,000)	(54,000)	(54,000)	(54,000)
Dividend Paid to Non Controlling Interests		(113,402)	(88,598)	-	-
Net Cash Generated from/(used in) Financing Activities		2,304,742	2,278,260	(250,537)	(76,744)
Net Increase/(Decrease) in Cash & Cash Equivalents		(1,000,713)	243,160	2,107	10,305
Cash & Cash Equivalents at the beginning of the year	20	(649,174)	(892,333)	19,165	8,860
Cash & Cash Equivalents at the end of the year	20	(1,649,887)	(649,173)	21,272	19,165

The Notes from pages 28 to 124 form an integral part of these Financial Statements
Figures in brackets indicate deductions.

Statement of Cash Flows Contd.

For the year ended 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
A. Profit before Working Capital Changes				
Profit/(Loss) before Tax	(538,016)	85,726	152,560	92,531
Adjustments for;				
Depreciation and Amortisation	1,216,968	983,760	4,909	4,815
Dividend Income	(25,480)	(17,947)	(91,040)	(55,197)
Rent Income	(18,148)	(17,073)	-	-
Interest Expense	1,567,520	1,550,679	62,767	98,848
Amortisation of Intangible Assets	8,715	1,541	-	-
Amortisation of Capital Grants	(21,228)	(20,419)	-	-
Gain on Disposal of Property, Plant & Equipment	(68,331)	(35,933)	-	-
Exchange Gain on Translation of Foreign Currency Loan	106,040	33,522	-	-
Interest Income	(51,907)	(79,049)	(33,388)	(45,779)
Provision for Retirement Gratuity	467,760	418,238	-	-
Share of (Profit)/Loss of Equity Accounted Investees	10,662	(30,146)	-	-
Net Gain on Disposal of Available-for-Sale Financial Assets	(38,054)	(22,373)	(72,944)	(4,832)
Change in Fair Value of Held for Trading Financial Investments	202,029	(142,417)	-	-
Impairment of Investments in Subsidiaries	-	-	57,011	-
Impairment Loss of Trade & Other Receivables	151,933	53,433	-	-
Change in Fair Value of Biological Asset	(65,679)	(190,838)	-	-
Impairment/(Reversal of Impairment Loss) of PPE	19,940	98,667	-	-
Impairment/(Reversal of Impairment Loss) of Inventories	97,815	(23,367)	-	-
Creditors No Longer Payable Written Back	(15,060)	(13,335)	-	-
Gain from Bargain Purchase	(193)	-	-	-
Impairment of Goodwill	54,722	-	-	-
	3,062,008	2,632,670	79,875	90,386

B. Acquisition of Subsidiary

Colombo Fort Hotels Limited, a subsidiary has acquired 100% of the Stated Capital of Lak Kraft (Private) Limited on 16th December 2015 and Sherwood Holidays Limited on 30th March 2016 for a consideration of Rs. 46.33 million and Rs. 1 million respectively.

The acquisition had the following effects on the Group assets and liabilities

	Lak Kraft (Private) Limited Rs.'000	Sherwood Holidays Limited Rs.'000	Total Rs.'000
Property, Plant and Equipment	1,568	114,051	115,619
Inventories	138	825	963
Trade & Other Receivables	830	621	1,451
Amount due from Related Parties	50,000	1,189	51,189
Cash & Cash Equivalents	4,013	(231)	3,782
Deferred Tax Liability	(84)	-	(84)
Retirement Benefit Obligations	-	(303)	(303)
Trade & Other Payables	(7,825)	(11,300)	(19,125)
Amount due to Related Parties	(2,000)	(147,647)	(149,647)
Net Identifiable Assets and Liabilities	46,640	(42,795)	3,845
Net Assets Acquired	28,828	(26,452)	2,377
Gain from Bargain Purchase	(193)	-	(193)
Goodwill on Acquisition	-	27,070	27,070
Investment made by Equity Holders of the Parent	28,635	618	29,253
Investment allocated to Minority Interest	17,692	382	18,074
Cash Consideration paid on Acquisition of Subsidiary	46,327	1,000	47,327
Cash & Cash Equivalents Acquired	(4,013)	231	(3,782)
	42,314	1,231	43,545

Notes to the Financial Statements

ACCOUNTING POLICIES

1. REPORTING ENTITY

The Colombo Fort Land and Building PLC is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office and principal place of business of the Company is located at No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1.

The ordinary shares of the Company are listed on the Colombo Stock Exchange. In the Annual Report of the Board of Directors and in the financial statements, 'the Company' refers to The Colombo Fort Land & Building PLC as the Parent Company and 'the Group' refers to the companies whose accounts have been consolidated therein.

The principal activities of the Company include real estate and property development, management of an investment portfolio and provision of management services. The companies within the Group are engaged in;

- a) Real estate and property development.
- b) Manufacture and marketing of chemicals, paints, hardware, building materials and packaging.
- c) Manufacture and marketing of consumer disposables, food & beverage products and marketing and distribution of pharmaceuticals.
- d) Marketing of motor vehicles & accessories and providing vehicle maintenance services.
- e) Tourist hotels and inbound tour operations.
- f) Production, processing and marketing of tea, rubber and desiccated coconut.
- g) Management of investment portfolios.
- h) Provision of management services.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The financial statements of the Company and the consolidated financial statements have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs) adopted by The Institute of Chartered Accountants of Sri Lanka (CA) and the requirements of the Companies Act No.07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

The financial statements of the Company and those consolidated with such comprise of the Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position and Statement of Changes in Equity and Statement of Cash flows together with the Accounting Policies and Notes to the financial statements.

The consolidated financial statements of the Group and the Company for the year ended 31st March, 2016 were authorised for issue by the Board of Directors on 23rd August, 2016.

2.2 Basis of Measurement

The consolidated financial statements have been prepared on an accrual basis and under the historical cost basis, except for measurement of the following material items in the Statement of Financial Position:

- Derivative financial instruments are measured at fair value
- Non-derivative financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Biological assets (managed timber) are measured at fair value less costs to sell
- Defined benefit assets are measured at the present value of the defined benefit obligations.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1: inputs are unadjusted quoted prices in active markets for identical assets or liabilities

Level 2: inputs are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: inputs are inputs that are not based on observable market data (unobservable inputs)

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

2.3 Functional and Presentation Currency

The financial statements are presented in Sri Lankan rupees, which is the Group's functional currency. All financial information presented in Sri Lankan rupees has been rounded to the nearest thousand, except when otherwise indicated.

2.4 Use of Estimates, Judgments and Assumptions

The preparation of consolidated financial statements in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities at the reporting date. Judgments and estimates are based on historical experience

and other factors including expectations that believe to be reasonable under circumstances. Actual results may differ from those estimates and judgmental decisions.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

	Policy No.	Note No.
Valuation of Property, Plant and Equipments	3.2.1	10
Valuation of Leasehold Properties	3.8.1	11
Valuation of Investment Properties	3.2.6	12
Valuation of Intangible Assets	3.2.8	13
Deferred Tax Assets	3.7.2	17
Valuation of Employee Benefit Liabilities	3.4	26
Provisions, Contingent Assets and Liabilities	3.5	32

Judgments, estimates and assumptions made by management in the application of SLFRSs/LKASs that could have a significant effect on the financial statements are mentioned below.

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and the accounting policies have been applied consistently by the Group.

Comparative information has where necessary been reclassified to conform to the current year's presentation.

3.1 Basis of Consolidation

The consolidated financial statements (referred to as the 'Group') comprise of the financial statements of the Company, its Subsidiaries and the Group's interest in equity accounted investees (Associates).

Business combinations are accounted for using acquisition method as at the acquisition date, which is the date on which control is transferred to the Group. Control is the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, the Group takes into consideration potential voting rights that currently are exercisable.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance. A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it;

- Derecognises the assets (including goodwill) and liabilities of the subsidiary.
- Derecognises the carrying amount of any non-controlling interest.

- Derecognises the cumulative translation differences, recorded in equity.
- Recognises the fair value of the consideration received.
- Recognises the fair value of any investment retained.
- Recognises any surplus or deficit in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income.
- Reclassifies the Parent's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred including the recognised amount of any non-controlling interests in the acquiree, plus if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interests at fair value, or at their proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

In a business combination achieved in stages, the Group remeasures its previously held equity interest in the acquiree at its acquisition-date fair value and recognises the resulting gain or loss, if any, in the Statement of Profit or Loss and Other Comprehensive Income.

3.1.1 Acquisitions of Non-Controlling Interest

Acquisitions of non-controlling interests are accounted for as transactions with owners, in their capacity as owners and therefore no goodwill is recognised as a result. Adjustments to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

Notes to the Financial Statements Contd.

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; the contractual arrangement with the other vote holders of the investee, rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company. The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group

The following companies in which the Group's effective holding is less than 50% have been consolidated as the group has the practical ability to direct the relevant activities of these entities, unilaterally.

Company Name	Holding
Creasy Plantation Management Limited	24.55%
Muller and Phipps (Ceylon) PLC	30.72%
Laxapana Batteries PLC	30.89%
Marawila Resorts PLC	38.76%
C.W. Mackie PLC	34.04%
Lankem Plantation Services Limited	35.39%
Agarapatana Plantations Limited	39.15%
Sigiriya Village Hotels PLC	40.10%
J.F. Packaging (Private) Limited	42.76%
B.O.T Hotel Services (Private) Limited	47.71%
Beruwala Resorts PLC	47.71%
York Arcade Holdings PLC	49.84%

The financial statements of subsidiaries are included in the consolidated financial statements from the date the control effectively commences until the date that control effectively ceases.

Loss of Control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and other components of equity relating to the subsidiary. Any surplus or deficit

arising on the loss of control is recognised in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as an available-for-sale financial asset depending on the level of influenced retained.

3.1.3 Investments in Equity Accounted Investees (Associates and Jointly Controlled Entities)

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20% and 50% of the voting power of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The group has Joint Control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

Associates and Joint ventures are treated as equity accounted investees and are accounted for using the equity method.

Under the equity method Investments in equity-accounted investees are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is adjusted at each reporting date to recognise changes in the Group's share of net assets of the equity-accounted investees arising since the acquisition date. Goodwill relating to the equity-accounted investees is included in the carrying amount of the investment. Dividends declared by the equity-accounted investees are recognised against the equity value of the Group's investment.

The income statement reflects the Group's share of the results of operations of the equity accounted investees. When there is a change recognised directly in the equity of the entity, the Group recognizes its share of any changes, when applicable, in the statement of changes in equity. Unrealised gains and losses resulting from transactions between the Group and the equity-accounted investees are eliminated to the extent of the interest in the equity-accounted investees.

The Group's share of profit or loss of equity accounted investees is shown on the face of the income statement and represents profits or loss after tax of the entity and the non-controlling interests in the subsidiaries of the equity-accounted investees.

Adjustments are made if necessary, to the financial statements of the equity accounted investees to bring the accounting policies in line with those of the Group. After application of the equity method, the Group determines whether it is necessary to recognize on

impairment loss on its investment in its equity accounted investee. The Group determines at each reporting date whether there is any objective evidence that the investment in the equity accounted investee is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the equity-accounted investees and its carrying value and recognises the amount in 'share of losses of an equity accounted investee' in the income statement.

Upon loss of significant influence over the associate or the joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the equity accounted investee disposed and the fair value of the retaining investment and the proceeds from disposal is recognised in the income statement.

Summarised financial information in respect of subsidiaries that have non-controlling interests that are material to the reporting entity (i.e., the Group) is disclosed separately when applicable.

Non Controlling Interest

Non controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit or loss for the year in the Consolidated Statement of Profit or Loss and Other Comprehensive Income and as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent's shareholders' equity.

3.1.4 Other Long-Term Investments

Investment in companies where the Group's holding is less than 20% and where the Group does not exercise significant influence and/or control over the financial and operating policies/decisions are accounted for on the basis stated in 3.3 below. The income from these investments is recognised only to the extent of dividend received.

3.1.5 Profits and Losses

The total profits and losses of the Company and its subsidiaries for the period are included in the consolidation. The proportion of the profit or loss after taxation attributable to non controlling interest shareholders of the subsidiaries is shown as a component of profit for the period in the Consolidated Statements of Comprehensive Income.

3.1.6 Assets and Liabilities

All assets and liabilities of the Company and its subsidiaries are included in the Consolidated Statement of Financial Position. Non controlling interest which represents the proportion of interest attributable to non controlling interest of subsidiaries in the net assets employed by the Group is disclosed as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent shareholders' equity.

3.1.7 Transactions Eliminated on Consolidation

All intra group balances and transactions, income and expenses and profits and losses resulting from intra group transactions that are recognised in assets, liabilities, income and expenses are eliminated in preparing the consolidated financial statements.

3.1.8 Financial Period

All subsidiaries and associate companies of the Group have a common financial year as the Parent Company.

3.1.9 Foreign Currency Transactions

All foreign currency transactions are translated to Sri Lankan Rupees at the exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into local currency at the exchange rate at that date.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items in a foreign currency that are measured based on historical cost are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

3.2 Property, Plant & Equipment

3.2.1 Recognition and Measurement

Items of property, plant & equipment are measured at cost less accumulated depreciation and accumulated impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the following:

- The cost of materials and direct labour
- Any other costs directly attributable to bringing the assets to a working condition for their intended use
- When the entity has an obligation to remove the asset or restore the site an estimate of the costs of dismantling and removing the items and restoring the site on which they are located
- Capitalised borrowing costs

When parts of an item of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

Any gain or loss on disposal of an item of property, plant & equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Notes to the Financial Statements Contd.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use the previous revaluation as deemed cost on 1st April, 2011, the date of transition.

3.2.2 Subsequent Expenditure

The cost of replacing part of an item of property, plant & equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of those parts that are replaced is derecognised in accordance with the derecognition policy given below. The costs of the day-to-day servicing of property, plant & equipment are recognised in profit or loss as incurred.

3.2.3 Derecognitions and Depreciations

Derecognition

Items of property, plant & equipment are derecognised upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

Depreciation

Depreciation is calculated on a straight-line basis over the estimated useful lives of each part of an item of property, plant & equipment. Assets held under finance leases are depreciated over the shorter of the lease term and the useful lives of equivalent owned assets. Freehold land is not depreciated.

Depreciation of an asset begins when it is available for use and ceases at the earlier of the dates on which the asset is classified as held for sale or is derecognised.

Provision for depreciation is calculated by using a straight-line method on the cost or valuation of all property, plant & equipment, other than freehold land, in order to write off such amounts over the estimated useful economic life of such assets.

The estimated useful lives of assets are as follows:

Assets	Years
Freehold Buildings	10 - 40
Plant & Machinery	04 - 13 1/3
Motor Vehicles	04 - 05
Office Equipment	08 - 10
Furniture & Fittings	08 - 10
Computer Equipment	04 - 05
Sanitation, Water Supply and Electricity	20
Mature Plantations – Tea	33 1/3
Mature Plantations – Rubber	20
CTC Machinery	20

Assets	Years
Freehold Buildings on Leasehold Lands	Over the lease period or estimated useful life whichever is shorter
Linen, Cutlery & Crockery	On replacement basis / 4 years

The useful life and residual value of assets are reviewed, and adjusted if required, at the end of each financial year.

3.2.4 Finance Leases

Property, plant & equipment on finance leases, which effectively transfer to the Group substantially all the risk and benefits incidental to ownership of the leased items, are classified as leasehold assets under the property, plant & equipment and stated at an amount equal to the lower of their fair value and the present value of minimum lease payments at the inception of the lease, less the accumulated depreciation. Depreciation is made over the remaining lease or the useful life of the asset, whichever is shorter.

3.2.5 Operating Leases

Leases, where the lessor effectively retains substantially all of the risks and benefits of ownership over the term of the lease, are classified as operating leases. Lease payments are recognised as an expense in the Statement of Profit or Loss and Other Comprehensive Income over the term of the lease.

3.2.6 Investment Property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not held for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes.

Cost includes expenditure that is directly attributable to the acquisition of the investment property. The cost of self constructed investment property includes the cost of materials and direct labour, any other costs directly attributable to bringing the investment property to a working condition for their intended use and capitalised borrowing costs.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use fair value as at the date of transition, 1st April 2011 as deemed cost. Consequently, investment property is measured at deemed cost less accumulated depreciation and any impairment losses. Depreciation is recognised on a straight-line basis over the estimated useful life of the investment property.

The estimated useful life of investment properties in the Group are as follows:

York Arcade Building - 33 year
C.W. Mackie Building - 40 year

Investment properties are derecognised when disposed of, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on retirement or disposal are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal. Transfers are made to and from investment property only when there is a change in use in accordance with the criteria listed in LKAS 40 - Investment Property.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant & equipment in the consolidated financial statements, and accounted for in accordance with LKAS 16 - Property, Plant & Equipment.

3.2.7 Borrowing Costs

Borrowing costs are recognised as an expense in the period in which they are incurred except those that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, where it is capitalised as a part of the cost of that asset.

3.2.8 Intangible Assets

An intangible asset is initially recognised at cost, if it is probable that future economic benefit will flow to the enterprise, and the cost of the asset can be measured reliably.

Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life, from the date that they are available for use and assessed for impairment whenever there is an indication that the intangible asset may be impaired.

The amortisation period and the amortisation method for an intangible asset with finite useful life is reviewed at least once at each financial year end.

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash-generating unit level.

Goodwill

Goodwill arising on an acquisition represents the excess of the cost of acquisition over the fair value of net assets acquired. Goodwill is measured at cost less accumulated impairment losses.

Gain from bargain purchase arising on an acquisition represents the excess of the fair value of the net assets acquired over the cost of acquisition. Gain from bargain purchase is recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

Software

All computer software cost incurred, which are not internally related to associate hardware, which can be clearly identified, reliably measured and its probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category of intangible assets.

3.2.9 Inventories

Inventories are measured at lower of cost and estimated net realisable value.

In general, cost is determined on weighted average basis other than in following companies whose cost of inventory is determined on first-in, first out basis (FIFO). The cost includes all expenses incurred in acquiring the inventories and bringing them to their existing condition. In the case of finished products, cost includes all direct expenditure and production overheads based on the normal level of activity.

E.B. Creasy & Company PLC

Creasy Foods Limited

Laxapana Batteries PLC

C.W. Mackie PLC - Import items

Net realisable value is the estimated selling price in the ordinary course of business less the estimated selling expenses and where applicable, cost of conversion from their existing state to the finished condition, allowing for costs of realisation and where applicable, cost of conversion from their existing state to the finished condition.

Provision is made for obsolete, slow moving and defective inventories where necessary.

3.3 Financial Instruments

3.3.1 Non-Derivative Financial Assets

The Group initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as fair value through profit or loss) are recognised initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in such transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

The Group classifies non-derivative financial assets into the following categories: financial assets at fair value through profit or loss, held-to-maturity financial assets, loans and receivables and available-for-sale financial assets.

Notes to the Financial Statements Contd.

(a) Financial Assets at Fair Value through Profit or Loss

A financial asset at fair value through profit or loss includes financial assets held for trading and financial assets designated upon initial recognition at fair value through profit or loss. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets at fair value through profit or loss are carried in the Statement of Financial Position at fair value with changes in fair value recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Financial assets designated as fair value through profit or loss comprises equity securities that otherwise would have been classified as available-for-sale.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate method (EIR), less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the Statement of Profit or Loss and Other Comprehensive Income. The losses arising from impairment are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Loans and receivables comprise of cash and cash equivalent, and trade and other receivables.

Cash and Cash Equivalents

Cash and cash equivalents comprise of cash balances and short term deposits with maturities of three months or less from the acquisition date that are subject to an insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

(c) Held-to-Maturity Investments

Non-derivative financial assets with fixed or determinable payments and fixed maturities are classified as held-to-maturity when the Group has the positive intention and ability to hold it to maturity. After initial measurement, held-to-maturity investments are measured at amortised cost using the effective interest method, less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance income in the Statement of Profit or Loss and Other Comprehensive Income. The losses arising from impairment are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

(d) Available-for-Sale Financial Investments

Available-for-sale financial investments include equity and debt securities. Equity investments classified as available-for-sale are those, which are not classified in any of the other categories. Debt securities in this category are those which are intended to be held for an indefinite period of time and which may be sold in response to needs for liquidity or in response to changes in the market conditions.

Available-for-sale financial assets are recognised initially at fair value plus any directly attributable transaction cost.

After initial measurement, available-for-sale financial investments are subsequently measured at fair value and changes therein, other than impairment losses are recognised in other comprehensive income and presented in the available-for-sale reserve in equity until the investment is derecognised. When an investment is derecognised, the gain or loss accumulated in the equity is reclassified to the Statement of Profit or Loss and Other Comprehensive Income.

3.3.2 Derecognition

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the asset have expired. The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either

- the Group has transferred substantially all the risks and rewards of the asset, or
- the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of it, the asset is recognised to the extent of the Group's continuing involvement in it.

In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

3.3.3 Impairment of Non-Derivative Financial Assets

The Group assesses at each reporting date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of

impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Objective evidence of impairment may include indications that the debtors or a group of debtors are experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganisation and where observable data indicate that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

(a) Financial Assets Measured at Amortised Cost

The Group considers evidence of impairment for financial assets measured at amortised cost (loans and receivables and held-to-maturity investment securities) at both a specific asset and collective level. All individually significant assets are assessed for specific impairment. Those found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are collectively assessed for impairment by grouping together assets with similar risk characteristics.

In assessing collective impairment, the Group uses historical trends of the probability of default, the timing of recoveries and the amount of loss incurred, adjusted for the management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical trends.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. Losses are recognised in profit or loss and reflected in an allowance account against loans and receivables or held-to-maturity investment securities. Interest on the impaired asset continues to be recognised. When an event occurring after the impairment was recognised causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Available-for-Sale Financial Assets

Impairment losses on available-for-sale financial assets are recognised by reclassifying the losses accumulated in the fair value reserve in equity to profit or loss. The cumulative loss that is reclassified from equity to profit or loss is the difference

between the acquisition cost, net of any principal repayment and amortisation, and the current fair value, less any impairment loss recognised previously in profit or loss. Changes in cumulative impairment losses attributable to application of the effective interest method are reflected as a component of interest income. If, in a subsequent period, the fair value of an impaired available-for-sale debt security increases and the increase can be related objectively to an event occurring after the impairment loss was recognised, then the impairment loss is reversed, with the amount of the reversal recognised in profit or loss. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognised in other comprehensive income.

3.3.4 Non-Derivative Financial Liabilities

Financial liabilities within the scope of LKAS 39 are classified as financial liabilities at fair value through profit or loss, loans and borrowings, or as derivatives as appropriate and determine the classification of its financial liabilities at initial recognition.

The Group initially recognises debt securities issued and subordinated liabilities on the date that they are originated. All other financial liabilities (including liabilities designated as at fair value through profit or loss) are recognised initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

The Group derecognises a financial liability when its contractual obligations are discharged, cancelled or expired. All financial liabilities are recognised initially at fair value and in the case of loans and borrowings, plus directly attributable transaction costs.

The Group classifies non-derivative financial liabilities into the other financial liabilities category. Such financial liabilities are recognised initially at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these financial liabilities are measured at amortised cost using the effective interest method.

Other financial liabilities include trade and other payables, bank overdrafts, loans and borrowings and financial guarantee contracts.

(a) Borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the effective interest rate method (EIR) amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the Statement of Profit or Loss and Other Comprehensive Income.

Notes to the Financial Statements Contd.

(b) Financial Guarantee Contracts

Financial guarantee contracts issued by the Group are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the best estimate of the expenditure required to settle the present obligation at the reporting date and the amount recognised less cumulative amortisation.

(c) Bank Overdrafts

Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

(d) Share Capital/Ordinary Shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

3.3.5 Derivative-Financial Instruments

Derivatives, including separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments. Financial assets at fair value through profit and loss are carried to the Statement of Financial Position at fair value with changes in fair value recognised in finance income or finance costs in the Statement of Profit or Loss and Other Comprehensive Income.

3.3.6 Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated Statement of Financial Position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

3.3.7 Impairment of Non-Financial Assets

The carrying amounts of the Group's non-financial assets, other than biological assets, investment property, inventories and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash generating unit's (CGUs) fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount

of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss except for impairment losses in respect of property, plant & equipment which are recognised against the revaluation reserve to the extent that it reverses a previous revaluation surplus.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. Previously recognised impairment losses other than in respect of goodwill, are reversed only if there has been an increase in the recoverable amount of the asset. Such increase is recognised to the extent of the carrying amount had no impairment losses been recognised previously.

3.4 Employee Benefits

(a) Defined Benefit Plans - Retirement Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

The Group's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognised past service costs and the fair value of any plan assets are deducted.

The defined benefit obligation is calculated annually by independent qualified actuaries using Project Unit Credit method (PUC) as recommended by LKAS 19 - Employee Benefits. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows.

The actuarial gain or losses arising from defined benefit plans are recognised immediately in Other Comprehensive Income.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service.

(b) Defined Contribution Plan - Employees' Provident Fund & Employees' Trust Fund

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. All employees who are eligible for Provident Fund Contributions and Trust Fund Contributions are covered by relevant contribution funds in line with respective statutes and regulations.

Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in profit or loss in the periods during which related services are rendered by employees.

3.5 Provisions, Contingent Assets and Contingent Liabilities

Provisions are made for all obligations present, legal or constructive obligations existing as at the reporting date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow.

All contingent liabilities are disclosed as a note to the financial statements unless the outflow of resources is remote.

Contingent assets are disclosed, where inflow of economic benefit is probable.

3.6 Statement of Profit or Loss and Other Comprehensive Income

3.6.1 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group, and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts and value added taxes, after eliminating sales within the Group.

Revenue is generally accounted for on an accrual basis and following specific criteria are used for recognition of revenue:

(a) Sale of Goods

Revenue from the sale of goods is recognised when the significant risk and rewards of ownership of the goods have passed to the buyer with the Group retaining neither a continuing managerial involvement to the degree usually associated with ownership, nor an effective control over the goods sold.

(b) Rendering of Services

Revenue from rendering of services is recognised in Statement of Profit or Loss and Other Comprehensive Income in the accounting period in which the services are rendered or performed.

(c) Revenue from Construction Contracts

Revenue from construction contracts are calculated on the basis of the percentage completion method.

Revenue is accounted proportionately and accrued accordingly on the jobs which are substantially completed as at the reporting date. The stage of completion is assessed by reference to the surveys of work performed.

(d) Revenue from Hotel Services

Apartment revenue is recognised on the rooms occupied on a daily basis and food and beverage and other hotel related sales are recognised at the point of sale.

(e) Dividend Income

Dividend income is recognised when the shareholders' right to receive such dividend is established.

3.6.2 Expenditure Recognition

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to Statement of Profit or Loss and Other Comprehensive Income in arriving at the profit for the year. Expenditure incurred for the purpose of acquiring and extending or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

For the purpose of presentation of the Statement of Profit or Loss and Other Comprehensive Income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company and the Group's performance.

3.6.3 Finance Income and Finance Cost

Finance income comprises interest income on funds invested (including available-for-sale financial assets). Interest income is recognised as it accrues in the Statement of Profit or Loss and Other Comprehensive Income, using the effective interest method.

Finance costs comprise of all interest and other costs incurred in connection with borrowings, and are recognised as an expense in the period in which they are incurred, unless they are incurred in respect of qualifying assets in which case it is capitalised.

Foreign currency gains and losses are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3.7 Income Tax Expenses

Income tax expense comprises of current and deferred tax. Income tax expense is recognised in Statement of Profit or Loss and Other Comprehensive Income except to the extent that it relates to items recognised directly in other comprehensive income or Changes in Equity, in which case it is recognised directly in the respective statement.

3.7.1 Current Tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted at the reporting date and any adjustments to tax payable in respect of previous years.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act, No.10 of 2006 and subsequent amendments thereto.

Notes to the Financial Statements Contd.

3.7.2 Deferred Tax

Deferred taxation is the tax attributable to the temporary differences that arise when taxation authorities recognise and measure assets and liabilities with rules that differ from those used in the financial statements.

Deferred tax is provided using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognised for all deductible temporary differences, unused tax credits and tax losses carried forward to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, the unused tax credits and tax losses carried forward can be utilised.

Deferred tax is not recognised for the following temporary differences:

- Taxable temporary differences arising on the initial recognition of goodwill
- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects either accounting nor taxable profit
- Temporary differences related to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Tax withheld in dividend income from subsidiaries and associates is recognised as an expense in the consolidated Statement of Profit or Loss and Other Comprehensive Income at the same time as the liability to pay the related dividend is recognised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group Statement of Financial Position and are not offset against each other.

3.8 Accounting Policies which are Specific to the Business of Plantation Companies

The plantation companies in the Group adopt certain accounting policies, which differ from that of the Group since the nature of operation of the plantation companies is significantly different from

that of the rest of the Group. Those accounting policies of plantation companies that significantly vary from the rest of the Group are given below:

3.8.1 Leasehold Properties

Leasehold properties comprise of leasehold rights of assets (bare lands and immovable lease assets) taken over from Janatha Estate Development Board (JEDB) / Sri Lanka State Plantation Corporation (SLSPC) on a long term basis.

Withdrawal of UITF Rulings in Plantation Sector

The Urgent Issue Task Force (UITF) rulings issued prior to 1st April, 2012 have been superseded by the Sri Lanka Accounting Standards with effect from 1st April, 2012. Consequently it is now required to treat transactions, in which any of UITF rulings applied, in accordance with the Sri Lanka Accounting framework effective from 1st April, 2012.

The Company has recorded Leasehold Property (Leasehold Right to the Land) and correspondent liability in terms of UITF ruling issued by The Institute of Chartered Accountants of Sri Lanka prior to 1st April, 2012. It has been superseded by the Statement of Recommended Practice (SORP) for Right-To-Use of Land on Lease which was approved by the Council of the Institute of Chartered Accountants of Sri Lanka on 19th December, 2012. Accordingly, the Leasehold Property is re-classified as "Right-To-Use of Land", corresponding net liability to lessor re-classified as "Liability to make lease payment". If facts or circumstances indicate that there would be a significant change in the liability to make lease payment since the previous reporting period, then the Company would elect to reassess the liability to make lease payment and right to use land at sufficient frequency to ensure that such liability and asset does not differ materially from its carrying amount.

Description of the Property	No. of Years
Bare Land of JEDB/SLSPC	53
Land Development Cost (Improvement to Land)	30
Buildings other than Worker Housing	25
Plant and Machinery	15
Water Projects and Sanitation	30
Mature Plantations – Tea	30
Mature Plantations - Rubber	30
Mature Plantations – Others	25
Road and Bridges	40
Fences and Securities	20
Power Augmentation	20

3.8.2 Permanent Land Development Costs

Permanent land development costs are those costs incurred to make major changes to land contours to build new access roads and other major infrastructure development. Such expenditure on leasehold

land has been capitalised and amortised over the remaining lease period. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

3.8.3 Limited Life Land Development Costs (Mature and Immature Plantations)

The cost of new planting, replanting, inter-planting and crop diversification incurred between the time of field development and being ready for commercial harvesting are classified as immature plantations. Further, the general charges incurred on the plantation are apportioned on the labour days spent on respective replanting and new planting, and capitalised on the immature areas. The remaining portion of the general charges is charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which it is incurred. No depreciation is provided for immature plantation.

The total expenditure incurred on perennial crops (Tea & Rubber) which come into bearing during the year have been transferred to mature plantations and depreciated over its useful life time. No depreciation has been charged on mature plantations in the year of transfer. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such assets in the year of occurrence after ascertaining the loss.

3.8.4 Borrowing Cost

Borrowing costs that are directly attributable to acquisition, construction or production of a qualifying asset, which takes a substantial period of time to get ready for its intended use or sale, are capitalised as a part of the asset.

Borrowing costs that are not capitalised are recognised as expenses in the period in which they are incurred and charged to the Statement of Profit or Loss and Other Comprehensive Income.

The amounts of the borrowing costs which are eligible for capitalisation are determined in accordance with LKAS 23 – “Borrowing Costs”.

Borrowing costs incurred in respect of specific loans that are utilised for field development activities have been capitalised as a part of the cost of the relevant immature plantation. The capitalisation will cease when the crops are ready for commercial harvest.

3.8.5 Infilling Cost on Bearer Biological Assets

Where infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalised in accordance with Sri Lanka Accounting Standard No. 16 and depreciated over the useful life at rates applicable to mature plantation.

Infilling costs that are not capitalised have been charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which they are incurred.

3.8.6 Inventories

Finished Goods Manufactured from Agricultural Produce of Biological Assets.

These are valued at the lower of cost and estimated net realisable value, after making due allowance for obsolete and slow moving items. Net realisable value is the estimated selling price at which stocks can be sold in the ordinary course of business after allowing for cost of realisation and/or cost of conversion from their existing state to saleable condition.

Input Material	At average cost (Agarapataka Plantations Limited) At actual cost on FIFO basis (Kotagala Plantations PLC)
Growing Crop-Nurseries	At the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads less provision for overgrown plants.
Spares & Consumables	At actual cost on FIFO basis.
Produce Stocks	Estimated realisable price or since realised price

3.8.7 Grants and Subsidies

Grants are recognised where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the grant relates to an asset, it is set up as deferred income. Where the Company receives non-monetary grants, the asset and that grant are recorded at nominal amounts and are released to the Statement of Profit or Loss and Other Comprehensive Income over the expected useful life of the relevant asset by equal annual instalments.

3.8.8 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty. The following specific criteria are used for the purpose of recognition of revenue:

- Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer, usually on delivery of the goods. Revenue

Notes to the Financial Statements Contd.

is recorded at invoice value net of brokerage, sale expenses and other levies related to revenue.

- b) Gains and losses on disposal of an item of Property, Plant & Equipment are determined by comparing the net sales proceeds with the carrying amounts of Property, Plant & Equipment and are recognised within 'other operating income' in the Statement of Profit or Loss and Other Comprehensive Income.
- c) Interest is recognised on a time proportion basis that takes into account the effective interest rate on asset.
- d) Rental income is recognised on an accrual basis.
- e) Other income is recognised on cash basis in Agaratana Plantations Limited & on accrual basis in Kotagala Plantations PLC.

3.8.9 Retirement Benefit Obligations

The Retirement Benefit Plan adopted is as required under the Payment of Gratuity Act No.12 of 1983 to eligible employees. This item is grouped under Retirement Benefit Obligations in the Statement of Financial Position.

All Workers and Staff

Provision of gratuity for all workers and staff is on actuarial basis, using the Projected Unit Credit (PUC) method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using the interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised as income and expense in the period in which they arise. Past service costs are recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

The actuarial valuation was carried out by a professionally qualified actuary firm Messrs. Actuarial & Management Consultants (Private) Limited as at 31st March, 2016.

The Group expects to carry out actuarial valuation once in every two years. The key assumptions used by the actuary include the following.

- Rate of Interest - 11% p.a.
- Salary Increment Rate - Staff 10% per annum
- Workers 16% once in two years
- Retirement Age - Staff 60 years
- Workers 60 years
- Daily Wage Rate - Rs. 450/- for workers

3.8.10 Biological Assets

Biological assets are classified as mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain

regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, rubber, other plantations and nurseries are classified as biological assets.

Biological assets are further classified as bearer biological assets and consumable biological assets. Bearer biological asset includes tea trees, those that are not intended to be sold or harvested, however used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets include managed timber that are to be harvested as agricultural produce or sold as biological assets.

The entity recognise the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property Plant & Equipment as per the ruling issued by the Institute of Chartered Accountants of Sri Lanka (ICASL).

The managed timber is measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial. The fair value of timber trees are measured using Discounted Cash Flow (DCF) method taking into consideration the current market prices of timber, applied to expected timber content of a tree at maturity by an independent professional value.

The Main Variables in DCF Model Concerns;

Variable	Comment
Currency valuation	Rs.
Timber content	Estimate based on physical verification of girth, height and considering the growth of each species in different geographical regions. Factor all the prevailing statutory regulations enforced against harvesting of timber coupled with the forestry plan of the Company.
Economic useful life	Estimated based on the normal life span of each species by factoring the forestry plan of the Company.
Selling price	Estimated based on prevailing Sri Lankan market prices. Factor all the conditions to be fulfilled in bringing the trees into saleable condition.

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in the Statement of Profit or Loss and Other Comprehensive Income for the period in which it arises.

3.9 Statement of Cash Flow

The Statement of Cash Flow has been prepared using 'indirect method'. Interests paid are classified as operating cash flows while dividends paid are classified as financing cash flows. Interests and dividends received are classified as investing cash flows for the purpose of presentation of Statement of Cash Flow.

For the purpose of Statement of Cash Flow, cash & cash equivalents consist of cash at bank and in hand and short term deposits net of outstanding bank overdrafts.

3.10 Segmental Reporting

A segment is a distinguishable component of an enterprise that is engaged in either providing products or services (Business Segments) or in providing products or services within a particular economic environment (Geographic Segment) which is subject to risks and rewards that are different from those of other segments.

Segment information is presented in respect of the Group's business activities. The business segment has been identified as the primary segment of the Group as there are no distinguishable components to be identified as geographical segments for the Group. The business segments are reported based on the Group's management and internal reporting structure.

3.11 Related Party Transactions

Disclosures have been made in respect of the transactions between parties who are defined as related parties as per Sri Lanka Accounting Standards (LKAS) 24 – Related Party Disclosures.

3.12 Earnings per Share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.13 Events after the Reporting Period

All material occurring events after the reporting period have been considered and appropriate adjustments to or disclosures have been made in the financial statements.

3.14 Financial Risk Management Policies

The Group's principal financial liabilities comprise of loans and borrowings, trade and other payables, and financial guarantee contracts. The main purpose of these financial liabilities is to finance the Group's operations and to provide guarantees to support its operations. The Group has loan and other receivables, trade and other receivables, and cash and short-term deposits that arrive directly from its operations. The Group also holds available-for-sale investments and enters into derivative transactions.

The Group is exposed to market risk, credit risk and liquidity risk. The Group's senior management monitors these risks. The Group's senior management is supported by an Audit Committee that advises on financial risks and the appropriate financial risk governance framework for the Group. The Audit Committee provides assurance to the Group's senior management that the Group's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with group policies and group risk appetite.

The Group's objectives, policies and processes for measuring and managing risk from financial instruments and the management of capital are reported separately in Note 31 in conformity with Sri Lanka Financial Reporting Standards.

3.15 New and Amended Standards and Interpretations Adopted During the Year

For the first time, the Group applied, the following new Sri Lanka Accounting Standards and amendments which became applicable to the financial statements with effect from 1st January 2014.

3.16 New Accounting Standards Issued But Not Effective as at the Reporting Date

The Institute of Chartered Accountants of Sri Lanka has issued the following standards which become effective for annual periods beginning after the current financial year. Accordingly these standards have not been applied in preparing these financial statements. The Group expects that these standards when applied will have substantial impact on the financial performance, financial position and disclosures. The Group will be adopting these standards when they become effective.

- **SLFRS 9 – Financial Instruments**

SLFRS 9 as issued reflects the replacement of LKAS 39 and Applies to the classification and measurement financial assets and financial liabilities as defined in LKAS 39. This standard becomes effective for annual periods beginning on or after January 01, 2018. The adoption of SLFRS 9 will have an impact on classification and measurement of the Group's financial assets.

- **SLFRS 14 – Regulatory Deferral Accounts**

The scope of this standard is limited to first time adopters of SLFRS

Notes to the Financial Statements Contd.

that already recognize regulatory deferral account balances in their financial statements. Consequently, the financial statements of rate regulated entries that already apply SLFRS, or that do not otherwise recognize such balances, will not be affected by this standard. This standard is effective for the annual periods beginning on or after 01st January, 2016.

- **SLFRS 15 – Revenue from Contracts with Customers**

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaces existing revenue recognition guidance, including LKAS 18 on 'Revenue', and LKAS 11 on 'Construction Contracts'. SLFRS 15 is effective for annual reporting periods beginning on or after 01st January 2018, with early adoption permitted.

- **LKAS 16/41 - "Bearer Plants"**

The Institute of Chartered Accountants of Sri Lanka has issued an amendment to the financial reporting for bearer plants. LKAS 41 - "Agriculture" currently requires that all biological assets related to agricultural activity should be measured at fair value less costs to sell. This is based on the principle that the biological transformation that these assets undergo during their lifespan is best reflected by fair value measurement. However, there is a subset of biological assets, known as bearer plants, which are used solely to grow produce over several periods. At the end of their productive lives they are usually scrapped. Once a bearer plant is mature, apart from bearing produce, its biological transformation is no longer significant in generating future economic benefits. The only significant future economic benefits it generates come from the agricultural produce that it creates.

Therefore, LKAS 41 - "Bearer Plants" requires that the bearer plants should be accounted for in the same way as property, plant and equipment in LKAS 16 - "Property, Plant and Equipment", because their operation is similar to that of manufacturing. Consequently, the amendments include bearer plants within the scope of LKAS 16, instead of LKAS 41. The produce growing on bearer plants will remain within the scope of LKAS 41.

The company is required to apply the amendments for annual periods beginning on or after 1 January, 2016.

At present, the Company is in the process of quantifying the impact of applying this amendments to LKAS 41 - "Bearer Plants."

For the year ended 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
4 REVENUE				
4.1 Summary				
Gross Revenue	38,471,884	36,772,944	95,523	105,244
Revenue Related Taxes	(1,611,780)	(1,388,344)	-	-
Net Revenue	36,860,104	35,384,600	95,523	105,244
4.2 Business Segment Analysis				
Trading of Consumer Products	21,348,899	22,937,513	-	-
Trading of Industrial Products	12,000,050	9,676,440	-	-
Leisure	1,299,017	982,911	-	-
Plantations	6,621,958	7,183,849	-	-
Others	1,141,306	1,028,949	95,523	105,244
	42,411,230	41,809,662	95,523	105,244
Less: Inter-Segment Revenue	(5,551,126)	(6,425,062)	-	-
Net Revenue	36,860,104	35,384,600	95,523	105,244
5 OTHER INCOME / (EXPENSES)				
5.1 Other Income				
Gain on Disposal of Property, Plant and Equipment	68,331	35,933	-	-
Dividend Income	25,480	17,947	91,040	55,197
Sale of Rubber Trees	102,107	183,193	-	-
Amortisation of Grants and Subsidies	21,227	20,419	-	-
Net Gain on Disposal of Available for Sale Financial Assets	38,054	22,373	72,944	4,832
Commission Income	169,685	227,963	6,802	5,704
Sale of Timber & Scrap	5,961	14,632	-	-
Creditors No Longer Payable Written Back	15,060	13,335	-	-
Change in Fair Value of Biological Assets	65,679	190,838	-	-
Rental Income	137,566	117,546	-	-
Gain on Change in Fair Value of Held for Trading Investments	-	142,417	-	-
Gain from Bargain Purchase	193	-	-	-
Sundry Income	111,702	61,659	3,155	2,985
	761,045	1,048,256	173,941	68,718
5.2 Other Expenses				
Loss on Change in Fair Value of Held for Trading Investments	202,029	-	-	-
Impairment of Investment in Subsidiaries	-	-	57,012	-
Provision for impairment/ (Reversal of Provision) of Inventory	97,815	(23,367)	-	-
Impairment of Trade and other receivables	151,933	53,433	-	-
Impairment of Goodwill (Note 13.1.2)	54,722	-	-	-
Impairment of Property Plant and Equipment	19,940	98,667	-	-
Others	55,801	7,196	-	-
	582,240	135,929	57,012	-

Notes to the Financial Statements Contd.

	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
6 NET FINANCE COST				
Finance Income				
Interest Income	51,907	79,049	33,388	45,779
Net Gain/(Loss) on Translation of Foreign Currency	(72,451)	129,806	-	-
Total	(20,544)	208,855	33,388	45,779
Finance Costs				
Interest on Short-Term Loans - Related Parties	(30,508)	(25,798)	34,259	38,920
Interest on Loans	996,653	984,527	20,508	47,552
Interest on Finance Lease obligation	34,376	36,487	190	359
Interest on JEDB/SLPC Estate Lease	70,805	67,035	-	-
Debenture Interest	146,529	131,254	-	-
Interest On Bank Overdraft	209,522	220,896	7,810	12,017
Other Interest	295,373	305,878	-	-
Amount Capitalised	(155,230)	(169,600)	-	-
	1,567,520	1,550,679	62,767	98,848
	1,588,064	1,341,824	29,379	53,069
7 PROFIT BEFORE TAXATION				
Is stated after charging all expenses including the following:				
Audit Services				
KPMG	19,460	18,308	935	860
Other Auditors	13,067	9,474	-	-
Non-Audit Services				
KPMG	4,267	1,814	117	108
Other Auditors	2,734	245	-	-
Amortisation of Intangible assets	8,715	2,973	-	-
Depreciation and amortisation (Note 7.1)	1,216,968	983,760	4,909	4,815
Directors Remuneration	433,312	415,715	12,300	12,300
Staff Cost (Note 7.2)	7,514,553	6,680,666	-	-
Donations	3,081	2,178	50	50
7.1 Depreciation and amortisation				
Property, Plant & Equipment	1,161,699	928,320	3,634	2,003
Leasehold Properties	36,852	36,690	-	1,537
Investment Properties	18,417	18,750	1,275	1,275
	1,216,968	983,760	4,909	4,815
7.2 Staff Cost				
Salaries and Wages	6,405,567	5,615,839	-	-
Defined Contribution Plan Cost - EPF & ETF	664,030	688,907	-	-
Defined Benefit Plan Cost - Retiring Gratuity	444,956	375,920	-	-
	7,514,553	6,680,666	-	-

For the year ended 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
8 INCOME TAX EXPENSE				
Current Income Tax Expense (Note 8.1)				
Taxation on Profit for the Year	361,333	311,863	17,365	22,962
Under/(Over) Provision on Taxation in respect of previous years	1,470	20,437	-	-
	362,803	332,300	17,365	22,962
Deferred Tax Expense				
Origination/(Reversal) of Temporary Differences	(203,124)	1,913	(188)	3,676
	159,679	334,213	17,177	26,638
8.1 Current Income Tax Expense				
Reconciliation of Accounting Profit to Income Tax Expense				
Profit before Tax	(538,015)	85,726	152,560	92,531
Intra-Group Adjustments	342,419	131,642	-	-
	(195,595)	217,368	152,560	92,531
Aggregate Disallowed Expenses	3,912,763	3,724,719	74,572	51,547
Aggregate Allowable Items	(1,816,334)	(2,376,176)	(198,504)	(107,849)
Tax Exempt (Income)/Loss	(370,348)	(491,078)	-	-
Other Source of Income	251,247	269,094	33,388	45,779
Tax Losses utilised during the year	(146,616)	(74,514)	-	-
Taxable Income/(Loss)	1,635,116	1,269,413	62,016	82,008
Income Tax @ 28%	304,309	300,754	17,365	22,962
Income Tax @ 20%	11,851	-	-	-
Income Tax @ 10 % & 12%	45,173	6,693	-	-
Deemed Dividend Tax	-	4,416	-	-
Current Income Tax Expenses	361,333	311,863	17,365	22,962

8.2 Income Tax Expense

The income tax provision of The Colombo Fort Land & Building PLC and its subsidiaries and equity accounted investees which are resident in Sri Lanka has been calculated on their adjusted profits at 28% in terms of the Inland Revenue Act No. 10 of 2006 and amendments thereto (other than in respect of companies / activities set out in notes 8.2.1 and 8.2.2 below).

Tax status of companies in the Group which are having tax rates other than 28% on profit/income earned from ordinary activities of business are as follows;

- * enjoying income tax exemptions (Note 8.2.1)
- * enjoying concessionary tax rates (Note 8.2.2)

Notes to the Financial Statements Contd.

8.2.1 Exemption from income tax

Company	Activity	Statute	Period
Lankem Ceylon PLC	Relocation of Agro Chemical and Agro Seeds operations to Pannala	Section 21 of Inland Revenue Act No. 10 of 2006, the profit and income from relocated activities under GAMATA KARMANTHA PROJECT.	5 years commencing from the year of assessment 2010/2011.
SunAgro Farms Limited	Profits from agricultural undertaking	Section 17 of the G.C.E.C. Law No. 04 of 1978. In accordance with the agreement entered into with the Board of Investment (BOI) of Sri Lanka under section 17.	10 years commencing from 31st May, 2008.
Waverly Power (Private) Limited	Profit and Income from Mini Hydro Power Project	Section 16C of Inland Revenue Act No. 10 of 2006 as amended by Act No. 22 of 2011 and Act No. 8 of 2012.	6 years commencing from 2015/2016 to 2020/2021. after the exception period , the income tax rate would be 12%.
York Hotels (Kandy) Limited	Hotel operations	Exempted under Section 17 of the G.C.E.C. Law No. 04 of 1978. However. BOI has given a notice of cancellation and termination of all rights, privileges and benefits conferred on the enterprise under the conduct and operation of the project with effect from 23rd November 2002.	10 years from the year in which the company commences to make profits or within 5 years from the year the company commenced commercial operations, which ever is earlier. The Company is also entitled to a concessionary rate of tax at 2% of its turnover for 15 years immediately after the expiry of the said 10 years tax holiday.

8.2.2 Companies liable to tax at concessionary rates

Company	Activity	Statute	Period
E.B.Creasy & Company PLC	Profit/income (other than any profit/income from the sale of any capital assets) earned in the factory located in Millewa	Section 21A of Inland Revenue (Amendment) Act No. 10 of 2006. Exempted For 5 years commencing 01st April, 2009. This exception expired during the financial year ended 31st March 2014 and the Company's profit / income earned in the factory located in Millewa during the year ended 31st March 2016 is taxed at 10%.	Exempted For 5 years commencing 01st April, 2009.
Agrapatana Plantations Limited	Profits from agricultural undertaking	10% under Section 16 of the Inland Revenue Act No. 10 of 2006.	Indefinite
Beruwala Resorts PLC	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto.	Indefinite
C.W. Mackie PLC and Subsidiaries	Taxable profits on non-traditional exports	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto.	Indefinite
Galle Fort Hotel (Private) Limited	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto.	Indefinite
Kotagala Plantations PLC	Profits from agricultural undertaking	10% under Section 16 of the Inland Revenue Act No. 10 of 2006.	Indefinite
Lankem Research Limited		12% under Section 48 of the Inland Revenue Act No. 10 of 2006	Indefinite
Marawila Resorts PLC	Hotel operations	12 % under Section 17 (2) of the BOI Law No. 04 of 1978 and in terms of the Agreement Registration Number 368-29-6-92.	Indefinite
Sigiriya Village Hotels PLC	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto.	Indefinite
Lanka Special Steels Limited		20 % under BOI Law No. 04 of 1978 and in terms of the Agreement Registration Number 322	Indefinite

The income earned from activities other than those mentioned above are liable to income tax at the rate of 28%.

8.3 Lankem Technology Services Limited, Associated Farms (Private) Limited and Lankem Agrochemicals Limited were non operative during the year.

8.4 Deferred Tax Assets/Liabilities

Deferred tax has been calculated by applying the rate of 28% for subsidiaries which are liable for income tax at the standard rate for the assessment year 2015/16. The subsidiaries which are liable for income tax at reduced rates (below the standard rate) for the year of assessment 2015/16 have computed the deferred tax at the reduced rates.

- (i) No Provision has been made for deferred tax in the Financial Statements of Yok Hotels (Kandy) Limited, as no material temporary differences have arisen during the year which are expected to reverse in the future.
- (ii) No Deferred tax assets have been recognised in the Financial Statements of subsidiaries, namely, Agarapatana Plantations Limited, Colombo Fort Hotels Limited, Lankem Ceylon PLC, Lankem Developments PLC, Lankem Exports (Private) Limited, Lankem Consumer Products Limited, Lankem Reserch Limited, Lankem Paints Limited, Lankem Chemicals Limited, Kelani Velley Canneries Limited, SunAgro Foods Limited, SunAgro Farms Limited, in respect of tax losses carried forward because it is not probable that future taxable profit will be available against which these companies can utilise the benefit therefrom, and the tax losses carried forward are given below.

Unrecognised Deferred Tax Assets	2016 Rs. Mn.	2015 Rs. Mn.
Agarapatana Plantations Limited	172.9	172.8
Colombo Fort Hotels Limited	3.9	3.9
Lankem Ceylon PLC	168.4	76.1
Lankem Developments PLC	33.2	32.1
Lankem Exports (Private) Limited	8.1	7.3
Lankem Consumer Products Limited	53.8	53.8
Lankem Reserch Limited	9.5	1.8
Lankem Chemicals Limited	9.3	-
Lankem Paint Limited	26.3	23.2
Kelani Velley Canneries Limited	60.0	51.0
Muller & Phipps (Ceylon) PLC	26.7	27.1
SunAgro Foods Limited	76.1	57.8
SunAgro Farms Limited	5.9	5.7

9 EARNINGS / (DEFICIT) PER SHARE

Earnings / (deficit) per share is based on the profit / (loss) for the year attributable to equity holders of the Company divided by weighted average number of ordinary shares in issue during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

	GROUP		COMPANY	
	2016	2015	2016	2015
Profit / (loss) attributable to				
Equity Holders of the Company (Rs.'000)	(321,178)	56,818	135,383	65,893
Weighted Average Number of Ordinary Shares (No.'000)	180,000	180,000	180,000	180,000
Earnings / (deficit) Per Share (Rs.)	(1.78)	0.32	0.75	0.37

Notes to the Financial Statements Contd.

10 PROPERTY, PLANT & EQUIPMENT

10.1 GROUP

Cost	Balance as at 01.04.2015 Rs.'000	Acquisition of Subsidiaries Rs.'000	Additions during the Year Rs.'000	Disposals during the Year Rs.'000	Balance as at 31.03.2016 Rs.'000
Land (Access Roads)	69,315	-	-	-	69,315
Freehold					
Land	5,015,056	-	49,201	(158,268)	4,905,989
Buildings	5,865,300	90,039	278,219	(72,722)	6,160,836
Mature/Immature Plantations	5,692,905	-	1,093,871	(562,674)	6,224,102
Plant & Machinery	4,269,350	192	287,351	(165,258)	4,391,635
Motor Vehicles	1,015,519	-	342,743	(123,854)	1,234,408
Office Equipments	462,696	12,375	71,849	(19,869)	527,051
Furniture and Fittings	931,511	27,842	93,041	(64,039)	988,355
	23,321,652	130,448	2,216,275	(1,166,684)	24,501,691
Leasehold					
Building	15,649	-	95,875	-	111,524
Plant & Machinery	220,070	-	34,444	-	254,514
Motor Vehicles	547,178	-	11,865	(178,594)	380,449
Office Equipments	375	-	-	-	375
Furniture and Fittings	8,467	-	-	-	8,467
	791,739	-	142,184	(178,594)	755,329
Capital WIP*	322,417	-	228,579	(150,616)	400,380
Total Cost/Valuation	24,435,808	130,448	2,587,038	(1,495,894)	25,657,400
	Balance as at 01.04.2015 Rs.'000	Acquisition of Subsidiaries Rs.'000	Charge for the Year Rs.'000	Disposals during the Year Rs.'000	Balance as at 31.03.2016 Rs.'000
Accumulated Depreciation					
Land (Access Roads)	17,899	-	2,773	-	20,672
Freehold					
Buildings	977,304	2,899	194,175	(12,611)	1,161,769
Mature/Immature Plantations	778,648	-	138,490	-	917,138
Plant & Machinery	2,094,885	10	359,800	(88,490)	2,366,205
Motor Vehicles	696,887	-	234,095	(68,536)	862,446
Office Equipments	288,226	8,342	75,427	(17,586)	354,409
Furniture and Fittings	606,673	3,577	70,158	(40,597)	639,811
	5,460,524	14,828	1,074,918	(227,820)	6,322,450

10 PROPERTY, PLANT & EQUIPMENT

10.1 GROUP Contd.

	Balance as at 01.04.2015 Rs.'000	Acquisition of Subsidiaries Rs.'000	Charge for the Year Rs.'000	Disposals during the Year Rs.'000	Balance as at 31.03.2016 Rs.'000
Accumulated Depreciation					
Leasehold					
Buildings	969	-	3,607	-	4,576
Plant & Machinery	78,318	-	9,927	(31,216)	57,029
Motor Vehicles	364,969	-	73,046	(163,094)	274,921
Office Equipments	250	-	62	-	312
Furniture and Fittings	5,656	-	139	-	5,795
	450,162	-	86,781	(194,310)	342,633
Total Depreciation	5,910,686	14,828	1,161,699	(422,130)	6,665,083
Carrying Value	18,525,122				18,992,317
		Impairment for the Year			
Impairment	(2,647)	(96)			(2,744)
Total Carrying Value of Property, Plant & Equipment	18,522,474				18,989,573

Note: The Cost of fully depreciated Property Plant and Equipment of the group which are still in use as at 31st march 2016 is Rs. 1,460 million.

a) Capital Work in Progress

* Amount Transferred from capital work in progress during the year is included in additions.

b) C.W. Mackie PLC

Leasehold immovable assets include Land and Building of C.W. Mackie PLC a subsidiary, which has premises No. 34 and 36 , D.R. Wijewardena Mawatha, Colombo 10, and has been leased for a period of 60 years, 8 months and 10 days (being the residue of unexpired term under indenture of lease by the Crown dated 10th June 1925 granting the company a 99 year lease of the premises from the said date) in terms of the Grants to the Company dated 22nd September, 1964 under the Crown Lands Ordinance. At the time of handing over the possession of the premises, the company is not entitled to any compensation in respect of the land, buildings or improvements thereon.

c) Beruwala Resorts PLC

Beruwala Resorts PLC, a subsidiary have constructed a building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 1st August, 2007. The lease period will expire on 31st July, 2037. The company has paid Rs. 2,913,014/- in the year of 2015/ 2016 (2014/2015 - Rs.1,836,000/-)

d) C M Holdings PLC - Group

(i) Loss on damages on building represent a provision for extensive damages the Company's buildings were subject to due to a fire which took place at the spares and workshop stores rented to its subsidiary, KIA Motors (Lanka) Limited on 11th August 2014. The best estimate of the loss for damages on building represent the amount the Company and the Group expects to incur for repair and restoration of the property damaged by fire based upon an assessment made by the Company's and Groups independent valuer.

(ii) As part of its restructuring activities to restrict its business to property holding and investment, the Company transferred its plant, machinery and other equipment, and motor vehicles to its subsidiary, Colonial Motor (Ceylon) Limited on 3rd March 2015. The assets were transferred to Colonial Motor (Ceylon) Limited at net book value at date of transfer.

Notes to the Financial Statements Contd.

(iii) In April 2012, KIA Motors (Lanka) Limited, a subsidiary of the Group, purchased two allotments of land in Malabe (herein referred to as "property") which were in extent of 3 Acres, 1 Rood and 4.4 Perches subsequently KIA Motors (Lanka) Limited, was informed that, the said property was the subject matter of a litigation that is presently before the Supreme Court. However, KIA Motors (Lanka) Limited did not have notice of the said application at the time the land lots were purchased and thus was a bona fide purchaser. Consequently, KIA Motors (Lanka) Limited intervened in this case as the bona fide purchaser.

In year ended 31st March 2014, KIA Motors (Lanka) Limited made a provision in the financial statements for the full cost of the property on a cautionary basis on the presumption that until the case for which intervention was made is finalized that the Company will not be able to enjoy the benefits of the property.

Subsequently, the Management after obtaining an opinion from the President's Counsel who is appearing in the intervention on behalf of KIA Motors (Lanka) Limited has gained a fuller understanding of the legal position of KIA Motors (Lanka) Limited as a bona fide purchaser of property has now decided that a provision for the full cost of property was not required as assessed at the previous reporting date. Accordingly, the aforesaid provision for the full cost of property was reversed during the period 2014/2015, the reversal being accounted for and presented as a prior year adjustment.

Effects of the reversal of the provision have been recognised outside the profit of year 2014/2015 in accordance with LKAS 8 Accounting Policies, Changes in Accounting Estimates and Errors. Loss of the Group for the year ended 31 March 2014, and equity and carrying value of land as at the year then ended, being restated accordingly. The effects of the reversal has no impact on the beginning of the year ended 31 March 2014

e) Each company in the group has evaluated both internal and external indications of impairment of long lived assets and has not identified presence of any of such indications at the end of the financial year, other than disclosed above.

f) Property, Plant & Equipment pledged as securities in obtaining loans have been disclosed in Note 23.5 to these Financial Statements.

10.2 COMPANY

Cost / Valuation	Balance as at 01.04.2015 Rs.'000	Additions during the Year Rs.'000	Disposals during the Year Rs.'000	Balance as at 31.03.2016 Rs.'000
Freehold				
Office Equipment	9,927	-	-	9,927
Furniture and Fittings	9,472	-	-	9,472
Motor Vehicle	9,947	372	-	10,319
	29,346	372	-	29,718
Leasehold				
Motor Vehicle	4,700	-	-	4,700
	4,700	-	-	4,700
Total Cost	34,046	372	-	34,418

	Balance as at 01.04.2015 Rs.'000	Charge for the Year Rs.'000	Disposals during the Year Rs.'000	Balance as at 31.03.2016 Rs.'000
Accumulated Depreciation				
Freehold				
Office Equipment	7,992	860	-	8,852
Furniture and Fittings	9,257	71	-	9,328
Motor vehicle	8,400	1,759	-	10,159
	25,649	2,690	-	28,339
Leasehold				
Motor Vehicle	2,178	944	-	3,122
	2,178	944	-	3,122
Total Accumulated Depreciation	27,827	3,634	-	31,461
Total Carrying Value of Property, Plant & Equipment	6,219			2,957

10.3 GROUP

The portfolio of Lands in the Group consist of the following.

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Market Value Rs.'000	Carrying Value Rs.'000
The Colombo Fort Land & Building PLC Land	Fort, Colombo.	153	1	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2016	1,249,700	621,625
Marawila Resorts PLC Land	Marawila	4,344	50	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	1,669,245	880,948
Sigiriya Village Hotels PLC Land	Sigiriya	5,600	39	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	204,300	151,947
Galle Fort Hotel (Private) Limited Land	Galle Fort, Galle.	78	8	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	775,460	336,676
Beruwala Resorts PLC Land	Moragalla, Beruwala.	1,573	24	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	1,112	267
B.O.T. Hotel Services (Private) Limited Land	Kaparathota Road, Waligama.	491	2	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	412,447	361,805
Lankem Developments PLC Land	Maguruwila Road, Gonawala.	88.5	-	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	15,500	6,950

Notes to the Financial Statements Contd.

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Market Value Rs.'000	Carrying Value Rs.'000
Lankem Ceylon PLC							
Land	St. Anthony's Road, Ekala, Kuriduwatta.	480	11	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	108,000	33,600
Land	Maithree Mawatha, Ekala.	400	4	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	100,000	27,000
Land	Maguruwila Road, Gonawala.	874	8	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	152,863	43,198
Land	Kandathoduwawa, Putlam.	4,055	2	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	9,332	7,350
Land	Nawam Mawatha, Colombo 2	40	1	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	400,000	302,570
JF Packaging (Pvt) Limited	Minuwangoda Road, Kotugoda	350	4	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	270,000	39,800
Ceylon Tapes (Pvt) Limited	Samagi Mawatha, Ja-Ela	45	3	Mr. J.M.S. Bandara Incorporated Valuer	31.03.2016	12,375	11,250
	Franslyn Estate, Andimulla	460	1	Mr. W.A.T.I.P. Jayathilake Incorporated Valuer	16.11.2015	46,000	25,198
E.B. Creasy & Company PLC							
Land	Sri Sangaraja Mawatha, Maradana.	38	2	Mr. P. B. Kalugalagedara Chartered Valuer	31.03.2016	994,650	453,000
Creasy Foods Limited							
Land	Ekala, Ja-Ela.	160	-	Mr. P. B. Kalugalagedara Chartered Valuer	31.03.2016	48,000	32,000
Laxapana Batteries PLC							
Land	Homagama.	584	3	Mr. H.W.I.G.A. Weerakoon Incorporated Valuer	31.03.2016	203,700	101,675
C.W. Mackie PLC							
Land	Scan Bottling Plant Munagama, Horana.	604	13	No significant difference in the market value of the land compared to the book value			288,050
Land	Industrial Estate Aramanagolla, Horana.	800	11				
Land	Thebuwana, Narthupana	850	8				
Kelani Valley Canneries Limited							
Land	Kaluaggala, Hanwella	355	7				33,000
CM Holdings PLC							
Land	297, Union Place, Colombo.	206	3	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2016	1,831,000	771,326
Colonial Motors (Ceylon) Limited							
Land	41/35, Nagahamulla Road, Thalagama, Battaramulla	133	6	Mr. N.B.S.A. Nanayakkara	31.03.2016	101,000	67,246
KIA Motors (Lanka) Limited							
Land	Pelawatta	110	-	Mr. H.B.M. Basnayaka	31.03.2016	108,000	79,496
Land	Malambe	524	-	Incorporated Valuer			230,017
Total							4,905,989

10.4 Immature/Mature Plantations

	31.03.2016 Rs.'000	31.03.2015 Rs.'000
Agarapatana Plantations Limited (APL)	1,939,341	1,784,480
Kotagala Plantations PLC (KPPLC)	3,367,622	3,129,777
	5,306,963	4,914,257

10.4.1 Mature/Immature Plantations

	Mature Plantations		Immature Plantations			Total	Total
	Tea	Rubber	Tea	Rubber	Other	31.03.2016	31.03.2015
Cost	Rs'000	Rs'000	Rs'000	Rs'000	Rs'000	Rs'000	Rs'000
At the beginning of the year	1,757,956	1,331,615	1,299,647	739,836	563,851	5,692,905	5,153,112
Additions/Transferred in	207,977	187,209	235,594	191,204	271,886	1,093,871	1,003,031
Transferred out	-	-	(207,977)	(187,209)	(167,488)	(562,674)	(463,238)
At the end of the year	1,965,933	1,518,824	1,327,264	743,831	668,249	6,224,102	5,692,905
Depreciation							
At the beginning of the year	346,067	432,581	-	-	-	778,648	663,412
Charge for the year	54,175	75,941	8,374	-	-	138,490	115,236
At the end of the year	400,242	508,522	8,374	-	-	917,138	778,648
Carrying Value as at 31.03.2016	1,565,691	1,010,302	1,318,890	743,831	668,249	5,306,963	-
Carrying Value as at 31.03.2015	1,411,889	899,034	1,299,647	739,836	563,851	-	4,914,257

- a) These are investments in mature/immature plantations since the formation of the Company. The assets (including plantation assets) taken over by way of estate leases are set out in Note 11.1 and 11.2 to the Financial Statements. Further, investment in Immature Plantations taken over by way of leases are shown in the above Notes. When such plantations become mature, the additional investments made to bring them to maturity are transferred from Immature to Mature under this Note. A corresponding movement, from Immature to Mature, in respect of the investment undertaken by JEDB/SLSPC on the same plantation prior to the leases are shown under Note 11.2 to the Financial Statements.

The requirement of recognition of bearer Biological assets at its fair value less cost to sell under LKAS 41 was superseded by the ruling issued on 2nd March, 2012 by The Institute of Chartered Accountants of Sri Lanka. Accordingly, it was elected to measure the bearer biological assets at cost using LKAS 16 - Property, Plant & Equipment.

- b) Borrowing costs of Kotagala Plantations PLC, a subsidiary, amounting to Rs.22.3 million (2014/15- Rs.16.7 million) on Tea, and Rs.62.1 million (2014/15 - Rs.55.3 million) on Rubber incurred on term loans and overdrafts utilised to finance replanting expenditure of Tea and Rubber have been capitalised. The average rate of interest for capitalisation was 11% (2014/15 - 11%). The capitalisation will cease when crops are ready for harvest.
- c) Borrowing costs of Agarapatana Plantations Limited, a subsidiary, amounting to Rs.70.8 million (2014/15- Rs.97.6 million) incurred on long-term loans obtained to meet expenses relating to immature plantations have been capitalised as part of the cost of the Immature Plantations. The capitalisation will cease when crops are ready for harvest.
- d) Other Immature Plantations include Eucalyptus, other timber etc. which have been cultivated and managed in separate fields and other crops such as Cinnamon, Coconut, etc. and carried at cost less impairment.

Notes to the Financial Statements Contd.

10.5 Group- Biological Assets

	Balance as at 31.03.2016	Balance as at 31.03.2015
At the beginning of the year	1,131,930	928,506
Expenses incurred during the year	4,296	8,450
Transfer from Immature Leased Bearer Biological Assets	-	4,136
Gain arising from changes in fair value for the year	65,679	190,838
	1,201,905	1,131,930

Kotagala Plantations PLC and Agarapatana Plantations Limited has recognised managed trees as biological assets.

Kotagala Plantations PLC (KPPLC)

Managed trees include commercial timber plantations cultivated on estates. The cost of immature trees upto 5 years from planting are treated as approximate fair value particularly on the grounds that little biological transformation has taken place and impact of the biological transformation on price is not material. When such plantations become mature, the additional investment made to bring them to maturity are transferred from Immature to mature.

The fair value of managed trees was ascertained by Mr. A.A.M. Fathihu, (FIV), Incorporated Valuer.

Key assumptions used in valuation are as follows,

Variable	Comment
Timber Content	Estimated based on the girth, height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department.
Economic Useful Life	Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department.
Selling Price	Estimated based on prevailing Sri Lankan market prices factoring all the conditions to be fulfilled in bringing the trees in to saleable condition.
Discount rate	Future cash flows are discounted at the rate of 14.8% (2015 - 14.3%)

Agarapatana Plantations Limited (APL)

Managed trees include commercial timber plantations cultivated on estates. The cost of Immature trees is treated as approximate fair value particularly on the ground of little biological transformation has taken place and impact of the biological transformation on price is not material.

The fair value of managed trees was ascertained by the Independent, Incorporated Valuer Mr. A.A.M. Fathihu, (FIV), for the current year in accordance with LKAS 41 - "Agriculture" using Discounted Cash Flow (DCF) method.

A risk adjusted discount rate of 14.8% per annum, in real terms (excluding the effect of inflation) is used in determining the present value of estimated future cash flows as at 31st March, 2016.

Key assumptions used in valuation

1. The harvesting is approved by the PMMD and Forest Department based on the forestry development plan.
2. The price adopted are net of expenditure.
3. Discount rate is 14.8%.
4. Though the replanting is a condition precedent for harvesting, yet the cost are not taken in to consideration.

10.5 Group- Biological Assets Contd.

The valuation, as presented in the external valuation models based on net present values, take into account the long term exploitation of the timber plantations. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors retains their view that commodity markets are inherently volatile and that long term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this Note allows every investor to reasonably challenge the financial impact of the assumptions used in the LKAS 41 against his own assumptions.

The biological assets of APL are mainly cultivated in leased lands. When measuring the fair value of the biological assets it was assumed that these concessions can and will be renewed at normal circumstances. Timber content expect to realise in future are included in the calculation of the fair value and takes into account the age of the timber plants and not the expiration date of the lease.

11 LEASEHOLD PROPERTIES

	Balance as at 01.04.2015 Rs.'000	Additions During the Year Rs.'000	Disposals During the Year Rs.'000	Balance as at 31.03.2016 Rs.'000
Cost				
Leasehold Right to Bare Land of JEDB/SLSPC Estates (Note 11.1)				
Kotagala Plantations PLC (Note 11.1.a)	342,287	-	-	342,287
Agarapatana Plantations Limited (Note 11.1.b)	341,588	-	-	341,588
	683,875	-	-	683,875
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land) (Note 11.2)				
Kotagala Plantations PLC (11.2.a)	458,222	-	-	458,222
Agarapatana Plantations Limited (11.2.b)	265,748	-	-	265,748
SunAgro Farms Limited	2,555	-	-	2,555
	726,525	-	-	726,525
Total Cost	1,410,400	-	-	1,410,400
	Balance as at 01.04.2015 Rs.'000	Charge for the Year Rs.'000	Disposals During the Year Rs.'000	Balance as at 31.03.2016 Rs.'000
Accumulated Depreciation				
Leasehold Right to Bare Land of JEDB/SLSPC Estates				
Kotagala Plantations PLC (Note 11.1.a)	147,109	6,458	-	153,567
Agarapatana Plantations Limited (Note 11.1.b)	146,735	6,442	-	153,177
	293,844	12,900	-	306,744
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)				
Kotagala Plantations PLC (11.2.a)	330,657	15,245	-	345,902
Agarapatana Plantations Limited (11.2.b)	198,229	8,707	-	206,936
SunAgro Farms Limited (11.2.c)	2,555	-	-	2,555
	531,441	23,952	-	555,393
Total Depreciations	825,285	36,852	-	862,137
Carrying Value	585,115	(36,852)		548,263

Notes to the Financial Statements Contd.

11.1 Leasehold Right to Bare Land of Janatha Estate Development Board (JEDB)/Sri Lanka State Plantation Corporation (SLSPC) Estates.

a) Kotagala Plantations PLC

The leases of all the 23 estates have been executed and will be retroactive from 22nd June, 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June, 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issues Task Force (UITF) of The Institute of Chartered Accountants of Sri Lanka. For this purpose, the Board decided at its meeting held on 8th March, 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr.D.R.Wickramasinghe, just prior to the formation of the Company. The value taken into the 22nd June, 1992, Statement of Financial Position and the amortisation of leasehold rights up to 31st March, 2016 are as follows.

Cost/Valuation	Life of the Asset	As at 22.06.1992 Rs'000	Balance 31.03.2016 Rs'000	Balance 31.03.2015 Rs'000
Right to use of Land JEDB/SLSPC Estates	53 years	358,928	342,287	342,287

Amortisation	Balance as at 31.03.2015 Rs'000	Charge for the Year Rs'000	Balance as at 31.03.2016 Rs'000	Carrying Value as at 31.03.2016 Rs'000	Carrying Value as at 31.03.2015 Rs'000
	147,109	6,458	153,567	188,719	195,178

b) Agarapatana Plantations Limited

"Right-To-Use of Land on Lease" as above was previously titled "Leasehold Right to Bare Land". The change is in order to comply with Statement of Recommended Practice (SoRP) issued by The Institute of Chartered Accountants of Sri Lanka dated 19th December, 2012. Such leases have been executed for all estates for a period of 53 years.

All the leases executed as at the date of Financial Position will be retroactive to 22nd June, 1992, the date of formation of the Company. The leasehold right to bare land on all of these estates have been taken in to the books of the Company as at 22nd June, 1992 immediately after the formation of the Company. The Board decided at its meeting on 8th March, 1995 that these assets would be taken at their book values as they appear in the books of JEDB/SLSPC on the day immediately preceding the date of formation of the Company. This right-to-use land is amortised over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non-current assets. The Statement of Recommended Practice (SoRP) for right-to-use of land does not permit further revaluation of right-to-use of land. These assets are taken into the Statement of Financial Position as at 22nd June, 1992 and depreciated as follows.

Description	Cost / valuation as at 22.06.92 Rs.'000	Accumulated Amortisation 01.04.2015 Rs.'000	Amortisation During the Year Rs.'000	Accumulated Amortisation 31.03.2016 Rs.'000	Carrying Value as at 31.03.16 Rs.'000	Carrying Value as at 31.03.15 Rs.'000
Leasehold right to bare land of JEDB/SLSPC Estates	341,588	146,735	6,442	153,177	188,412	194,853

11.2 Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)

a) Kotagala Plantations PLC

In terms of the ruling obtained from the Urgent Issues Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka, all immovable assets in the JEDB /SLSPC estates under finance leases have been taken in to the books of the Company retroactive to 22nd June, 1992. For this purpose, the Board decided at its meeting on 08th March, 1995 that these assets be restated at their book values as they appear in the books of the JEDB/ SLSPC, on the day immediately preceding the date of formation of the Company. These assets are taken into the Statement of Financial Position as at 22nd June, 1992 and depreciated as follows.

Revaluation	Life of the Asset	As at 22.06.1992 Rs.'000	Balance 31.03.2016 Rs.'000	Balance 31.03.2015 Rs.'000
Land Development Cost	30 years	6,712	6,701	6,701
Buildings other than Worker housing	25 years	26,519	25,902	25,902
Plant & Machinery	15 years	8,757	8,757	8,757
Water Projects and Sanitations	30 years	8,688	8,688	8,688
Mature Plantations				
- Tea	30 years	69,767	227,655	227,655
- Rubber	30 years	61,138	172,379	172,379
- Others	25 years	-	8,140	8,140
Immature Plantations				
- Tea		158,960	-	-
- Rubber		126,898	-	-
- Others		8,140	-	-
		475,579	458,222	458,222

Amortisation	Balance as at 01.04.2015 Rs.'000	Charge for the Year Rs.'000	Balance as at 31.03.2016 Rs.'000	Carrying Value As at 31.03.2016 Rs.'000	Carrying Value As at 31.03.2015 Rs.'000
Land Development Cost	5,088	226	5,314	1,387	1,612
Buildings other than Worker Housing	23,541	998	24,539	1,363	2,359
Plant & Machinery	8,756	-	8,757	-	-
Water Projects and Sanitations	6,596	290	6,886	1,802	2,089
Mature Plantations					
- Tea	161,615	7,656	169,271	58,384	66,056
- Rubber	120,504	5,750	126,254	46,125	51,870
- Others	4,557	325	4,882	3,258	3,579
	330,657	15,245	345,902	112,319	127,565

Investment in Immature Plantations at the time of handing over to the Company by way of estate leases are shown under Immature Plantations as at 22nd June, 1992. Further investment in such plantations to bring them to maturity are shown under Note 10.4.

Notes to the Financial Statements Contd.

b) Agarapatana Plantations Limited

All the leases executed as at the date of Financial Position will be retroactive to 22nd June, 1992, the date of formation of the Company. The leasehold right to bare land on all of these estates have been taken in to the books of the Company as at 22nd June, 1992 immediately after the formation of the Company. The Board decided at its meeting on 8th March, 1995 that these assets would be taken at their book values as they appear in the books of JEDB/SLSPC on the day immediately preceding the date of formation of the Company. This right-to-use land is amortised over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non-current assets. The Statement of Recommended Practice (SoRP) for right-to-use of land does not permit further revaluation of right-to-use land. These assets are taken into the Statement of Financial Position as at 22nd June, 1992 and depreciated as follows.

Description	Revaluation as at 22.06.92 Rs.'000	Transfers/ Immature to Mature (Adjustments) Rs.'000	Revaluation as at 01.04.2016 Rs.'000	Accumulated Depreciation 01.04.2015 Rs.'000	Depreciation for the Year Rs.'000	Accumulated Depreciation 31.03.2016 Rs.'000	Carrying Value As at 31.03.2016 Rs.'000	Carrying Value As at 31.03.2015 Rs.'000
Improvement to Land	5,406	-	5,406	4,097	181	4,278	1,128	1,309
Unimproved Land	998	-	998	-	-	-	998	998
Roads and Bridges	677	-	677	386	17	403	274	291
Buildings	62,634	-	62,634	57,006	2,501	59,507	3,127	5,628
Fences and Securities	49	-	49	49	-	49	-	-
Machinery	8,202	-	8,202	8,201	-	8,201	-	-
Water Supply	6,158	-	6,158	6,158	-	6,158	-	-
Power Augmentation	972	-	972	972	-	972	-	-
Coffee, Pepper, Cardamom	305	-	305	-	-	-	305	305
Mature Plantations	37,457	141,636	179,093	120,410	5,968	126,378	52,715	58,683
Vested Tea	1,223	-	1,223	919	40	959	264	304
Immature Plantations	141,636	(141,636)	-	-	-	-	-	-
Immature Timber	4,136	(4,136)	-	-	-	-	-	-
Other Vested Assets	31	-	31	31	-	31	-	-
	269,884	(4,136)	265,748	198,229	8,707	206,936	58,812	67,519

Investment in Plantations assets which were immature at the time of handing over to the Company by way of estate leases are shown under Immature Plantations (revalued as at 22nd June, 1992).

However, since then all such investments in Immature Plantations attributable to JEDB/SLSPC period have been transferred to Mature Plantations. These mature tea were classified as bearer biological assets in terms of LKAS 41 - Agriculture. The carrying value of the bearer biological assets leased from JEDB/SLSPC is recognised at cost less amortisation. Further, investments in such plantations to bring them to maturity are shown in Note 10.4.

11.3 SunAgro Farms Limited

SunAgro Farms Ltd, a subsidiary of the Company acquired an agricultural land on 21st June, 2010 on a 29 year lease from the Department of Buddhist Affairs is amortized over the period of lease. However, the balance was impaired as at 31st March 2014.

As at 31st March	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
12 INVESTMENT PROPERTY				
Cost				
Balance as at Beginning of the Year	343,932	343,932	725,910	725,910
Transfers from Property Plant and Equipment	186,348	-	-	-
Additions during the year	-	-	-	-
Balance as at end of the Year	530,280	343,932	725,910	725,910
Accumulated Depreciation				
Balance as at Beginning of the Year	70,993	52,243	4,262	2,987
Charge for the Year	18,417	18,750	1,275	1,275
Balance as at end of the Year	89,410	70,993	5,537	4,262
Carrying Value (Note 12.1)	440,870	272,939	720,373	721,648

12.1 GROUP

Company	Location	Extent Sq.feet	Carrying Value Rs.'000	Fair Value Rs.
York Arcade Holdings PLC	York Arcade Building, Leyden Bastian Road, Colombo 01.	107,849	102,866	104mn
C.W. Mackie PLC	No. 36, D R Wijewardena Mw, Colombo 10.	56,348	38,377	49mn
Kotagala Plantations PLC - Consolidated	No.79 , Biyagama Road , Talwatta, Kelaniya.	38,287	116,840	136mn
C M Holdings PLC	297,Union Place, Colombo.	31,757	25,643	104mn
York Hotel Kandy Limited	Halloluwa, Katugastota.	N/A	157,144	374 mn
Total			440,870	

York Arcade Holdings PLC

The carrying amount of Investment Properties as at 31st March, 2016 amounts to Rs.102.8 million (2015 - Rs.114 million). Rental Income earned from Investment Property by the Company amounted to Rs.62.9 million (2015 - Rs.54.1 million) and Direct Operating Expenses incurred amounted to Rs.39.5 million (2015 - Rs.39.6 million).

York Arcade Holdings PLC has constructed the building on an extent of land leased by its Parent Company, The Colombo Fort Land & Building PLC (CFLB) in terms of the Lease Agreement No. 1589 dated 17th September, 1984 attested by Mr. J.A.R. Weerasinghe, NP. The lease was for a period of 33 years. In terms of the Lease Agreement, upon the termination of the Lease, the Lessor, (CFLB) was required to reimburse York Arcade Holdings PLC 66% of the cost of construction of the building. The cost of construction was Rs.131,609,497/- and accordingly, the amount recoverable by the Company would amount to Rs.86,862,268/- in the event the current lease is terminated. The current lease expires on 31st August, 2017 and will therefore be in force for a further period of one and half years.

The Lessee's (York Arcade Holdings PLC) interest in the building for the unexpired period of 1 1/2 years has been valued by Mr. P.P.T.Mohideen, Chartered valuation Surveyor at Rs.104,113,340/- as at 31st March, 2016.

Notes to the Financial Statements Contd.

C.W. Mackie PLC - Consolidated

C. W. Mackie PLC , a subsidiary of the Company has rented out a part of C. W. Mackie PLC Building Complex and the value of Land and Buildings of that portion has been classified as 'Investment Property' and accounted on 'cost model' as required by (LKAS 40) 'Investment Property'. The above Investment Property is situated a No.36, D.R. Wijewardena Mw, Colombo 10, and the extent of the building is 56,348 Sq.feet. The carrying amount of Investment Property as at 31st March, 2016 amounted to Rs. 38.3 million (2014/15 Rs. 43.2 million).

As per the valuation carried out on 31st March 2016, by Mr. K. T. D. Tissera, an Independent professional Valuer J. P. U.M. Diploma in Valuation (Sri Lanka), F. R. I. C. S (Eng). F. I. V. (Sri Lanka), Chartered Valuation Surveyor, fair value of the investment property as at 31st March 2016 is Rs. 49 million. These properties were valued on an open market value for existing use basis.

Rental income earned from investment property of C. W. Mackie PLC amounted to Rs. 93.5 million for the year ended 31st March, 2016 (2014/15- Rs.77.6 million) and direct operating expenses incurred for the same year amounted to Rs. 18.5 million (2014/15 - Rs. 16.1 million).

Kotagala Plantations PLC - Consolidated

As per the valuation carried out by Mr. P.B. Kalugalagedara, an Independent Professional Valuer, fair value of the investment property is Rs. 136 Million, The properties were valued on an open market value for existing use basis.

These investment properties represent the buildings rented out by Union Commodities Private Limited , a subsidiary of Kotagala Plantations PLC to a third party. Union Commodities Private Limited has not incurred any expenses (including repairs and maintenance) relating to the building classified as investment properties during the year ended 31st March 2016.

York Hotel Kandy Limited

As a result of change in the company's business plan, Land recognised as Property, Plant and Equipment previously has been classified as Investment Property and accounted on "Cost Model" as required by LKAS 40 - Investment Property. The company intends to hold the land for capital appreciation. The above investment property is situated at Halloluwa, Katugastota and the extent of the land is 6 A, 1 R & 36 P. The carrying amount of Investment Property as at 31st March 2016, amounted to Rs. 157.1 million.

As per the valuation carried out on 31st March 2016, by Mr. R. S. Wijesuriya, an Independent Incorporated Valuer, fair value of Investment Property as at 31st March 2016 is Rs. 374 million.

COMPANY

Investment properties of the company consists of land amounting to Rs.621.62 million (2015 - Rs.621.62) and building amounting to Rs.98.75 million (2015 - Rs.100.03 million) as at the reporting date. The Company has adopted the cost model to value the investment properties.

Location	Extent Perches	Carrying Value Rs.'000	Fair Value Rs.'000
Fort - Colombo	153	720,373	1,711,400

The properties of the Company were valued by an independent valuer, Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, B.Sc. (Hons) Estate Management & Valuation, Executive Diploma in Business Administration, FIV(Sri Lanka) and MRICS(England) and the fair value of the investment properties as at 31st March, 2016 was Rs.1,711.4 million.

The rental income earned by the Company from the said properties is disclosed in Note 4 to the Financial Statement.

The above properties have been accounted for as Property, Plant & Equipment in the Group Financial Statements in view of them being owner occupied from the point of view of the Group.

The Company jointly with York Arcade Holdings PLC has executed a Primary Mortgage Bond on the Land at Leyden Bastian Road for Rs.300 million favouring Sampath Bank PLC in connection with the credit facilities granted to Lankem Ceylon PLC.

The Company jointly with York Arcade Holdings PLC has executed a Secondary Mortgage Bond and Tertiary Mortgage Bond on the Land at Leyden Bastian Road for Rs.125 million and Rs.127.5 million respectively favouring Sampath Bank PLC for the facilities granted to the Company.

The Primary and Secondary Mortgage Bonds mentioned above are in the process of cancelation as the loans obtained from Sampath Bank PLC by the respective Companies have been settled.

The Company has executed a Primary Mortgage Bond for Rs. 91.8 million and a Secondary Mortgage Bond for Rs. 83.0 million over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 belonging to the Company in connection with the credit facilities granted to E. B. Creasy & Company PLC.

The Company has executed a Tertiary Mortgage Bond for Rs. 100.0 million over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 belonging to the Company for the facilities granted to the Company.

As at 31st March,	GROUP	
	2016 Rs.'000	2015 Rs.'000
13 INTANGIBLE ASSETS		
Goodwill on Acquisition (Note 13.1)	826,520	854,172
Trade Mark (Note 13.2)	11,194	-
Computer software (Note 13.3)	33,158	11,629
	870,872	865,801
13.1 Goodwill		
At the beginning of the Year (Note 13.1.1)	854,172	554,844
Acquisition of Subsidiary	27,070	299,328
Impairment of Goodwill (Note 13.1.2)	(54,722)	-
At the end of the Year	826,520	854,172

13.1.1 Goodwill on Acquisition

This represents the excess of the cost of acquisition of the net assets of the following Companies. The aggregated carrying amount of goodwill allocated to each company is as follows:

	GROUP	
	2016 Rs.'000	2015 Rs.'000
Marawila Resorts PLC	-	41,862
Lankem Developments PLC	5,503	5,503
Lankem Plantation Holdings Limited	56,465	56,465
Lankem Paints Limited	3,528	3,528
Lankem Chemicals Limited	3,428	3,428
Lankem Tea and Rubber Plantations (Private) Limited	51,766	51,766
Agarapathana Plantations Limited	16,385	16,385
Creasy Foods Limited	2,259	2,259
Sunagro Lifescience Limited	125	125
C. W. Mackie PLC	92,778	92,778
Galle Fort Hotel (Private) Limited	267,885	280,744
Ceylon Tapes Limited	14,190	14,190
Lanka Special Steel Limited	21,696	21,696
J.F.Packaging (Private) Limited	263,442	263,442
Sherwood Holidays Limited	27,070	-
	826,520	854,172

Notes to the Financial Statements Contd.

13.1.2 Impairment of Goodwill

Based on impairment assessment, the following goodwill were impaired during the year.

	GROUP	
	2016 Rs.'000	2015 Rs.'000
Marawila Resorts PLC	41,862	-
Galle Fort Hotel (Private) Limited	12,860	-
	54,722	-

For the purpose of impairment testing, goodwill acquired from business combinations have been allocated to cash generating units (CGU) that is expected to benefit from the synergies of the combination. CGUs to which goodwill has been allocated have been tested for impairment annually, and when ever there is an indication that the unit may be impaired by comparing the carrying amount of the unit including the goodwill, with the recoverable amount of the unit. If the carrying amount of the unit exceeds the recoverable amount of the unit goodwill allocated to that unit has been regarded as impaired. The impairment loss has been allocated to reduce the carrying amount of any goodwill allocated to the CGU and then to other assets of the unit.

Carrying value of the Goodwill as at the reporting date has been tested for impairment and no impairment losses were identified as at the reporting date except for the amounts disclosed above.

Methods used in estimating recoverable amounts are given below;

- (i) Business Growth - Based on historical growth rate & business plan
- (ii) Inflation - Based on current inflation & the percentage of the total cost subjected to the inflation
- (iii) Discount Rate - Average market borrowing rate adjusted for risk premium
- (iv) Margin - Based on current margin & business plan

	GROUP	
	2016 Rs.'000	2015 Rs.'000
13.2 Trade Mark		
Cost		
As at the beginning of the Year	1,150	1,150
Additions/ disposal during the Year	13,000	-
As at the end of the Year	14,150	1,150
Amortisation		
As at the beginning of the Year	1,150	1,150
Amortised during the year	1,806	-
At the end of the Year	2,956	1,150
Carrying Value	11,194	-
13.3 Computer Software		
Cost		
As at the beginning of the Year	31,299	23,476
Additions/ disposal during the Year	29,264	7,832
As at the end of the Year	60,563	31,299
Amortisation		
As at the beginning of the Year	19,670	16,697
Amortised during the year	6,909	2,973
Disposal during the year	826	-
At the end of the Year	27,405	19,670
Carrying Value	33,158	11,629

Trademark

Darley Butler & Company Ltd., a subsidiary of the Company has paid an amount of Rs. 1.15 million in the year of 2008/09 to Adamjee Pharma (Private) Limited. to acquire the agency right of Navana Pharmaceutical Limited. which was amortized over the Company's Agency Right Period - 03 Years. Also the Company has Purchased the agency right of Intas Pharmaceuticals Limited for Rs. 13 million which is to be amortized over 03 Years.

Computer Software

C M Holdings PLC, a subsidiary's Software cost include the cost of acquired software and website cost of Carplan Limited and Colonial Motors (Ceylon) Limited.

14 INVESTMENTS IN SUBSIDIARIES

As at 31st March,	Group Holding 2016 %	Company Holding 2016 %	No. of Shares 2016	Cost 2016 Rs.'000	Market Value 2016 Rs.'000	No. of Shares 2015	Cost 2015 Rs.'000	Market Value 2015 Rs.'000
14.1 COMPANY								
14.1.1 Quoted Investments								
Beruwalla Resorts PLC	47.71	0.01	30,000	32	36	30,000	32	48
C M Holdings PLC	65.42	63.49	9,649,850	550,183	868,487	9,887,856	563,752	1,234,993
C.W. Mackie PLC	34.04	-	-	-	-	3,900	174	212
E.B. Creasy & Company PLC	59.88	52.99	1,343,610	35,228	1,794,526	1,343,610	35,228	1,410,656
Lankem Ceylon PLC	58.98	30.18	7,243,500	254,022	579,480	7,517,500	263,631	775,054
Marawila Resorts PLC	38.76	0.66	1,510,000	7,173	3,322	755,821	4,910	2,494
Muller & Phipps (Ceylon) PLC	30.72	0.02	60,030	91	72	60,030	91	72
Sigiriya Village Hotels PLC	40.10	-	-	-	-	38,246	1,743	2,257
York Arcade Holdings PLC	49.84	49.27	5,911,923	7,941	76,855	5,911,923	7,941	88,679
				854,670	3,322,778		877,502	3,514,465
14.1.2 Unquoted Investments								
C.F. Travels Limited	100.00	100.00	1,500,000	15,000	-	1,500,000	15,000	-
Capital Leasing Company Limited	55.83	55.83	473,000	4,733	-	473,000	4,733	-
Colombo Fort Holdings Limited	100.00	100.00	3,500,000	35,000	-	3,500,000	35,000	-
Colombo Fort Hotels Limited	61.81	3.55	119,940,474	119,364	-	119,940,474	119,364	-
Colombo Fort Properties Limited	99.70	99.70	1,000	10	-	1,000	10	-
Lankem Plantation Holdings Limited	80.49	52.44	21,500,000	240,500	-	21,500,000	240,500	-
Transways (Private) Limited	100.00	30.00	14,998	150	-	14,998	150	-
				414,757	-		414,757	-
Total Cost				1,269,427			1,292,259	
Provision for Impairment in Value of Investments (Note14.3)				(72,877)			(15,865)	
Carrying Value of Investment in Subsidiaries				1,196,550			1,276,394	

Notes to the Financial Statements Contd.

	No. of Shares 2016	Cost 2016 Rs.'000	Market Value 2016 Rs.'000	No. of Shares 2015	Cost 2015 Rs.'000	Market Value 2015 Rs.'000
14.1.3 Preference Shares						
Transways (Private) Limited	103,110	1,031	-	103,110	1,031	-
Voyages Ceylan (Private) Limited	1,500,000	15,000	-	1,500,000	15,000	-
York Hotel Management Services Limited	650,000	6,500	-	650,000	6,500	-
York Tours Limited	318,000	3,180	-	318,000	3,180	-
Total		25,711			25,711	
Provision for impairment in Value of Investments		(25,711)			(25,711)	
		-			-	

14.2 Provision for Impairment in Value of Investments

	2016 Rs.'000	2015 Rs.'000
Quoted Investments		
Muller & Phipps (Ceylon) PLC	19	-
	19	-
Unquoted Investments		
C.F. Travels Limited	14,769	14,090
Capital Leasing Company Limited	1,615	1,615
Colombo Fort Properties Limited	10	10
Colombo Fort Hotels Limited	56,314	-
Transways (Private) Limited	150	150
	72,858	15,865
	72,877	15,865

The fair value of the investments in Colombo Fort Hotels Limited and C.F. Travels Limited were determined to be impaired as a result of a decline in the respective companies net assets. Based on this, impairment provision against these investments were made.

14.3 Group Companies Investment in Subsidiaries

Investor As at 31st March,	Investee	Holding		No. of Shares	
		2016	2015	2016	2015
E. B. Creasy & Company PLC	Lankem Ceylon PLC	45.73%	45.73%	10,974,635	10,974,635
	Laxapana Batteries PLC	51.58%	51.58%	20,114,838	20,114,838
	Darley Butler & Company Limited	100.00%	100.00%	4,999,964	4,999,964
	Creasy Foods Limited	100.00%	100.00%	570,000	570,000
	Filmpak Limited	100.00%	100.00%	150,000	150,000
	Group Three Associates (Private) Limited	100.00%	100.00%	1,200	1,200
	Island Consumer Supplies (Private) Limited	100.00%	100.00%	120,000	120,000
	Corporate Systems Limited	99.93%	99.93%	10,000	10,000
	E.B. Creasy Logistics Limited	100.00%	100.00%	50,000	50,000
	York Hotels (Kandy) Limited	0.18%	0.18%	396,493	396,493
	Muller & Phipps (Ceylon) PLC	51.26%	51.26%	145,061,773	145,061,773
	Lanka Special Steel Limited	100.00%	100.00%	1,823,074	2,500,000
Darley Butler & Company Limited	Lankem Ceylon PLC	2.24%	2.24%	536,614	536,614
	Laxapana Batteries PLC	0.00%	0.00%	6	6
	Marawila Resorts PLC	0.00%	0.00%	188	94
	York Arcade Holdings PLC	0.38%	0.38%	45,000	45,000
Creasy Foods Limited	Lankem Ceylon PLC	0.10%	0.10%	23,337	23,337
	York Arcade Holdings PLC	0.21%	0.21%	25,000	25,000
Island Consumer Suppliers (Private) Limited	Lankem Plantation Holdings Limited	0.00%	0.00%	1	1
	Sigiriya Village Hotels PLC	0.69%	0.69%	62,162	62,162
	Marawila Resorts PLC	0.07%	0.06%	156,000	78,000
	Colombo Fort Hotels Limited	6.91%	6.91%	233,620,000	233,620,000
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	C M Holdings PLC	0.63%	0.63%	95,640	95,640
	Lankem Ceylon PLC	0.00%	0.00%	536	536
	York Arcade Holdings PLC	0.17%	0.17%	20,000	20,000
Muller & Phipps (Ceylon) PLC	Creasy Plantation Management Limited	41.00%	41.00%	122,993	122,993
	Pettah Pharmacy (Private) Limited	100%	100%	1,499,500	1,499,500
	Pettah Pharmacy (Private) Limited	0.94%	0.94%	31,880,000	31,880,000
Limited	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000

Notes to the Financial Statements Contd.

Investor As at 31st March,	Investee	Holding		No. of Shares	
		2016	2015	2016	2015
Lankem Ceylon PLC	Lankem Development PLC	1.51%	1.51%	903,680	903,680
	Sigiriya Village Hotels PLC	23.15%	23.15%	2,083,760	2,083,760
	Marawila Resorts PLC	7.32%	13.63%	16,700,919	16,700,919
	Colombo Fort Hotels Limited	68.85%	68.85%	2,329,326,024	2,329,326,024
	Lankem Plantation Holdings Limited	47.56%	47.56%	19,500,001	19,500,001
	Lankem Tea and Rubber Plantations (Private) Limited	1.00%	1.00%	8,342	8,342
	Lankem Plantation Services Limited	60.00%	60.00%	179,993	179,993
	Beruwala Resorts PLC	0.01%	0.01%	83,965	83,965
	Lankem Exports Limited	100.00%	100.00%	10,000	10,000
	Lankem Paints Limited	100.00%	100.00%	2,000,000	2,000,000
	Lankem Consumer Products Limited	100.00%	100.00%	2,000,000	2,000,000
	Lankem Chemicals Limited	100.00%	100.00%	2,000,000	2,000,000
	Lankem Research Limited	100.00%	100.00%	250,007	250,007
	SunAgro Life Science Limited	100.00%	100.00%	200,000	200,000
	SunAgro Farms Limited	100.00%	100.00%	1,200,000	1,200,000
	Associated Farms (Private) Limited	100%	100%	55,398	55,398
	Kotagala Plantations PLC	1.54%	1.54%	615,841	615,841
	C.W. Mackie PLC	39.03%	39.03%	14,046,811	14,046,811
	Lankem Technology Services Limited	100.00%	100.00%	4,999,995	4,999,995
	SunAgro Foods Limited	100.00%	100.00%	4,999,994	4,999,994
	C M Holdings PLC	2.23%	2.23%	338,547	338,547
	Waverly Power (Private) Limited	43.59%	43.59%	3,400,000	3,400,000
	Ceylon Tapes (Private) Limited	100.00%	100.00%	820,000	820,000
	J.F. Packaging (Private) Limited	72.50%	72.50%	488,034	488,034
Lankem Plantation Holdings Limited	Lankem Tea and Rubber Plantations (Private) Limited	98.98%	98.98%	826,088	826,088
	Kotagala Plantations PLC	37.81%	37.81%	15,125,000	15,125,000
	Lankem Developments PLC	56.42%	56.42%	33,853,318	33,853,318
Lankem Tea and Rubber Plantations (Private) Limited	Colombo Fort Hotels Limited	5.03%	5.03%	170,274,318	170,274,318
	Marawila Resorts PLC	6.05%	0.53%	13,793,468	652,500
	Kotagala Plantations PLC	30.01%	30.01%	12,002,625	12,002,625
	KIA Motors (Lanka) Limited	15.00%	15.00%	9,000,000	9,000,000
Lankem Developments PLC	Marawila Resorts PLC	0.14%	0.26%	312,500	312,500
	Kotagala Plantations PLC	0.05%	0.05%	20,000	20,000
	Agarapatana Plantations Limited	56.64%	56.64%	64,294,802	64,294,802
	Waverly Power (Private) Limited	56.41%	56.41%	4,400,000	4,400,000
Colombo Fort Hotels Limited	Beruwala Resorts PLC	65.58%	65.58%	393,497,345	393,497,345
	York Hotels (Kandy) Limited	16.41%	16.41%	35,430,111	35,430,111
	Marawila Resorts PLC	41.06%	37.59%	93,624,955	46,043,261
	Sigiriya Village Hotels PLC	41.16%	41.16%	3,704,274	3,704,274
	Galle Fort Hotel (Private) Limited	100.00%	100.00%	9,931,511	9,931,512
	Lak Kraft (Private) Limited	100.00%	0.00%	802	-
	Sherwood Holidays Limited	100.00%	0.00%	100,000	-
Sigiriya Village Hotels PLC	Marawila Resorts PLC	7.46%	0.23%	17,000,000	281,260
	Beruwala Resorts PLC	14.23%	14.23%	85,384,000	85,384,000
	Colombo Fort Hotels Limited	0.02%	0.02%	600,000	600,000
	York Hotels (Kandy) Limited	41.70%	41.70%	90,000,000	90,000,000

Investor As at 31st March,	Investee	Holding		No. of Shares	
		2016	2015	2016	2015
Marawila Resorts PLC	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	Colombo Fort Hotels Limited	0.64%	0.64%	21,656,460	21,656,460
Beruwala Resorts PLC	B.O.T. Hotel Services (Private) Limited	100.00%	100.00%	282,872	282,872
York Hotel Management Services Limited	Colombo Fort Hotels Limited	0.02%	0.02%	600,000	600,000
Agarapatana Plantations Limited	Beruwala Resorts PLC	1.29%	1.29%	7,719,505	7,719,505
	Marawila Resorts PLC	0.30%	0.28%	695,366	347,683
	Lankem Developments PLC	0.02%	0.02%	10,000	10,000
Kotagala Plantations PLC	Beruwala Resorts PLC	1.66%	1.66%	9,949,991	9,949,991
	Marawila Resorts PLC	0.05%	0.05%	125,354	62,677
	Agarapatana Plantations Limited	17.62%	17.62%	20,000,000	20,000,000
	C.W. Mackie PLC	19.89%	19.89%	7,157,857	7,157,857
	York Hotels (Kandy) Limited	41.70%	41.70%	90,000,000	90,000,000
	Sigiriya Village Hotels PLC	0.29%	0.29%	26,083	26,083
	Lankem Developments PLC	10.04%	10.04%	6,026,500	6,026,500
	Union Commodities (Private) Limited	100.00%	100.00%	7,999,999	7,999,999
	Rubber & Allied Products (Colombo) Limited	100%	100%	5,991	5,991
C.W. Mackie PLC	Ceymac Rubber Company Limited	98.60%	98.60%	3,144,724	3,144,724
	Ceytra (Private) Limited	62.82%	62.82%	1,884,600	1,884,600
	Scan Tours and Travels (Private) Limited	100.00%	100.00%	600,000	600,000
	Kelani Valley Canneries Limited	88.34%	88.34%	30,351,222	30,351,222
C M Holdings PLC	Colonial Motors (Ceylon) Limited	100.00%	100.00%	16,499,998	16,499,998
	E. B. Creasy & Company PLC	3.94%	3.94%	100,000	100,000
	York Arcade Holdings PLC	0.08%	0.08%	10,000	10,000
	Union Investments (Private) Limited.	100.00%	100.00%	4,999,999	4,999,999
	Colombo Fort Hotels Limited	11.09%	11.09%	375,358,700	375,358,700
	Marawila Resorts PLC	0.44%	0.55%	1,000,000	673,000
	Carplan Limited	100.00%	100.00%	1,376,004	1,376,004
	KIA Motors (Lanka) Limited	70.00%	70.00%	41,999,952	41,999,952
	Lankem Ceylon PLC	0.42%	0.42%	100,457	100,457
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	Guardian Asset Management Limited	75.00%	93.75%	1,199,995	1,500,000
KIA Motors (Lanka) Limited	Colombo Fort Hotels Limited	2.96%	2.96%	100,000,000	100,000,000
Union Investments (Private) Limited	E. B. Creasy & Company PLC	6.61%	6.61%	167,700	167,700
	York Arcade Holdings PLC	0.10%	0.10%	12,100	12,100
	Guardian Asset Management Limited	18.75%	18.75%	300,000	300,000
	Lankem Ceylon PLC	0.03%	0.03%	7,198	7,198

Notes to the Financial Statements Contd.

Investor As at 31st March,	Investee	Holding		No. of Shares	
		2016	2015	2016	2015
Guardian Asset Management Limited	Guardian Trustees Limited	99.99%	99.99%	59,993	59,993
	Kotagala Plantations PLC	0.00%	0.00%	62	62
	Muller & Phipps (Ceylon) PLC	0.00%	0.00%	500	500
	Laxapana Batteries PLC	0.00%	0.00%	300	300
	York Arcade Holdings PLC	0.00%	0.00%	40	40
	E. B. Creasy & Company PLC	0.00%	0.00%	72	72
	Colombo Investment Trust PLC	0.00%	0.00%	140	140
	Colombo Fort Investments PLC	0.00%	0.00%	81	81
	Lankem Developments PLC	0.00%	0.00%	142	142
	Lankem Ceylon PLC	0.00%	0.00%	200	200
	C M Holdings PLC	0.00%	0.00%	185	185
	Marawila Resorts PLC	0.00%	0.00%	640	320
York Arcade Holdings PLC	C M Holdings PLC	0.47%	0.47%	71,707	71,707
C.F Travels Limited	York Tours Limited	99.99%	99.99%	51,200	51,200
	American Lloyd Travels Limited	96.54%	96.54%	1,013,706	1,013,706
	Union Travels Limited	85.99%	85.99%	42,993	42,993
	Voyages Ceylan (Private) Limited	74.43%	74.43%	454,930	454,930
Colombo Fort Holdings Limited	York Hotel Management Services Limited	99.99%	99.99%	60,000	60,000
	Union Group (Private) Limited	87.90%	87.90%	54,500	54,500
	Transways (Private) Limited	70.00%	70.00%	35,000	35,000
Union Group (Private) Limited	Lankem Ceylon PLC	0.01%	0.01%	2,288	2,288

14.4 Subsidiary Companies of the Group

The details of Subsidiaries in which The Colombo Fort Land & Building PLC held an indirect interest, are set out below:

Indirect Subsidiaries	Effective Holdings (%)	
	2016	2015
Agarapatana Plantations Limited	39.15	39.51
American Lloyd Travels Limited	96.54	96.54
Associated Farms (Private) Limited	58.98	60.49
Beruwala Resorts PLC	47.71	48.34
B.O.T. Hotel Services (Private) Limited	47.71	48.34
C.W. Mackie PLC	34.04	34.75
Ceylon Tapes Limited	58.98	60.49
Ceymac Rubber Company Limited	33.57	34.75
Ceytra (Private) Limited	21.39	34.75
Creasy Foods Limited	59.88	60.05
Creasy Plantation Management Limited	24.55	24.62
Darley Butler & Company Limited	59.88	60.05
E.B. Creasy Logistics Limited	59.88	60.04
Filmpack Limited	59.88	60.05
Group Three Associates (Private) Limited	59.79	59.95
Guardian Trustees Limited	61.32	62.81
Island Consumer Supplies (Private) Limited	59.88	60.05
J.F.Packaging (Private) Limited	42.76	43.86
Kelani Valley Cannerries Limited	30.08	30.66
Kotagala Plantations PLC	55.43	55.94
Lak Kraft (Private) Limited	61.81	-

14.4 Subsidiary Companies of the Group Contd.

Indirect Subsidiaries

	Effective Holdings (%)	
	2016	2015
Lanka Special Steels Limited	59.88	60.05
Lankem Agrochemicals Limited	59.26	60.49
Lankem Chemicals Limited	58.98	60.49
Lankem Consumer Products Limited	58.98	60.49
Lankem Developments PLC	51.88	52.36
Lankem Exports (Private) Limited	58.96	60.47
Lankem Paints Limited	58.98	60.49
Lankem Plantation Services Limited	35.39	36.29
Lankem Research Limited	58.98	60.49
Lankem Tea & Rubber Plantations (Private) Limited	80.26	80.99
Laxapana Batteries PLC	30.89	30.97
Marawila Resorts PLC	38.76	33.66
Sherwood Holidays Limited	61.81	-
Sigiriya Village Hotels PLC	40.10	40.86
Scan Tours & Travels (Private) Limited	34.04	34.75
SunAgro Farms Limited	58.98	60.49
SunAgro LifeScience Limited	58.98	60.49
Union Group (Private) Limited	87.90	87.90
Union Travels Limited	85.99	85.99
Voyages Ceylan (Private) Limited	74.43	74.43
York Hotel Management Services Limited	100.00	100.00
York Hotels (Kandy) Limited	50.09	50.77
York Tours Limited	100.00	100.00

15 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

As at 31st March,	Holding % 2016	No. of Shares 2016	Balance as at 2016 Rs.'000	Carrying Value 2016 Rs.'000	Holding % 2015	No. of Shares 2015	Balance as at 2015 Rs.'000	Carrying Value 2015 Rs.'000
GROUP								
Quoted Investments								
Colombo Fort Investments PLC	15.97	1,038,117	160,834	80,143	20.60	1,339,117	134,414	129,493
Colombo Investment Trust PLC	11.52	748,668	129,721	59,935	15.53	1,009,668	109,371	127,218
			290,555	140,077			243,785	256,711
Unquoted Investments								
Capital Investments Limited	46.67	3,499,930	293,992		46.67	3,499,930	294,336	
Balance as at 1st April			584,547				538,122	
Comprehensive Income			(10,662)				30,146	
Other Comprehensive Income			(100,097)				21,778	
Share of Results of								
Equity Accounted Investees								
(Net of Tax) for the Year			(110,760)				51,923	
Dividend Paid during the Year			(5,942)				(5,499)	
Unrealised Profit on Disposal of								
Shares to Equity Accounted Investee			(3,610)				-	
Carrying Value of Investments in Equity Accounted Investees			464,236				584,547	

Notes to the Financial Statements Contd.

- a. Market value of quoted associate investments as at 31st March, 2016 was Rs.140 million (Rs.257 million- 31st March, 2015) for the Group and Company. The Director's valuation of unquoted associate investment amounted to Rs 294 million as at 31st March, 2016 (Rs.294.3 million - 31st March, 2015) for the Group and Company as well.

- b. Summarised Financial Information of Equity Accounted Investees

As at 31st March,	GROUP	
	2016 Rs.'000	2015 Rs.'000
Assets & Liabilities		
Total Assets	2,866,316	3,321,366
Total Liabilities	(84,854)	(4,747)
Net Assets	2,781,462	3,316,619

For the year ended 31st March,	GROUP	
	2016 Rs.'000	2015 Rs.'000
Revenue and Profit		
Total Revenue	52,762	50,611
Total Profit After Tax	(92,569)	96,891
Other comprehensive Income/(Loss)	(418,778)	127,366

The Company has neither contingent liabilities nor capital commitments in respect of its associates.

As at 31st March,	Holding % 2016	No. of Shares 2016	Cost As at 2016 Rs.'000	Carrying Value As at 2016 Rs.'000	No. of Shares 2015	Cost As at 2015 Rs.'000	Carrying Value As at 2015 Rs.'000
COMPANY							
Quoted Investments							
Colombo Fort Investments PLC	15.97	1,038,117	32,806	80,143	1,339,117	42,318	129,493
Colombo Investment Trust PLC	11.52	748,668	21,279	64,011	1,009,668	28,697	127,218
			54,085	144,154		71,015	256,711
Unquoted Investments							
Capital Investments Limited	46.67	3,499,930	35,349	-	3,499,930	35,349	-
			35,349	-		35,349	-
Carrying Value of Investments in Equity Accounted Investees			89,434			106,364	

16 OTHER FINANCIAL ASSETS

As at 31st March,	Notes	GROUP		Notes	COMPANY	
		Carrying Value 2016 Rs.'000	Carrying Value 2015 Rs.'000		Carrying Value 2016 Rs.'000	Carrying Value 2015 Rs.'000
Quoted Investments - Available-for-Sale	16.1.1	165,060	201,792	16.2.1	1,441	1,660
Unquoted Investments - Available-for-Sale	16.1.2	240,237	244,356		-	-
Unit Trusts - Available-for-Sale	16.1.3	154,119	16,295		-	-
Held to Maturity financial Assets	16.1.4	5,852	144,537		-	-
		565,268	606,980		1,441	1,660
Provision for Impairment in Value of Investment		(5,400)	(5,400)		-	-
		559,868	601,580		1,441	1,660

16.1 GROUP

As at 31st March,	GROUP					
	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000	No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
16.1.1 Quoted Investments						
Banks, Finance & Insurance						
Amana Takaful PLC	4,000	8	6	4,000	8	6
Arpico Finance Company PLC	333	11	60	333	11	55
Asia Capital PLC	100	-	1	100	-	1
Asian Alliance Insurance PLC	100	1	15	100	1	13
Central Finance Company PLC	46,510	7,964	9,766	46,510	7,964	11,631
Ceylinco Insurance PLC	22	-	32	22	-	36
Commercial Bank of Ceylon PLC-Voting	231	6	28	229	5	38
DFCC Bank PLC	16,716	431	2,289	16,716	431	3,391
First Capital Holdings PLC	3,600	11	69	3,600	11	97
Hatton National Bank PLC-Voting	9	-	2	9	-	2
HNB Assurance PLC	200	3	11	200	3	17
Housing Development Finance Corporation Bank of Sri Lanka	100	4	5	100	4	6
Janashakthi Insurance Company PLC	4,500	56	72	3,000	28	67
Lanka ORIX Leasing Company PLC	800	1	2	800	1	63
Lanka Ventures PLC	100	1	4	100	1	4
LB Finance PLC	1,156	3	123	578	3	88
Merchant Bank of Sri Lanka & Finance PLC	67	1	1	67	1	1
Nation Lanka Finance PLC	625	5	1	625	5	3
National Development Bank PLC	5,588	539	943	5,588	539	1,385
Nations Trust Bank PLC	12,114	296	898	12,114	295	1,212
Pan Asia Banking Corporation PLC	2,000	10	46	2,000	10	43
People's Leasing & Finance PLC	10,000	180	160	10,000	180	221
People's Merchant Finance PLC	270	4	1	270	4	6
Sampath Bank PLC	183	6	41	179	5	45
Seylan Bank PLC-Non-Voting	136	4	9	136	4	9
Seylan Bank PLC-Voting	6	-	1	6	-	1
SMB Leasing PLC	3,610	3	3	3,610	3	4
The Finance Company PLC	120	8	1	120	8	2
Union Bank of Colombo PLC	100	3	2	100	3	2
Vanik Incorporation PLC-Non-Voting	10	-	-	10	-	-
Vanik Incorporation PLC-Voting	100	-	-	100	-	-
Total		9,559	14,592		9,528	18,449

Notes to the Financial Statements Contd.

16.1.1 Quoted Investments Contd.

As at 31st March,	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000	GROUP		
				No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
Beverages, Food & Tobacco						
Bairaha Farms PLC	100	1	14	100	1	11
Cargills (Ceylon) PLC	300	9	45	300	9	41
Ceylon Beverage Holdings PLC	276	6	160	276	6	193
Ceylon Cold Stores PLC	64	1	28	64	1	19
Ceylon Tea Services PLC	80	3	49	80	3	57
Ceylon Tobacco Company PLC	7	-	7	7	-	7
Convenience Foods (Lanka) PLC	90	1	33	90	1	30
Distilleries Company of Sri Lanka PLC	100	1	21	100	1	24
Keells Food Products PLC	219	11	37	219	11	24
Lanka Milk Foods (CWE) PLC	133	3	15	133	3	19
Nestle Lanka PLC	40	4	81	40	4	92
Renuka Foods PLC -Voting	-	-	-	20	-	1
Tea Smallholder Factories PLC	142	3	2	142	3	5
Three Acre Farms PLC	19	-	2	19	-	1
Total		43	494		43	524
Chemicals and Pharmaceuticals						
CIC Holdings PLC - Voting	4,239	29	405	4,239	29	322
Chemane PLC	35,194	2	2,217	35,194	2	2,639
Haycarb PLC	27	1	4	27	1	5
Industrial Asphalts (Ceylon) PLC	10	1	3	10	1	3
J.L. Morison Sons & Jones Ceylon PLC-Non-Voting	60	-	17	60	-	14
J.L. Morison Sons & Jones Ceylon PLC-Voting	200	4	68	200	4	57
Standard Capital PLC	400	17	36	400	17	31
Total		54	2,750		54	3,071
Construction & Engineering						
Access Engineering PLC	474,700	-	9,874	474,700	-	9,114
Colombo Dockyard PLC	284	2	2	311	2	46
Total		2	9,876		2	9,160

16.1.1 Quoted Investments Contd.

As at 31st March,	GROUP					
	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000	No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
Diversified Holdings						
Aitken Spence PLC	555	10	41	555	10	55
Browns Investments PLC	6,000	19	8	6,000	19	10
Carson Cumberbatch PLC	191	10	52	191	10	73
CT Holdings PLC	203	7	26	203	7	26
Dunamis Capital PLC	206	2	4	206	2	5
Hayleys PLC	1,300	59	2	1,300	59	3
Hemas Holdings PLC	156,049	7,684	12,578	625	5	7,417
John Keells Holdings PLC	163	10	24	138	9	27
Richard Peiris & Company PLC	3,705	2	27	3,705	2	27
The Colombo Fort Land & Building PLC	5,089,930	9,173	99,254	5,089,930	9,173	125,812
Total		16,976	112,016		9,296	133,455
Footwear & Textile						
Ceylon Leather Products PLC	200	2	13	200	2	17
Hayleys MGT Knitting Mills PLC	409	7	7	409	7	7
Odel PLC	100	1	2	100	1	2
Total		10	22		10	26
Healthcare						
Asiri Hospital Holdings PLC	2,660	6	64	2,660	6	51
Asiri Surgical Hospital PLC	1,499	4	16	1,499	4	23
Ceylon Hospitals PLC (Durdans) - Voting	130	3	12	130	3	15
Ceylon Hospitals PLC (Durdans) - non Voting	130	2	10	130	2	10
Nawaloka Hospitals PLC	26,666	20	93	26,666	20	77
The Lanka Hospital Corporation PLC	100	1	5	100	1	4
Total		36	200		36	180
Hotel & Travel						
Aitken Spence Hotel Holdings PLC	140	2	7	140	2	9
Amaya Leisure PLC	260	2	16	248	1	18
Asian Hotels & Properties PLC	200	1	10	200	1	13
Browns Beach Hotels PLC	150	-	4	150	-	4
Ceylon Hotels Corporation PLC	510	2	12	510	2	12
Citrus Leisure PLC	53	1	-	53	1	1
Dolphin Hotels PLC	125	1	5	125	1	7
Eden Hotel Lanka PLC	200	2	3	200	2	4
Galadari Hotels (Lanka) PLC	100	-	1	100	-	1
Hotel Developers (Lanka) PLC	4	-	-	4	-	-
Hotel Sigiriya PLC	14,000	65	-	14,000	65	1,230
Hunas Falls Hotels PLC	450	19	23	450	19	27
John Keells Hotels PLC	1,506	5	18	1,506	5	22

Notes to the Financial Statements Contd.

16.1.1 Quoted Investments Contd.

As at 31st March,	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000	GROUP		
				No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
Mahaweli Reach Hotels PLC	100	1	2	100	1	2
Miramar Beach Hotel PLC	100	1	6	100	1	6
Palm Garden Hotels PLC	56	3	2	56	3	3
Pegasus Hotels of Ceylon PLC	1,093	37	35	1,093	37	44
Renuka City Hotel PLC	600	148	194	600	138	197
Royal Palms Beach Hotels PLC	475	12	17	475	12	18
Tal Lanka Hotels PLC	100	-	2	100	-	3
The Kingsbury PLC	687	3	10	687	3	11
The Fortress Resorts PLC	500	5	7	500	5	8
The Lighthouse Hotel PLC	100	1	5	100	1	6
The Nuwara Eliya Hotels Company PLC	11	4	15	11	4	16
Trans Asia Hotels PLC	400	1	-	400	1	38
Total		316	394		305	1,700
Information Technology						
E - Channelling PLC	1,162	2	9	1,162	2	13
PC House PLC	1,000	11	-	1,000	11	-
Total		13	9		13	13
Investment Trust						
Ascot Holdings PLC	97	1	2	90	1	3
Ceylon Guardian Investment Trust PLC	174	2	21	173	1	32
Ceylon Investment PLC	463	3	24	459	2	42
Colombo Fort Investments PLC	81	2	17	81	2	8
Colombo Investment Trust PLC	140	2	12	140	2	18
Renuka Holdings PLC- Voting	1,180	17	25	1,180	17	33
Renuka Holdings PLC- Non Voting	164	1	3	164	1	4
Total		28	104		26	140
Land & Property						
C.T. Land Development PLC	100	1	5	100	1	3
City Housing & Real Estate Co. PLC	180	1	2	180	1	2
Colombo Land & Development Company PLC	1,400	2	30	2,000	8	515
Commercial Development PLC	600	6	52	-	-	-
East West Properties PLC	1,200	6	16	1,200	6	14
Equity Two PLC	100	1	7	100	1	3
Kelsey Developments PLC	337	4	21	337	4	6
On'ally Holdings PLC	31	-	2	31	-	1
Overseas Realty (Ceylon) PLC	300	2	7	300	2	6
Serendib Land PLC	30	2	64	30	2	30
Seylan Developments PLC	204	1	2	204	1	2
Touchwood Investments PLC	2,400	1	6	2,400	1	6
Total		27	214		27	588

16.1.1 Quoted Investments Contd.

As at 31st March,	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000	GROUP		
				No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
Manufacturing						
Abans Electricals PLC	240	12	27	240	12	25
ACL Cables PLC	288	2	29	288	2	18
ACL Plastics PLC	100	3	16	100	3	8
ACME Printing and Packaging PLC	10,300	257	55	150	1	1
Alufab PLC	90	3	3	90	3	1
Blue Diamonds Jewellery Worldwide PLC	22	-	-	22	-	-
Bogala Graphite Lanka PLC	200	1	3	100	1	2
Ceylon Grain Elevators PLC	10	-	1	10	-	-
Chevron Lubrications Lanka PLC	6,200	180	1,891	200	8	53
Dankotuwa Porcelain PLC	166	3	1	166	3	2
Dipped Products PLC	86	2	6	86	2	8
Hayleys Fibre PLC	105	2	4	105	2	3
Kelani Tyres PLC	360	2	23	360	2	19
Lanka Aluminium Industries PLC	10	-	1	10	-	-
Lanka Cement PLC	100	-	1	100	-	1
Lanka Ceramic PLC	31	1	4	31	1	3
Lanka Tiles PLC	52	1	5	52	1	5
Pelwatte Sugar Industries PLC	100	-	-	100	-	3
Piramal Glass Ceylon PLC	3,428	6	17	3,428	6	12
Regnis (Lanka) PLC	30	1	4	30	1	1
Richard Peiris Exports PLC	92	3	19	92	3	4
Royal Ceramics Lanka PLC	10,896	114	1,091	10,896	114	864
Samson International PLC	50	1	5	46	1	4
Sierra Cables PLC	2,600	8	7	2,600	8	4
Singer Industries (Ceylon) PLC	33	1	5	33	1	5
Swisstek (Ceylon) PLC	100	-	6	100	-	2
Tokyo Cement Company (Lanka) PLC-Voting	546,030	29,970	20,201	123	1	4
Total		30,573	23,425		176	1,054
Motors						
Diesel & Motor Engineering PLC	6	-	4	6	-	4
Lanka Ashok Leyland PLC	90	1	136	90	1	117
Sathosa Motors PLC	66	2	20	66	2	18
The Autodrome PLC	100	2	9	10	2	9
United Motors Lanka PLC	-	-	-	-	-	-
Total		5	169		5	148
Oil Palms						
Bukit Darah PLC	10	3	4	10	3	7
Good Hope PLC	-	-	-	-	-	-
Indo Malay PLC	5	1	8	5	1	8
Selinsing PLC	43	11	58	43	11	69
Total		15	70		15	84

Notes to the Financial Statements Contd.

16.1.1 Quoted Investments Contd.

As at 31st March,	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000	GROUP		
				No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
Plantations						
Agalawatte Plantations PLC	100	1	2	100	1	3
Balangoda Plantations PLC	310	4	5	310	4	6
Bogawantalawa Tea Estates PLC	46	-	-	46	-	1
Hapugastenne Plantations PLC	300	5	6	300	3	9
Horana Plantations PLC	120	2	3	120	-	3
Kahawatte Plantations PLC	531	77	20	531	77	17
Kegalle Plantations PLC	200	1	10	200	1	16
Kelani Valley Plantations PLC	200	1	14	200	1	14
Madulsima Plantations PLC	200	4	2	200	2	2
Malwatte Valley Plantations PLC	1,100	2	5	1,100	1	4
Maskeliya Plantations PLC	2,300	42	18	2,300	41	23
Metropolitan Resource Holdings PLC	22	1	-	22	1	1
Namunukula Plantations PLC	1,200	22	72	1,200	16	85
Talawakelle Tea Estates PLC	700	15	23	700	12	27
Udapussellawa Plantations PLC	200	4	4	200	1	7
Watawala Plantations PLC	12,000	43	232	11,100	24	222
Total		222	416		185	440
Power and Energy						
Lanka IOC PLC	800	22	26	800	22	33
Panasian Power PLC	1,000	3	3	1,000	3	3
Resus Energy PLC	1,000	19	22	1,000	19	19
Vallibel Power Erathna PLC	3,000	8	24	3,000	8	24
Vidullanka PLC	1,856	2	11	1,237	2	8
Total		54	86		54	87
Service						
John Keells PLC	336	2	24	336	2	31
Paragon Ceylon PLC	100	1	6	10	1	7
Total		3	30		3	38
Stores and Suppliers						
Gestetner of Ceylon PLC	679	16	90	647	12	83
Hunters & Company PLC	24	1	10	24	1	9
Total		17	100		13	92
Telecommunications						
Dialog Axiata PLC	100	2	1	100	2	1
Sri Lanka Telecom PLC	200	3	8	200	3	9
Total		5	9		5	10

16.1.1 Quoted Investments Contd.

As at 31st March,	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000	GROUP		
				No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
Trading						
Brown & Company PLC	100	3	8	100	3	10
Ceylon & Foreign Traders PLC	10,000	5	50	10,000	5	60
Singer Sri Lanka PLC	196	5	24	196	4	22
Tess Agro PLC	2,053	2	2	2,053	2	3
Total		15	84		14	95
Total Quoted Investments		57,973	165,060		50,204	201,792

16.1.2 Unquoted Investments

Asia Pacific Golf Courses Limited	2,500	250	250	2,500	-	250
Ceylon Biscuits Limited	5,041,680	30	214,279	5,041,680	30	186,861
Dacreel Ceylon Limited	1	-	-	1	-	-
Duramedical (Lanka) Limited	100,000	1,000	1,000	-	-	-
Dutch Dairy International Limited	125,000	5,400	5,400	125,000	5,400	5,400
Far Eastern Exports Limited	160,500	1,670	1,757	160,500	1,710	1,757
Fortland Finance Limited	31,500	318	-	31,500	-	-
International Manufacturers Company Limited	3,300	23	23	3,300	23	23
Rubber & Allied Products Limited	5,393	-	-	5,393	-	-
Sri Lanka Institute of Nanotechnology (Private) limited	3,814,182	50,000	17,463	3,814,182	50,000	50,000
Union Construction Engineering Limited	5,500	55	55	5,500	55	55
York Conventions (Private) Limited	10	-	10	10	-	10
Total		58,746	240,237		57,218	244,356

16.1.3 Unit Trusts

Ceybank Unit Trust	13,580,829	138,708	138,708	-	-	-
Comtrust Equity Fund	94,856	1,835	1,835	94,856	1,916	1,916
National Equity Fund	378,908	1,709	11,129	366,513	1,709	11,959
Pyramid Unit Trust	75,558	2,447	2,447	64,654	2,420	2,420
Total		144,699	154,119		6,045	16,295

16.1.4 Financial Assets Held to Maturity

	2016 Rs.'000	2015 Rs.'000
Long term Fixed Deposits	5,852	139,537
Bank of Ceylon (US\$200,000)	-	5,000
Total	5,852	144,537

The fair value of the company's listed equity portfolio is based on volume weighted average price as at 31st March 2016, published by the Colombo Stock Exchange.

Notes to the Financial Statements Contd.

16.2 COMPANY

16.2.1 Quoted Investments

As at 31st March,	COMPANY			COMPANY		
	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000	No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
Banks, Finance & Insurance						
People's Leasing & Finance PLC	10,000	180	160	10,000	180	221
The Finance Company PLC	100	9	1	100	9	1
Total		189	161		189	222
Beverages, Food & Tobacco						
Ceylon Beverage Holdings PLC	226	1	131	226	1	158
Total		1	131		1	158
Manufacturing						
Royal Ceramics Lanka PLC	10,890	114	1,090	10,890	114	1,209
Total		114	1,090		114	1,209
Plantations						
Namunukula Plantations PLC	1,000	15	59	1,000	15	71
Total		15	59		15	71
Total Quoted Investments		319	1,441		319	1,660

The fair value of the Company's listed equity portfolio is based on the volume weighted average price as at 31st March, published by the Colombo Stock Exchange.

16.3 Other Financial Assets

Financial assets classified as Held for Trading		GROUP		COMPANY	
		Carrying Value 2016 Rs.'000	Carrying Value 2015 Rs.'000	Carrying Value 2016 Rs.'000	Carrying Value 2015 Rs.'000
Quoted Investments - Held -for- trading	16.3.1	719,803	906,963	-	-
Share Warrants - Held -for- trading	16.3.2	23	143	-	-
Unit Trusts - Held -for- trading	16.3.3	8,018	9,034	-	-
		727,844	916,140	-	-
		727,844	916,140	-	-

16.3 Other Financial Assets Contd.

The movement of the financial assets at fair value through profit or loss is as follows;

	Carrying Value 2016 Rs.'000	GROUP Carrying Value 2015 Rs.'000
Investment in Unit Trust	9,234	7,262
Equity Investments	906,906	789,555
	916,140	796,817
Additions		
Investment in Unit Trust	767	546
Equity Investments	4,303	2,968
	5,070	3,514
Disposals		
Investment in Unit Trust	(108)	-
Equity Investments	(3,497)	(26,608)
	(3,605)	(26,608)
Market Fair value changes		
Investment in Unit Trust	(1,673)	1,426
Equity Investments	(188,087)	140,991
	(189,760)	142,417
At the end of the year		
Investment in Unit Trust	8,220	9,234
Equity Investments	7,219,625	906,906
	727,844	916,140

16.3 GROUP

	No. of Shares 2016	Cost 2016 Rs.'000	GROUP Carying Value 2016 Rs.'000	No. of Shares 2015	Cost 2015 Rs.'000	Carying Value 2015 Rs.'000
As at 31st March,						
16.3.1 Quoted Investments						
Banks, Finance & Insurance						
Alliance Finance Company PLC	6,000	354	4,440	6,000	354	4,620
Amana Takaful PLC	750,000	858	1,050	750,000	858	1,200
Asian Alliance Insurance PLC	100,000	284	1,510	10,000	284	1,320
Capital Alliance Finance PLC	3,479,939	123,600	35,147	3,592,054	123,000	49,211
Central Finance Company PLC	18,600	710	3,906	18,600	710	4,652
Commercial Bank of Ceylon PLC-Non-Voting	96,759	2,436	10,934	95,523	2,265	12,533
Commercial Bank of Ceylon PLC-Voting	861,162	17,086	108,076	852,628	15,551	141,530
Hatton National Bank PLC- Non-Voting	30,858	891	5,277	30,858	891	5,107
Hatton National Bank PLC-Voting	249,224	2,977	49,670	249,224	2,977	55,328
HNB Assurance PLC	119,594	1,685	8,751	119,594	1,685	11,773
Housing Development						
Finance Corporation Bank of Sri Lanka	105,802	7,478	14,495	105,802	7,478	21,467

Notes to the Financial Statements Contd.

16.3.1 Quoted Investments

As at 31st March,	No. of Shares 2016	Cost 2016 Rs.'000	GROUP Carrying Value 2016 Rs.'000	No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
Lanka ORIX Finance PLC	79,400	544	5,716	79,400	544	294
Lanka ORIX Leasing Company PLC	394,000	939	2,972	394,000	939	31,061
Lanka Ventures PLC	339,700	11,404	14,607	339,700	11,404	14,947
Merchant Bank of Sri Lanka & Finance PLC	124,879	8,170	1,274	124,879	8,170	1,973
Nation Lanka Finance PLC	11,250	68	11	11,250	68	50
National Development Bank PLC	19,456	620	3,285	19,456	620	4,832
Nations Trust Bank PLC	154,625	3,955	11,473	154,625	3,955	15,478
Pan Asia Banking Corporation PLC	311,400	2,523	7,162	311,400	2,523	6,695
People's Merchant Finance PLC	1,500	27	5	1,500	27	36
Sampath Bank PLC	70,824	2,865	16,006	69,015	2,429	17,457
Seylan Bank PLC-Non-Voting	267,709	4,172	16,865	267,709	4,172	16,876
Union Bank of Colombo PLC	384,100	7,685	6,376	384,100	7,685	9,256
Total		201,331	329,008		198,589	427,696
Beverages, Food & Tobacco						
Cargills (Ceylon) PLC	127,800	4,386	19,170	127,800	4,386	17,509
Ceylon Beverage Holdings PLC	-	-	-	-	-	-
Ceylon Cold Stores PLC	9,320	177	4,008	9,320	177	2,784
Ceylon Tea Services PLC	1,428	86	880	1,428	86	1,014
Ceylon Tobacco Company PLC	3,500	140	3,542	3,500	140	3,498
Keells Food Products PLC	3,570	174	607	3,570	174	393
Lanka Milk Foods (CWE) PLC	133	4	15	133	4	19
Nestle Lanka PLC	4,700	404	9,533	4,700	404	10,787
Renuka Agri Foods PLC	91,560	307	275	91,560	307	430
Renuka Foods PLC -Voting	223,770	295	4,654	223,770	295	6,019
Renuka Foods PLC -Non Voting	1,914	24	37	1,914	24	45
Three Acre Farms PLC	25,000	216	2,130	25,000	216	1,175
Total		6,213	44,851		6,213	43,673
Chemicals and Pharmaceuticals						
Chemmanex PLC	17,700	1,558	1,115	17,700	1,558	1,328
Haycarb PLC	345	10	55	345	10	63
Union Chemicals Lanka PLC	100	1	59	100	1	48
Total		1,569	1,229		1,569	1,439
Construction & Engineering						
Colombo Dockyard PLC	16,380	927	1,770	16,380	927	2,711
MTD Walkers PLC	87,960	-	2,929	87,960	-	4,081
Total		927	4,699		927	6,792

16.3.1 Quoted Investments Contd.

As at 31st March,	GROUP			No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000			
Diversified Holdings						
Aitken Spence PLC						
Browns Investments PLC	706,000	1,933	918	706,000	1,933	1,130
Carson Cumberbatch PLC	664	81	179	664	81	252
Dunamis Capital PLC	60,875	419	1,035	60,875	419	1,455
Hayleys PLC	100,016	2,372	24,574	100,016	2,372	30,005
Hemas Holdings PLC	20,888	367	1,683	18,750	214	1,396
John Keells Holdings PLC	58,028	5,265	8,588	48,616	4,865	9,679
Richard Peiris & Company PLC	4,740	12	34	4,740	11	34
Sunshine Holdings PLC	700	23	35	700	23	34
Vallibel One PLC	104,000	2,600	1,851	104,000	2,600	2,111
Total		13,072	38,897		12,518	46,096
Footwear & Textile						
Hayleys MGT Knitting Mills PLC	8,590	194	155	8,590	194	151
Odel PLC	1,500	23	33	1,500	23	33
Total		217	188		217	184
Healthcare						
Asiri Hospital Holdings PLC	353,000	895	8,472	353,000	895	6,989
Asiri Surgical Hospital PLC	112,500	277	1,238	112,500	277	1,721
Ceylon Hospitals PLC (Durdans) -Voting	13,330	301	1,102	13,330	301	1,526
The Lanka Hospital Corporation PLC	33,000	489	1,683	33,000	489	1,317
Total		1,962	12,495		1,962	11,553
Hotel & Travel						
Aitken Spence Hotel Holdings PLC	100,625	1,856	5,333	100,625	1,856	6,742
Amaya Leisure PLC	62,999	2,097	3,811	60,000	1,857	4,380
Asian Hotels & Properties PLC	72,000	989	3,442	72,000	989	4,536
Ceylon Hotels Corporation PLC	10,000	254	240	10,000	254	236
Citrus Leisure PLC	168,714	4,029	1,130	168,714	4,029	2,176
Dolphin Hotels PLC	20,000	275	840	20,000	275	1,138
Eden Hotel Lanka PLC	350,000	7,006	5,600	350,000	7,006	7,350
Galadari Hotels (Lanka) PLC	7,000	60	61	7,000	60	88
Hikkaduwa Beach Resort PLC	33,742	675	449	33,742	675	590
John Keells Hotels PLC	530,416	8,907	6,365	530,416	8,907	7,585
Palm Garden Hotels PLC	15,164	711	453	15,164	711	696
Pegasus Hotels of Ceylon PLC	22,666	499	714	22,666	499	929
Renuka City Hotel PLC	12,740	897	4,133	12,740	897	4,205
Royal Palms Beach Hotels PLC	15,700	629	479	15,700	629	565

Notes to the Financial Statements Contd.

16.3.1 Quoted Investments Contd.

As at 31st March,	No. of Shares 2016	Cost 2016 Rs.'000	GROUP		No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
			Carrying Value 2016 Rs.'000				
Hotel & Travel Contd.							
Serendib Hotels PLC-Non-Voting	31,250	296	546		31,250	296	672
Tal Lanka Hotels PLC	19,500	182	456		19,500	182	511
Tangerine Beach Hotels PLC	11,400	348	760		11,400	348	901
The Fortress Resorts PLC	50	1	1		50	1	1
The Lighthouse Hotel PLC	114,800	1,948	6,073		114,800	1,948	6,888
Total		31,659	40,886			31,419	50,189
Investment Trust							
Ceylon Guardian Investment Trust PLC	151,420	1,517	18,125		149,811	1,219	27,565
Ceylon Investment PLC	595,848	2,862	31,402		590,232	2,322	53,711
Guardian Capital Partners PLC	113,000	8,253	3,175		113,000	8,253	4,072
Renuka Holdings PLC-Voting	3,370,000	5,852	10,447		3,370,000	5,852	15,839
Total		18,484	63,149			17,646	101,187
Land & Property							
C.T. Land Development PLC	2,000	14	91		2,000	14	70
Colombo Land & Development Company PLC	522,460	4,783	11,181		522,460	4,783	13,062
East West Properties PLC	48,000	338	648		48,000	338	588
Equity Two PLC	25,200	217	1,653		25,200	217	1,527
Property Development PLC	8,000	133	649		8,000	133	760
Serendib Engineering Group PLC	3,897,859	55,283	26,505		3,977,200	55,283	55,283
Touchwood Investments PLC	600,000	10,602	1,560		-	-	-
Total		71,370	42,287			60,768	71,290
Manufacturing							
ACL Cables PLC	36,000	1,485	3,632		36,000	1,485	2,736
Bogala Graphite Lanka PLC	11,200	37	168		5,600	37	162
Ceylon Grain Elevators PLC	30,000	302	2,067		30,000	302	1,140
Chevron Lubrications Lanka PLC	10,000	387	3,050		10,000	387	3,930
Dankotuwa Porcelain PLC	52,500	415	357		40,000	315	448
Dipped Products PLC	35,024	1,562	2,557		35,024	1,562	4,833
Hayleys Fibre PLC	489	21	19		489	21	19
Kelani Cables PLC	400	7	45		400	7	32
Kelani Tyres PLC	160	1	10		160	1	12
Lanka Cement PLC	5,000	39	25		5,000	39	31
Lanka Tiles PLC	25,000	630	2,515		25,000	630	2,650
Lanka Walltiles PLC	100,000	3,947	9,880		100,000	3,947	9,580
Orient Garments PLC	610,320	13,193	4,272		613,410	13,193	6,809
Pelwatte Sugar Industries PLC	5,000	96	-		5,000	96	-
Piramal Glass Ceylon PLC	250,000	1,400	1,275		250,000	1,425	1,425
Regnis (Lanka) PLC	137,853	2,465	20,155		137,853	2,465	11,166
Richard Peiris Exports PLC	40,600	1,066	8,575		40,600	1,066	5,513

16.3.1 Quoted Investments Contd.

As at 31st March,	GROUP			No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000			
Sierra Cables PLC	824,000	1,515	2,389	824,000	1,515	3,296
Singer Industries (Ceylon) PLC	31,800	844	4,452	31,800	844	6,042
Textured Jersey Lanka PLC	10,000	150	317	10,000	150	240
Tokyo Cement Company (Lanka) PLC -Non-Voting	474,540	7,885	15,327	474,540	7,885	17,711
Tokyo Cement Company (Lanka) PLC-Voting	387,081	19,422	14,321	387,081	19,422	21,251
Total		56,869	95,408		56,794	99,026
Motors						
United Motors Lanka PLC	34,881	334	2,895	34,881	334	3,070
Total		334	2,895		334	3,070
Oil Palms						
Bukit Darah PLC	548	121	192	548	121	372
Total		121	192		121	372
Plantations						
Watawala Plantations PLC	432,000	526	8,338	432,000	526	8,640
Total		526	8,338		526	8,640
Power and Energy						
Lanka IOC PLC	174,600	5,418	5,675	174,600	5,418	7,100
Panasian Power PLC	29,200	88	93	29,200	88	102
Resus Energy PLC	110,000	2,098	2,442	110,000	2,098	2,079
Vallibel Power Erathna PLC	39,017	85	312	39,017	85	308
Vidullanka PLC	592,775	1,030	3,557	395,183	1,030	2,648
Total		8,719	12,079		8,719	12,237
Service						
John Keells PLC	20,000	383	1,400	20,000	383	1,840
Total		383	1,400		383	1,840
Telecommunications						
Dialog Axiata PLC	15,000	224	153	15,000	224	156
Total		224	153		224	156
Trading						
Browns & Company PLC	28,900	2,745	2,306	28,900	2,745	2,789
Singer Sri Lanka PLC	164,338	679	19,343	164,338	679	18,734
Total		3,424	21,649		3,424	21,523
Total Quoted Investments		417,404	719,803		402,353	906,963

Notes to the Financial Statements Contd.

As at 31st March,	GROUP			No. of Shares 2015	Cost 2015 Rs.'000	Carrying Value 2015 Rs.'000
	No. of Shares 2016	Cost 2016 Rs.'000	Carrying Value 2016 Rs.'000			
16.3.2 Share Warrants						
John Keells Holdings - Warrants (2015)	-	-	-	2,160	-	45
John Keells Holdings - Warrants (2016)	2,468	-	23	2,160	-	70
Citrus Leisure PLC - Warrants	-	-	-	137,428	-	28
Total Share Warrants			23			143
16.3.3 Unit Trusts						
Bartleet Transcapital Limited	10,000	200	200	10,000	200	200
Ceybank Unit Trust	292,672	2,439	7,015	273,366	2,439	7,865
National Equity Fund	12,000	120	360	12,000	120	321
Pyramid Unit Trust	-	-	-	10,000	100	292
Eagle Growth and Income Fund	13,964	220	443	12,711	88	356
Total Unit Trusts		2,979	8,018		2,947	9,034

16(a) Financial Assets and Liabilities by Fair Value Hierarchy - Group

The Group measures, the fair value using the following fair value hierarchy, which reflects the significance of the inputs used in making the measurement.

Level 1: Inputs are unadjusted quoted market prices in an active market for identical instruments.

Level 2: Inputs other than quoted prices included within level 1 that are observable either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: Inputs that are not based on observable market data.

The Group held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Quoted Investments - Available-for-Sale	165,060	201,792	-	-	-	-
Quoted Investments - Held -for- trading	719,803	906,963	-	-	-	-
Unquoted Investments - Available-for-Sale	-	-	240,237	244,356	-	-
Unit Trusts - Available-for-Sale	154,119	16,295	-	-	-	-
Unit Trusts - Held -for- trading	8,018	9,034	-	-	-	-
Share Warrants	23	143	-	-	-	-

16(b) Financial Assets and Liabilities by Fair Value Hierarchy - Company

The Company uses the fair value hierarchy given above for determining and disclosing the fair value of financial instruments.

The Company held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Quoted Investments - Available-for-Sale	1,441	1,660	-	-	-	-

17 DEFERRED TAX ASSETS

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Balance at the beginning of the Year	42,055	38,482	-	-
	42,055	38,482	-	-
Origination of Temporary Differences	-	-	-	-
Recognised in Income Statement	71,449	7,246	-	-
Recognised in Other Comprehensive Income	2,630	3,035	-	-
Transfer to Deferred Tax Liabilities (Note 25)	(1,398)	(6,708)	-	-
Balance at the end of the Year	114,736	42,055	-	-
17.1 Deferred Tax Composition - Group				
Property Plant and Equipment	(140,364)	(86,293)	-	-
Defined Benefit Obligations	56,235	31,600	-	-
Impairment of Debtors	11,429	9,058	-	-
Impairment of Inventory	734	1,155	-	-
Tax loss carried forward	186,702	86,535	-	-
Deferred Tax Assets	114,736	42,055	-	-

18 INVENTORIES

Raw Materials	2,344,896	1,797,742	-	-
Growing Crop-Nurseries	38,188	44,472	-	-
Consumable Stock	23,084	17,930	-	-
Work- in -Progress	114,514	110,745	-	-
Finished Goods	2,878,650	3,449,011	-	-
Motor Vehicles	930,457	35,845	-	-
Goods-in-Transit	654,283	434,671	-	-
	6,984,072	5,890,416	-	-
Provision for Impairment	(180,894)	(83,079)	-	-
	6,803,178	5,807,337	-	-

Notes to the Financial Statements Contd.

19 TRADE AND OTHER RECEIVABLES

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Trade Debtors	5,879,869	5,169,816	-	-
Provision for Impairment Loss on Trade Receivable	(346,625)	(194,692)	-	-
	5,533,244	4,975,124	-	-
Other Receivables	677,226	506,397	2,062	3,083
Deposits & Prepayments	1,050,651	1,703,052	870	1,084
Staff Loan	128,971	109,089	-	-
Other Tax Recoverable (Note -19.1)	330,930	330,740	-	-
	2,187,778	2,649,278	2,932	4,167
	7,721,022	7,624,402	2,932	4,167
19.1 Other Tax Recoverable				
WHT Recoverable	3,229	7,290	-	-
NBT Recoverable	2,683	580	-	-
VAT Recoverable	131,845	125,590	-	-
ESC Recoverable	159,957	154,492	-	-
Other Tax Recoverable	33,216	42,788	-	-
	330,930	330,740	-	-
20 CASH AND CASH EQUIVALENTS				
Favourable Balance				
Fixed Deposits	480,520	319,548	111,000	111,000
Other Cash & Cash Equivalents	3,699	132,137	-	-
Cash at Bank	1,118,337	1,595,755	4,124	1,789
Cash in Hand	17,470	44,535	-	-
	1,620,026	2,091,975	115,124	112,789
Bank Overdraft	(3,269,913)	(2,741,148)	(93,852)	(93,624)
Cash & Cash Equivalents as per Cash Flow Statement	(1,649,887)	(649,173)	21,272	19,165

20.1 Security Details Over Bank Overdraft Facilities

20.1.1 COMPANY

The bank overdraft facility of the Company is secured over the fixed deposit of Rs.111 million.

20.1.2 GROUP

E.B.Creasy & Company PLC

- The bank overdraft facility of Hatton National Bank PLC is secured by existing primary concurrent floating mortgage to taling to Rs. 36 million over land & building situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.
- The bank overdraft facilities of Sampath Bank PLC is secured by Lankem Ceylon PLC shares to the value Rs. 20 million lodged in the custodial accounts.
- The bank overdraft facilities of Bank of Ceylon is secured by 2.5 million numbers of Lankem Ceylon PLC shares.
- The bank overdraft Facility of Commercial Bank of Ceylon PLC is secured by primary mortgage for Rs. 91.8 million over the property at No. 53 1/1, 53 2/1, & 57, Sir Baron Jayatilake Mawatha, Colombo 01, belonging to Colombo Fort Land & Building PLC (Parent Company) and secondary mortgage bond for Rs. 83 Mn executed over the same.

Creasy Foods Limited

The bank overdraft is secured on the land, buildings and stocks at Unit Three - Industrial Estate, Ekala, Ja-Ela.

Agarapatana Plantations Limited

Bank overdraft facilities of Agarapatana Plantations Limited, a subsidiary of the Company are secured by pledging the following:

- (a) Primary mortgage over leasehold rights to bare land and building of Glenanore and Haputale Estates including machinery fixed at each of these estates (facility amount Rs. 140 million and Rs.110 million) from Bank of Ceylon .
- (b) Primary mortgage over leasehold rights to bare land and building of Torrington Estate (facility amount Rs. 50 million) from Indian Bank.
- (c) Mortgage over leasehold rights over the estate, land and buildings, fixed and floating assets of Diyagama East Estate (facility amount Rs. 50 million) from Saylan Bank.
- (d) Deposit of original title deeds and plan relating to Dambetenne Estate (facility amount Rs. 20 million) from Commercial Bank of Ceylon PLC.

Kotagala Plantations PLC

Bank overdraft facilities obtained from Seylan Bank PLC (facility amount Rs. 150 million) and Standard Chartered Bank (facility amount Rs. 250 Million) of Kotagala Plantations PLC, a subsidiary of the Company, are secured by pledging the following, to finance

- (a) Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Yulliefield and Chrystlers Farm Estates.
- (b) Primary mortgages over leasehold rights of the estate lands and buildings, Sorana Estates.
- (c) Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Hedialle and Eduragala Estates.

21 STATED CAPITAL

	2016		2015	
	Number of Shares	Value of Shares Rs.'000	Number of Shares	Value of Shares Rs.'000
Fully-Paid Ordinary Shares				
At the beginning of the Year	180,000,000	327,000	180,000,000	327,000
At the end of the Year	180,000,000	327,000	180,000,000	327,000

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

22 CAPITAL RESERVES

	Property Development Reserve Rs.'000	Capital Redemption Reserve Fund Rs.'000	Total Rs.'000
GROUP			
Balance as at 31.03.2015	15,190	4,868	20,058
Balance as at 31.03.2016	15,190	4,868	20,058
COMPANY			
Balance as at 31.03.2015	10,000	-	10,000
Balance as at 31.03.2016	10,000	-	10,000

Notes to the Financial Statements Contd.

22.1 Nature and the Purpose of Reserves

22.1.1 Property Development Reserve

Represent of the amount set aside for future development of properties.

22.1.2 Capital Redemption Reserve Fund

The amount set aside out of retained earnings for redemption of preference shares.

22.1.3 Available for Sale Reserve

The amount set aside out of retained profits for the changes in the fair value of investments classified as available for sale.

22.1.4 General Reserve

General reserve is the reserve set aside for general purposes.

23 LOANS & BORROWINGS

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Payable after one year				
Lease Obligation - JEDB/SLSPC (Note 23.1.a)	371,165	378,212	-	-
Lease Obligation- Others (Note 23.2.a)	194,524	170,157	-	650
Loans - Others (Note 23.3)	3,878,554	4,226,829	110,000	195,000
Debentures (Note 23.4)	930,000	1,130,000	-	-
	5,374,243	5,905,198	110,000	195,650
Payable within one year				
Lease Obligation - JEDB/SLSPC (Note 23.1.a)	7,047	6,776	-	-
Lease Obligation - Others (Note 23.2.a)	71,334	117,109	650	847
Loans - Others (Note 23.3)	2,870,507	2,596,567	85,000	122,000
Debentures (Note 23.4)	200,000	150,000	-	-
Trust Receipt Loans (Note 23.5)	1,638,609	847,373	-	-
Other Short Term Loans	4,704,155	2,700,765	-	-
	9,491,652	6,418,590	85,650	122,847
	14,865,895	12,323,788	195,650	318,497
23.1 Lease Obligation - JEDB/SLSPC				
Gross Lease Obligations	670,093	692,263	-	-
Payments made during the Year	(22,170)	(22,170)	-	-
Less: Finance cost applicable for future Period	(269,711)	(285,105)	-	-
Net Lease Obligations (Note 23.1.a)	378,212	384,988	-	-
23.1.a Analysis of Lease Obligations by Year of Repayment				
Lease Obligations Repayable within One Year from Year end				
Gross Lease Obligations	22,170	22,170	-	-
Less: Finance cost applicable for future Period	(15,123)	(15,394)	-	-
Net Lease Obligations Repayable within One Year from the Year end	7,047	6,776	-	-

23 LOANS & BORROWINGS Contd.

23.1.a Analysis of Lease Obligations by Year of Repayment Contd.

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Lease Obligations Repayable within Two to Five Years				
Gross Lease Obligations	88,680	88,680	-	-
Less: Finance cost applicable for future Period	(58,755)	(58,755)	-	-
Net Lease Obligations Repayable within Two to Five Years	29,925	29,925	-	-
Lease Obligations Repayable after Five Years				
Gross Lease Obligations	537,073	559,243	-	-
Less: Interest in Suspense	(195,833)	(210,956)	-	-
Net Lease Obligations Repayable after Five Years	341,240	348,287	-	-
Net Lease Liability Repayable after One Year	371,165	378,212	-	-

23.1.1 Net obligation to lessor represents amounts payable to JEDB/SLSPC in relation to the estates leased by Kotagala Plantations PLC.

23.1.2 Kotagala Plantations PLC

In terms of the amendment of leases, Rs.22.2million is payable each year as lease rental, commencing from 22nd June, 1996 till the end of the lease on 21st June, 2045. This amount is to be inflated annually by the Gross Domestic Product (GDP) deflated in the form of contingent rent.

The charge to the statement of comprehensive income for the current financial year on account of interest is Rs Rs.70.8 million (2014/15 - Rs.67 million).

	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
23.2 Lease Creditors - Others				
Balance at the beginning	355,013	454,571	1,729	3,473
Leases acquired during the Year	31,763	70,726	-	-
Payments made during the Year	(84,052)	(170,284)	(1,037)	(1,744)
Less: Interest in Suspense	(36,866)	(67,747)	(42)	(232)
Balance at the end	265,858	287,266	650	1,497
23.2.a Analysis of Lease Obligations by Year of Repayment				
Lease Obligations Repayable within One Year from Year End				
Gross Liability	90,977	149,457	692	1,037
Less : Interest in Suspense	(19,643)	(32,348)	(42)	(190)
Net Lease Obligations Repayable within One Year from Year End	71,334	117,109	650	847
Lease Obligations Repayable within Two to Five Years				
Gross Liability	211,747	205,556	-	692
Less : Interest in Suspense	(17,223)	(35,399)	-	(42)
Net Lease Obligations Repayable within Two to Five Years	194,524	170,157	-	650

Notes to the Financial Statements Contd.

23.3 Term Loans

	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Balance at the beginning	6,823,396	5,246,299	317,000	299,000
Loans obtained during the Year	1,732,499	3,529,866	-	100,000
Exchange Fluctuations	106,040	33,522	-	-
Payments made during the Year	(1,912,874)	(1,986,291)	(122,000)	(82,000)
Balance at the end	6,749,061	6,823,396	195,000	317,000
Payable within one Year	(2,870,507)	(2,596,567)	(85,000)	(122,000)
Payable after one Year	3,878,554	4,226,829	110,000	195,000

23.4 Debentures

23.4.1 Kotagala Plantations PLC, a subsidiary, has issued Rs. 1,000 million Rated Secured Redeemable Listed Debentures. The details are as follows;

Debenture Type	Year of Issue	Year of Redemption	Colombo Stock Exchange Listing	Issued Value Rs. million	Interest Payable Frequency	Interest Rate %	Balance as at 31st March, 2016 Rs. million	Bond Rate of Comparable Government Security %
A	2014	2018	Listed	250	Bi-Annually	14.25	250	11.75
B	2014	2019	Listed	250	Bi-Annually	14.5	250	11.75
C	2014	2020	Listed	250	Bi-Annually	14.75	250	12.75
D	2014	2021	Listed	250	Bi-Annually	15	250	13.00
							1,000	

23.4.2 Trading at Colombo Stock Exchange

Debenture Type	Highest Value (Rs.)	Lowest Value (Rs.)	Last Traded Value (Rs.)
A	104	100	100
B	105	100	100
C	106	100	100
D	107	100	100

23.4.3 Lankem Ceylon PLC, a subsidiary has issued Rs. 200 Mn. Rated Unsecured Unlisted Redeemable Debentures of the value of Rs. 1,000/- each on 5th April 2011 to Sri Lanka Insurance Corporation Limited at the rate of AWPLR +1%. These debentures are redeemable after 5 years from the date of issue. The purpose of the issue was to fund long term working capital requirement.

23.5 Asset Pledged as Security Against Interest Bearing Borrowings

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
The Colombo Fort Land & Building PLC	Sampath Bank PLC	-	37.00	AWPLR+2	Four equal annual instalments of Rs.22 million and a final instalment of Rs.37 million commencing from 30th September, 2011.	Secondary Mortgage Bond for Rs.125 million executed by the Company jointly with York Arcade Holdings PLC on the Land and Building at Leyden Bastian Road, Colombo 1.
	Sampath Bank PLC	120.00	180.00	AWPLR+2	Five equal annual instalments of Rs.60 million commencing from 30.09.2013.	Tertiary Mortgage Bond for Rs.127.5 million executed by the Company jointly with York Arcade Holdings PLC on the land & building at Leyden Bastian Road and pledge of 1,500,000 C M Holdings PLC shares, 142,000 E.B. Creasy & Company PLC shares and 2,200,000 Lankem Ceylon PLC shares owned by the Company.
	Commercial Bank of Ceylon PLC	75.00	100.00	AWPLR + 1.5	Eight equal bi-annual payments of Rs.12.5 million each.	Tertiary Mortgage Bond for Rs.100 million over the property at No.53-1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 1 belonging to the Company.
		195.00	317.00			
E.B. Creasy & Company PLC	Commercial Bank of Ceylon PLC "Gamata Karmantha"	8.30	20.81		In 27 equal monthly instalments of Rs.1,042,000/- and a final instalment of Rs.1,012,439/-.	Primary mortgage bond No. 1134 dated 18th December, 1998 for Rs.91.8 million and secondary mortgage bond for Rs.83.0 million executed over the property at No.53-1/1, 53-2/1 and 57, Sir Baron Jayatilaka Mawatha, Colombo 01 belonging to The Colombo Fort Land & Building PLC (Parent Company).
	Hatton National Bank PLC	79.90	-		In 59 equal monthly instalments of Rs.3,340,000/- and a final instalment of Rs.2,940,000/-.	Quintic Floating Mortgage Bond for Rs.200 million over commercial property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.
	Hatton National Bank PLC	-	21.64		In 59 equal monthly instalments of Rs.3,340,000/- and a final instalment of Rs.2,940,000/-.	Quintic Floating Mortgage Bond for Rs.200 million over commercial property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
E.B. Creasy & Company PLC Contd.	Hatton National Bank PLC	1.87	13.13		In 48 equal monthly instalments of Rs.937,500/-.	Existing Tertiary Mortgage Bond totalling Rs.50 million over property at No. 98, Sri Sangaraja Mawatha, Colombo 10 will secure this facility up to Rs.10 million. (Also secures overdraft facility of Rs.25 million.)
	Hatton National Bank PLC	-	2.85		41 equal monthly instalments of Rs.1,675,000/- and a final instalment of Rs.1,175,000/-.	Existing Secondary Mortgage Bond for Rs.100 million over property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.
	National Development Bank	37.50	87.50		In 48 equal monthly instalments of Rs.4,166,666/- and instalments payable monthly on or before the last banking day of each month.	A Primary mortgage over 2,777,000 ordinary shares of Lankem Ceylon PLC (owned by the borrower) and Power of Attorney together with blank Share Transfer Form.
	Sampath Bank PLC	-	1.37		In 48 equal monthly instalments of Rs.937,500/- after one month from the date of grant.	Primary mortgage for Rs.45 million over land and building of property situated at E95/162, Millewa Estate, Millewa, Horana.
	Sampath Bank PLC	5.66	10.66		In 47 equal monthly instalments of Rs.416,666/- each and a final instalment of Rs.416,698/-.	Loan agreement for Rs.20 million & mortgage over machinery for manufacturing division of mosquito coils for Rs.20 million.
	Commercial Bank of Ceylon PLC	75.83	91.88		In 59 equal monthly instalments of Rs.1,670,000/- each and a final instalment of Rs.1,470,000/-.	Primary Mortgage Bond for Rs.100 million over industrial machinery imported through the Bank for the expansion of the personal care unit and installed at Millewa, Padukka to be executed.
	Commercial Bank of Ceylon PLC	93.32	-		In 59 equal monthly instalments of Rs.1,670,000/- each and a final instalment of Rs.1,470,000/-.	Primary Mortgage Bond for Rs.100 million over the machinery to be imported by the Company.
	Nations Trust Bank PLC	-	450.00		6 months from the date of disbursement which is set on 31/03/2015 to make a bullet payment.	Loan agreement for Rs.450 million.
	Nations Trust Bank PLC	191.68	-		47 monthly equal capital instalments of Rs.4,167,000/- and a final capital instalment of Rs.4,151,000/-.	Loan agreement for Rs.200 million.
		494.06	699.84			

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC	Commercial Bank of Ceylon PLC Loan 02	-	36.60		In 35 monthly instalments of Rs.4.2 million and a final instalment of Rs.3 million.	Primary Mortgage for Rs.145 million instalments over land at Ja-ela & Gonawala.
	Commercial Bank of Ceylon PLC Loan 03	55.40	96.20		In 35 monthly instalments of Rs.3.4 million and a final instalment of Rs.1 million.	Primary Mortgage for Rs.200 million instalments over land at Ja-ela & Gonawala.
	Commercial Bank of Ceylon PLC Loan 04	340.40	449.60		In 57 monthly instalments of Rs.8.4 million and a final instalment of Rs.4.4 million.	
	Sampath Bank PLC Loan 1	346.00	370.00		Payable on the 26th of each month commencing after one month of date of disbursement as follows. Year 1 - 12 equal instalments of Rs.2 million Year 2 - 12 equal instalments of Rs.3 million Year 3 - 12 equal instalments of Rs.4 million Year 4 - 12 equal instalments of Rs.6 million Year 5 - 12 equal instalments of Rs.7.5 million Year 6 - 11 equal instalments of Rs.8.3 million Final Instalment Rs.8.7 million	Primary Mortgage for Rs.370 million over the property situated at Nawam Mawatha depicted lots A & B in Plan No. 482 dated 08/05/1987 in extent of 40 perches owned by the Company.
	Sampath Bank PLC Loan 2	32.80	100.00		17 equal monthly instalments of Rs.5.6 million and a final instalment of Rs.4.8 million.	
	Hatton National Bank PLC	9.92	19.90		In 59 monthly instalments of Rs.0.84 million each and a final instalment of Rs. 0.73 million together with interest payable monthly on reducing balance of capital.	
		784.52	1,072.30			

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Beruwala Resorts PLC	Cargills Bank PLC Term Loan 1	19.16	-		Repayable over 48 monthly instalments.	Mortgage executed over Laundry machine & equipment.
	Cargills Bank PLC Term Loan 2	4.20	-		Repayable over 48 monthly instalments.	Mortgage executed over Mazda motor car for the term loan of Rs.4.2 million.
	Pan Asia Banking Corporation PLC	205.67	197.87		Repayable over 102 monthly instalments. Repayment to commence after a grace period of 18 months from the first draw down.	Primary Mortgage over land and building of B.O.T. Hotel Services (Private) Limited situated at Weligama for Rs. 205,669,259/-.
		229.03	197.87			
Sigiriya Village Hotels PLC	Pan Asia Banking Corporation PLC	-	53.01			Rs.100 million worth shares of Beruwala Resorts PLC has been lodged at the custodian account maintained at PABC at any time.
	Sampath Bank PLC	75.39	111.44		Repayable over 35 monthly instalments.	Lien over Beruwala Resorts PLC shares totalling to 85,384,000 numbers lodged in Sampath Bank PLC custodian account. Rs. 17.5 million mortgage over hotel kitchen equipment and other accessories.
		75.39	164.45			
B. O. T. Hotel Services (Private) Limited	Pan Asia Banking Corporation PLC	108.60	125.00	MAWPLR + 3	The loan has been obtained under two instalments of Rs.50 million and Rs.75 million. 1. Rs.50 million - 30 monthly repayments 2. Rs.75 million - 48 monthly repayments	The property of the Hotel premises situated in Kapparahotta, Weligama for Rs.50 million. Corporate guarantee from Beruwala Resorts PLC for Rs.75 million.
		108.60	125.00			

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC	National Development Bank PLC Approved facility - Rs.215 million	71.66	114.66	AWPLR+3%	Terms of repayment repayable over 5 years from 31.12.2012, in equal monthly instalments of Rs.3,300,000/- and Rs.283,400 respectively. (After the refinance is received interest rate would be 15.58%)	Secondary Mortgage over leasehold rights of Stonycliff, Vogan, Gikiyanakande and Dalkeith Estates and all immovable properties of these Estates.
	Packing credit loan - Rs.150 million	46.77	49.07	5.5	Payable with in 3 months and rolled over.	Primary Mortgage Bond over stocks and book debts for Rs. 200,000,000/-.
	Approved facility - Rs.500 million	403.23	413.98	AWPLR + 4.75	Payable over 96 instalments.	Primary mortgage over lease hold rights of building and machinery of Millewa estate.
	Approved facility - Rs.204 million	173.41	166.81	LIBOR + 8	Repayable over 89 instalments of (USD 41,110) and one instalment of USD 41,210 from 7th month after the disbursement.	Secondary mortgage leased hold rights of Stonycliff, Vogan, Gikiyanakanda and Dalkeith Estates and all immovable properties of these estates. Secondary mortgage over 8.57 million Shares of C W Mackie PLC .
	DFCC Bank PLC Approved facility - Rs. 211 million	2.10	11.59	AWPLR + 2	Repayable over 10 years from 15.09.2003 in equal monthly instalments of Rs.1,067,614/- each.	Primary Mortgage over leasehold rights of Drayton, Raigam and Padukka Estates.
	Approved facility - Rs. 50 million	-	3.33	12.75	Repayable over 5 years in equal 60 monthly instalments. Grace period is 18 months.	Securitized under the exiting mortgage bond no.1068 dated 8th September, 1998 attested by R.S. Wijesekara NP over the lease hold rights of Drayton, Padukka and Rayigam Estates.
	Lanka Orix Leasing Company Limited Approved facility - Rs. 50 million	33.33	-	10	Payable within 10 monthly instalments.	

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC Contd.	Approved facility - Rs.40 million	0.56	5.71	10.56	Repayable over 7 years from 30.03.2009 in 84 monthly instalments of Rs.476,191/- each.	An on demand Promissory Note for Rs.40,000,000/- with interest @ 18% p.a. until the receipt of refinance of the subsidiary loan from the DFCC Bank, and thereafter at the rate of 10.56% p.a and the interest shall be paid together with any taxes which may be imposed by the government from time to time. Primary Mortgage Bond over the unexpired Leasehold rights created by the Indenture of Lease bearing No: 293 dated 2nd March, 1995 attested by D.C. Peiris, Notary Public and the amendment thereto bearing Indenture No: 1522 dated 4th July 1995 attested by M.H.D. Amaratunga, Notary Public. Corporate Guarantees of M/s Lankem Plantation Holdings Limited and M/s Lankem Tea & Rubber Plantations (Private) Limited.
	Sampath Bank PLC Approved facility - Rs.50 million	17.79	23.54	10.56	In 95 equal monthly instalments of Rs.521,000/- and a final instalment of Rs.505,000/- (Capital) together with interest after a grace period of 48 months commencing from the date of 1st disbursement. (The interest will be recovered on a monthly basis during the grace period also.)	Loan Agreement for Rs.50,000,000/- Primary Mortgage Bond for Rs.50,000,000/- over leasehold rights of Arapolakande Rubber Estate at Kalutara together with factory buildings therein.
	People's Leasing & Finance PLC Term Loan Rs.8 million	5.48	5.11	19.00	Interest and capital payable monthly and repayment is first month instalment Rs.2,200,000/- and the balance 59 monthly instalment at Rs.152,649/-each.	

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC Contd.	Term Loan Rs.27.71 million	-	5.03	13.63	Interest monthly at the rate of 21% from the time of disbursement of funds till the time the re-finance is received from DFCC Bank. Thereafter, payable within 60 months with a capital grace period of 12 months.	Primary Mortgage over two colour separators. Corporate Guarantee of Lankem Tea & Rubber Plantations (Private) Limited.
	People's Leasing Company PLC E-Friends Term Loan 1 Rs.1.8 million	-	0.03	6.50	Interest monthly at the rate of 25% from the time of disbursement of funds till the time the re-finance is received from PMU. Thereafter, Rs.9,760/- within the capital grace period of 12 months and Rs.41,924/- (Capital + Interest) to be paid with in 60 months.	Loan Agreement, acceptance and receipt. Corporate Guarantee from Lankem Tea & Rubber Plantations (Private) Limited.
	Term Loan 2 Rs.1.5 million	-	0.04	6.50	Interest monthly at the rate of 25% from the time of disbursement of funds till the time the re-finance is received from PMU. Thereafter, Rs.8,281/- within the capital grace period of 12 months and Rs.35,573/- (Capital + Interest) to be paid with in 60 months.	Loan Agreement, acceptance and receipt. Corporate Guarantee from Lankem Tea & Rubber Plantations (Private) Limited.
	Peoples Bank Term Loan Rs.300 million	114.02	175.00	AWPLR + 4	Repayable within 60 instalments of Rs.5,000,000/- each.	Immovable properties and lease hold rights of Mount Vernon and Mayfield Estates.
	Term Loan Rs.196 million	189.47	-	AWPLR + 1.5	Repayable within 60 instalments.	Immovable properties and lease hold rights of Mount Vernon and Mayfield Estates.
	Standard Chartered Bank Short Term Loan Approved facility - Rs.250 million	124.00	125.00	SLIBOR+3.5%	Payable within 3 months and rolled over	Leasehold rights of Hedigalla and Eduragala estate
	Packing credit loan	121.40	92.40			

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC Contd.	Hatton National Bank - Rs.889 million	598.39	627.72	LIBOR+7.5	Payable in 32 equal quarterly instalments of USD 0.175 million each.	Mortgage of immovable property situated at Tailgate Village belonging to Union Commodities (Private) Limited
	State Mortgage Bank Term Loan Rs.50 million	37.79	43.80	19.00	Repayment in 72 equal monthly Instalment of Rs.718,620 Commencing after the date of disbursement of the loan Repayment in 72 equal monthly Instalment of Rs.444,960 Commencing after the date of disbursement of the loan.	10 vehicles offered as security.
	National Savings Bank Commercial Paper Rs.50 million	149.99	130.00	10	Repayable as per the Commercial Paper maturity date.	Commercial Paper.
	Merchant Bank of Sri Lanka & Finance PLC Rs.50 million	-	45.00	10	Repayable as per the Promissory Note maturity date.	Letter of undertaking from John Keells PLC & Forbes & Walker Tea Brokers (Pvt) Ltd. Promissory Notes of Kotagala Plantations PLC signed by two authorised signatories to cove the 100% capital outstanding and interest.
	Colombo Trust Finance PLC Rs.9.16 million	4.37	5.61	19	Monthly instalment of Rs.170,225/- in first 3 months, Rs.2,500,000/- in the fourth month and Rs.170,225/- in next 56 months.	KIA Sorento Jeep bearing vehicle Registration no. KW-9649.
	Tea Board Term Loan Rs.50 million	22.27	-		Repayable within 10 instalments.	
		2,116.03	2,043.43			

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Agarapatana Plantations Limited	DFCC Bank (ADB Loan) Term Loan	-	1.23	13.27	1st Instalment of Rs.217,545/- and 119 monthly instalments of Rs.217,432/- payable commencing from 01.11.2005.	A further Mortgage over leasehold rights to bare land and buildings of Balmoral, Hauteville and Nayabedde Estates.
	Nations Trust Bank PLC Term Loan	3.49	4.26	18.00	60 monthly instalments commencing from 01.02.2014.	Original Certificate of Registration of the vehicle.
	Hatton National Bank PLC Term Loan	2.02	4.54	AWPLR + 2	47 equal monthly instalments of Rs.210,000/- and final instalment of Rs.130,000/-.	Primary Mortgage over leasehold rights to bare land and buildings of Kahagalle Estates.
	Bank of Ceylon	227.05	-	AWPLR +1.5	1st and 2nd instalments of Rs.416,667/- each and 58 instalments of Rs.4,054,598/-.	Additional mortgage over lease hold rights of Glenanore and Haputale Estates including machinery fixed at each of these estates.
	Commercial Bank of Ceylon PLC Term Loan -Rs.500 million	375.05	452.40	AWPLR + 2	84 monthly instalements commencing from 25.07.2014	Duly accepted letter of offer supported by Board Resolution. General Terms and conditions relating to Short Term Loans. Deposit of original title deeds and plan relating of the Dambetenne Estate.
	People's Leasing & Finance PLC E-Friends Loan - Rs.15 million	-	3.20	16.00	48 monthly instalments commencing from 01.12.2011.	Loan agreement acceptance, receipt, promissory note & Corporate Guarantee From Lankem Tea & Rubber Plantations (Private) Limited.
	Indian Bank	-	25.00		Payable within 10 months commencing from November, 2014.	Corporate Guarantees obtained from Lankem Plantation Holdings Limited and Lankem Developments PLC for Rs. 100 million.
	Indian Bank	32.28	-		Payable within 10 months commencing from January, 2016.	

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Agarapatana Plantations Limited Contd.	People's Leasing & Finance PLC Term loan - Rs.4.85 million	3.05	3.92	13.17	60 monthly instalments commencing from 01.01.2014.	Loan agreement acceptance, receipt, promissory note & Corporate Guarantee From Lankem Tea & Rubber Plantations (Private) Limited.
	National Development Bank PLC Term Loan -Rs.95 million	27.50	60.00	AWPLR +4.75	36 monthly instalments commencing from 23.09.2013.	Loan agreement acceptance and Broker Certificate From Forbes & Walkers Tea Brokers (Private) Limited.
	National Development Bank PLC Term Loan -Rs.100 million	13.00	49.00	AWPLR +4.25	36 monthly instalments commencing from 08.05.2013.	Loan Agreement acceptance and Broker certificate from John Keells PLC.
		683.44	603.55			
Marawila Resorts PLC	Hatton National Bank PLC Term Loan	301.58	421.40	3 Months LIBOR+5	In terms of new arrangement made with Hatton National Bank PLC Marawila Resort PLC has to resettle the outstanding USD term loan of USD 2.115 million in 5 years. The interest to be serviced monthly.	Existing secondary floating mortgage bonds totalling to US\$ 5.37 million over the hotel premises at Marawila.
		301.58	421.40			
Lankem Tea & Rubber Plantations (Private) Limited	National Development Bank PLC	79.71	96.43		84 monthly instalments commencing from 01.04.2014.	Pledged 4,600,525 shares held by the Company in Kotagala Plantations PLC and 3,025,000 shares held by Lankem Plantation Holdings Limited in Kotagala Plantations PLC.
	Union Bank of Colombo PLC	-	4.84			
	People's Leasing & Finance PLC	15.66	19.76			
		95.37	121.03			

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Waverley Power (Private) Limited	DFCC Bank	42.80	65.13		78 monthly instalments commencing from September, 2010 and October, 2013.	The Company has pledged its own share certificates issued to its shareholders, Lankem Developments PLC and Agarapatana Plantations Limited. Corporate guarantee from Lankem Ceylon PLC.
	Hatton National Bank PLC	34.50	63.12		77 monthly instalments commencing from April, 2012 and October, 2013.	The Company has pledged its own share certificates issued to its shareholders, Lankem Developments PLC and Agarapatana Plantations Limited. Corporate guarantee from Lankem Ceylon PLC.
		77.30	128.25			
Lankem Plantation Holdings Limited	National Development Bank PLC	53.88	66.05		84 monthly instalments commencing from 01.04.2014.	Pledged 4,600,525 Shares held by the Company in Kotagala Plantations PLC and 3,025,000 shares held by Lankem Plantation Holdings Limited in Kotagala Plantations PLC.
		53.88	66.05			
Galle Fort Hotel (Private) Limited	Hatton National Bank PLC	61.37	67.60		Repayable over 60 monthly instalments.	Corporate guarantee of Rs.0.75 million from Lankem Ceylon PLC and hotel property at No.28, Church Street, Galle.
	Commercial Bank of Ceylon PLC	70.10	-		Repayable over 60 monthly instalments.	Primary mortgage over the property at No.31, Light House Street, Galle.
	Commercial Bank of Ceylon PLC	17.36	25.00		Repayable over 35 monthly instalments.	Primary mortgage bond of Rs.25 million over property at No.31, Light House Street, Galle.
		148.83	92.60			
Ceylon Tapes (Private) Limited	Hatton National Bank PLC	4.78	-		Repayable over 59 monthly instalments.	
	DFCC Bank PLC Term Loan	5.43	11.05		Repayable over 60 monthly instalments after a grace period of 6 months from the first disbursement.	Land worth of Rs.5.7 million and machinery worth Rs.0.3 million have been pledged when obtaining the loan.
		10.21	11.05			

Notes to the Financial Statements Contd.

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
JF Packaging (Private) Limited	Sampath Bank PLC Loan I	3.11	6.51		Repayable over 5 years in 59 monthly instalments of Rs. 283,400/- and a final instalment of Rs.279,400/-.	Primary mortgage of property at Nivasipura, Ja-ela depicted as lot No. P 7 plan No.2036 dated 07.07.2003 and primary mortgage of property at Etambawela Estate, Matale depicted as lot A in plan No.6968 dated 30.11.2009.
	Loan III	1.66	2.66		Repayable over 5 years in 59 monthly instalments of Rs. 83,500/- and a final instalment of Rs.73,500/-.	
	Loan V	4.77	7.31		Repayable over 5 years in 60 monthly instalments.	
	Loan VII	0.45	1.11		Repayable over 3 years in 36 equal monthly instalments of Rs.55,500/-.	
	Loan VIII	20.75	-		Repayable over 5 years in 60 equal monthly instalments of Rs. 422,000/-.	
	Loan IX	9.20	-		Repayable over 5 years in 59 monthly instalments of Rs. 192,000/- and a final instalment of Rs. 172,000/-.	
	Bank of Ceylon Loan I	-	6.99		Repayable over 5 years in 60 equal monthly instalments of Rs.1,166,667/-.	Primary mortgage of land, building and machinery situated at No. 306, Minuwangoda Road, Kotugoda.
	Loan II	41.32	53.71		Repayable over 8 years in equal monthly instalments of Rs.1,032,967/-.	
	Loan III	12.81	16.85		Repayable over 5 years in 60 equal monthly instalments of Rs.337,079/-.	
	Loan IV	9.17	21.08		Repayable over 5 years in 60 equal monthly instalments of Rs.916,667/-.	
	Loan V	-	7.65		Repayable over 5 years in 60 equal monthly instalments of Rs.250,000/-.	
	Loan IX	-	4.44		Repayable over 3 years in 36 equal monthly instalments of Rs.555,556/-.	
	Loan X	28.33	49.99		Repayable over 3 years in 36 equal monthly instalments of Rs.1,666,667/-.	
	Loan XI	20.86	27.36		Repayable over 5 years in 60 equal monthly instalments of Rs.500,000/-.	

	Company/ Lender	Balance as at 31.03.2016 Rs. million	Balance as at 31.03.2015 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
JF Packaging (Private) Limited Contd.	Hatton National Bank PLC Loan III	0.08	0.42		Repayable over 5 years in 60 equal monthly instalments of Rs.28,400/-.	Primary Floating Mortgage Bond for Rs.4.0 million over immovable property at Lot No.9, depicted in plan 206146A dated 30/07/2006 made by E.A.G. Edirisinghe, LS situated at Ragama. Primary Floating Mortgage Bond for Rs.16.0 million over the Plastic Extrusion Plant & Recycling Plant.
	DFCC Bank PLC Loan I	1.46	2.33		Repayable over 4 year in 48 monthly instalments Rs.130,730/-.	Personal guarantees of, 1) Mr. Lakshman De Fonseka 2) Mr. Rathnayake
		153.97	208.41			
Lanka Special Steels Limited	Nations Trust Bank PLC	143.73	-		48 monthly equal capital instalments of Rs. 3,125,000/-.	Secondary mortgage over plant and machinery of the Company.
		143.73	-			
Creasy Foods Limited	Hatton National Bank PLC	-	7.46		To be repaid in 35 monthly instalments of Rs.0.7 million each and a final instalment of Rs.0.5 million.	Existing registered primary floating mortgage bond for Rs.50 million over Land & Buildings situated at No.26, Agaradaguru Mawatha, E-Kala.
	Hatton National Bank PLC	9.25	13.26		To be repaid in 59 equal monthly instalments of Rs.0.334 million each and a final instalment of Rs.0.294 million.	Existing registered primary floating mortgage bond for Rs.50 million over Land & Buildings situated at No.26, Agaradaguru Mawatha, Ja-Ela.
		9.25	20.72			
SunAgro Foods Limited	Sampath Bank PLC	56.24	81.24		In 47 equal monthly instalments of Rs.2.08 million and a final instalment of Rs.2.05 million on 26th day of each month commencing after a grace period of 12 Months. Interest to be paid during the grace period.	Loan agreement and Corporate guarantee from Lankem Ceylon PLC amounting to Rs.110 million.
	Commercial Bank of Ceylon PLC	17.36	-		In 35 equal monthly instalments of Rs.695,000/- and a final instalment of Rs.675,000/- together with interest.	Loan agreement and Corporate guarantee from Lankem Ceylon PLC amounting to Rs.75 million.
		73.60	81.24			

Notes to the Financial Statements Contd.

23.6 Trust Receipt Loans

The Group has obtained following Trust Receipt Loans.

	GROUP	
	2016 Rs.'000	2015 Rs.'000
E. B. Creasy & Company PLC	343,946	247,996
Lankem Ceylon PLC	1,129,843	447,949
Darley Butler & Company Limited	84,521	92,726
Laxapana Batteries PLC	54,372	43,819
Creasy Foods Limited	4,677	10,032
SunAgro LifeScience Limited	21,250	4,851
	1,638,609	847,373

E.B. Creasy & Company PLC

The Trust Receipt Loan is secured by Existing Mortgage Bonds to Banks over the stocks in trade and an assignment of book debts.

Creasy Foods Limited

Bank facilities represents Trust Receipt loan is secured by floating charge on imported inventories at Unit Three Industrial Estate, Ekala, Ja- Ela and book debt.

Laxapana Batteries PLC

The Company's Trust Receipt Loan is secured by Existing Primary Mortgage Bond of Rs.66.5 million over the Property situated at Panagoda, Homagama with an extent of 3A-2R-24P and Building an extent of 50,886 sq.ft.

The portion of the long-term loan repayable within one year from the reporting date is shown as Current Liabilities.

Marawila Resorts PLC

The Company, has obtained loans denominated in foreign currency from Hatton National Bank PLC to fund the construction of the hotel. This loan is secured by the land and other movable & immovable properties of MRPLC.

24 DEFERRED INCOME - CAPITAL GRANTS

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Balance at the beginning of the Year	572,003	573,777	-	-
Additions during the Year	34,648	18,645	-	-
Amortised during the Year	(21,228)	(20,419)	-	-
Balance at the end of the Year (Note 24.1)	585,423	572,003	-	-
24.1 Balance at the end of the Year				
Kotagala Plantations PLC	331,488	318,131	-	-
Agarapatana Plantations Limited	233,995	231,184	-	-
SunAgro Foods Limited	19,940	22,688	-	-
	585,423	572,003	-	-

24.a The Company's utilisation of funds received is as below:

Kotagala Plantations PLC

- i) Asian Development Bank - Plantation Reform Project (ADB-PRP)
The funds received are utilised for construction of Staff Quarters, Water Projects, Latrines, Farm Roads and purchase of Forestry Equipment.
- ii) Plantation Development Support Program (PDSP)
The funds received are utilised for construction of Dispensaries, Staff Quarters, Water Projects and upgrading Crèches.
- iii) Plantation Human Development Trust (PHDT)
The funds received are utilised for construction of Worker Housing, Water Projects and purchase of an Ambulance.
- iv) Others
 - a) Ministry of Livestock Development and Estate Infrastructure
The funds received are utilised for construction of Community Centres, Agency Post Offices and upgrading Farm Roads and Crèches.
 - b) Sri Lanka Tea Board
Funds received are utilised for the construction of the CTC Tea Factory at Mount Vernon Estate.
 - c) Rubber Development Department
The funds received are utilised for Rubber replanting.

The amounts spent are capitalised under the relevant classification of Property, Plant & Equipment and the corresponding grant component is reflected under deferred grants and subsidies and amortised over useful life span of the asset.

Agarapatana Plantations Limited

The Company has received funding from the Plantation Housing and Social Welfare Trust, Asian Development Bank, Plantation Reform Project and Ministry of Livestock Development for the development of worker welfare facilities such as re-roofing of line rooms, latrines, water supply and sanitation, etc. The amount spent are included under the relevant classification of Property, Plant & Equipment and the grant component is reflected under Deferred Income and Capital Grants.

SunAgro Foods Limited

The Company has received grant from the USAID/ CORE project amounting to Rs.27.49 million for the purpose of establishing an outgrower cereal cultivation with 1,000 farmers and to set up a processing facility for cereal legume mixture manufacturing in the Trincomalee District. The grant has been amortised over the useful lifetime of the assets.

25 DEFERRED TAX LIABILITIES

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Balance at the beginning of the Year	667,412	569,589	26,997	23,321
Acquisition of Subsidiaries	48	97,179	-	-
Origination/(Reversal) of Temporary Differences Recognised in the Statement of Comprehensive Income	(131,674)	9,159	(188)	3,676
Origination/(Reversal) of Temporary Differences Recognised in the Statement of Other Comprehensive Income	(3,506)	(1,806)	-	-
Transfer from Deferred Tax Assets (Note 17)	(1,398)	(6,709)	-	-
Balance at the end	530,882	667,412	26,809	26,997
25.1 Deferred Tax Composition - Group				
Property Plant and Equipment	1,518,842	1,383,388	-	-
Defined Benefit Obligations	(203,974)	(217,364)	-	-
Tax loss carried forward	(783,986)	(498,612)	-	-
Deferred Tax Assets	530,882	667,412	-	-

Notes to the Financial Statements Contd.

26 EMPLOYEE BENEFITS

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Fair Value of Plan Assets (Note 26.1)	95,539	132,257	-	-
Present Value of the Funded Obligations (Note 26.2)	220,074	209,677	-	-
Present Value of the Unfunded Obligations (Note 26.4)	2,320,594	2,274,213	-	-
Total Present Value of Retirement Benefit Obligations	2,540,668	2,483,890	-	-
26.1. Fair Value of Plan Assets				
Movements in Fair Value of Plan Assets				
Fair Value of Plan Assets as at 01st April	132,257	127,623	-	-
Contribution Paid to the Plan Assets	9,611	8,758	-	-
Expected Return on Plan Assets	8,465	14,288	-	-
Benefits Paid by the Plan	(53,685)	(17,381)	-	-
Actuarial Gains/(Losses)	(1,109)	(1,031)	-	-
Fair Value of Plan Assets as at 31st March	95,539	132,257	-	-
26.2 Present Value of the Funded Obligations				
Movement in Present Value of Funded Obligations				
Present value of Defined Benefit Obligations as at 1st April	209,677	184,982	-	-
Provision for the Year (Note 26.2.1)	43,319	42,318	-	-
	252,996	227,300	-	-
Benefits paid by the Plan	(30,980)	(31,068)	-	-
Actuarial (Gains)/Losses (Note 26.2.1)	(1,942)	13,445	-	-
Present Value of Defined Benefit Obligations as at 31st March	220,074	209,677	-	-
26.2.1 Present Value of the Funded Obligations				
Expenses Recognised in the Statement of Comprehensive Income				
Current Service Cost	22,153	20,755	-	-
Interest Cost	21,166	21,563	-	-
Provision for the Year	43,319	42,318	-	-
Net Actuarial (Gains)/Losses	(1,942)	13,445	-	-
	41,377	55,763	-	-
26.3 Present Value of Net Obligations				
Fair Value of Plan Assets	95,539	132,257	-	-
Present Value of Funded Obligations	(220,074)	(209,677)	-	-
Present Value of Net Obligations	(124,535)	(77,420)	-	-

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
26.4 Present Value of the Unfunded Obligation				
Movement in Present Value of Unfunded Obligation				
Present value of Defined Benefit Obligations as at 1st April	2,274,213	2,071,415	-	-
Acquisition of Subsidiaries	1,662	24,183	-	-
Provision for the year	424,441	375,920	-	-
	2,700,316	2,471,518	-	-
Inter-company Liability Transfers	-			
Benefits paid by the Plan	(129,160)	(207,680)	-	-
Actuarial (Gains)/Losses	(250,562)	10,375	-	-
Present value of Defined Benefit Obligations as at 31st March	2,320,594	2,274,213	-	-
Expenses Recognised in the Statement of Comprehensive Income				
Current Service Cost	177,010	157,342	-	-
Interest Cost	247,431	218,578	-	-
Provision for the Year	424,441	375,920	-	-
Net Actuarial (Gains)/Losses	(250,562)	10,375	-	-
	173,879	386,295	-	-

i) Agarapatana Plantations Limited

The gratuity liability of Agarapatana Plantations Limited (APL) amounting to Rs.1,121 million as at 31st March, 2016 is based on the full actuarial valuation carried out by Professionally Qualified Actuary Firm, Messrs. Actuarial & Management Consultants (Private) Limited. If Agarapatana Plantations Limited had provided gratuity for employees on the basis of Gratuity Act No. 12 of 1983, 14 days wages for workers and half a month's salary for staff each completed year of service, for the year ended 31st March, 2016, the liability would have been Rs.1,356.64 million (2014/15 - Rs. 1,473.95 million). Hence, there is a contingent liability of Rs235.65 million (2014/15 - Rs.248.88 million) which would crystallise only if the company ceases to be a going concern.

ii) Kotagala Plantations PLC

The gratuity liability of Kotagala Plantations PLC (KPPLC) amounting to Rs.693.70 million as at 31st March, 2016 is the amount advised by Actuarial & Management Consultants (Private) Limited.

iii) Marawila Resorts PLC

The actuarial valuations have been carried out by professionally qualified actuaries Messers Priyal S Goonetilleke and Associates for retiring gratuity of staff as at 31st March 2016. The actuarial present value of the accrued benefits as at 31st March 2016 is Rs. 4.9 million (2015 - Rs. 5.4 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

iv) Sigiriya Village Hotels PLC

Actuarial Valuation has been carried out as at 31st March, 2016 by Mr. Piya Goonatilleka, Fellow of the Society of actuaries (USA). The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2016 is Rs. 8.2 million (2015 - Rs. 11.9 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

v) Beruwala Resorts PLC

Actuarial Valuation has been carried out as at 31st March, 2016 by Mr. Piya Goonatilleka, Fellow of the Society of actuaries (USA). The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2016 is Rs. 5.25 million (2015 - Rs. 2.6 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

Notes to the Financial Statements Contd.

vi) C.W. Mackie PLC

The retirement benefit obligations as at 31 st March, 2016 is based on actuarial valuation carried out by Messrs. Piyal S Goonethilleke, Fellow of the Society of Actuaries (USA) , Member of American Academy of Actuaries , Consulting Actuary of Messrs .Piyal Goonetilleke and Associates , as at 31st March 2016 and appropriate adjustments have been effected in the financial statements.

The liability as at 31st March, 2016 of the C.W. Mackie group was Rs.49.86 million (2014/15 - Rs.53.75 million)

vii) J F Packageing (Pvt) Limited

The retirement benefit obligations as at 31st March 2016 is based on actuarial valuation carried out by Messrs. Actuarial and Management Consultants (Private) Ltd. as per which liability as at 31st March 2016 was Rs.26.60 million.

viii) Present Value of the Unfunded Obligations

LKAS 19 - 'Employee benefits' requires to apply Projected Unit Credit Method to make a reliable estimate of the Obligation in order to determine the present value of the retirement benefit obligation. The key assumptions were made in arriving at the retirement benefit obligation as at 31st March 2016 in respect of following companies are stated below:

Company Name	Expected Salary Increment Rate	Discount Rate	Retirement Age Years	Liability as at 31.03.2016 Rs. million
Marawila Resorts PLC	7.5%	11.0%	55	4.99
Sigiriya Village Hotels PLC	7.5%	10.0%	55	8.28
Laxapana Batteries PLC	10%	11.0%	55	4.59
Lankem Ceylon PLC	10%	11.0%	55	151.71
Ceylon Tapes (Private) Limited	11%	10.0%	80	7.52
JF Packageing (Private) Limited	10%	11.0%	55	26.60
E.B. Creasy & Company PLC	10%	11.0%	60	300.27
E.B. Creasy Logistics Limited	5%	11.0%	60	0.61
Pattah Pharmacy (Private) limited	10%	11.0%	60	6.12
C.W. Mackie PLC - Group	12%	11.0%	Management & Allied staff - 60, other staff - 55	49.86
Kotagala Plantations PLC	Workers -16% every two years and other categories of staff - 10% p.a.	11.0%	60	693.70
Agarapatana Plantations Limited	Workers -16% increase once in two years and other categories of staff - 10% p.a.	11.0%	60	1,120.98
Beruwala Resorts PLC	7.5%	10.0%	55	5.29
BOT Hotel Services (Private) Limited	7.5%	11.0%	55	4.32
Galle Fort Hotel (Private) Limited	10%	11.0%	55	2.88
Darley Butler & Company Limited	10%	11.0%	55	79.40
Creasy Foods Limited	11%	11.0%	55	10.11
SunAgro LifeScience Limited	10%	11.0%	55	1.47
SunAgro Foods Limited	10%	11.0%	55	0.28
Sun Agro Farms Limited	10%	11.0%	55	0.31
Lankem Paints Limited	10%	11.0%	55	6.06
Lankem Consumer Products Limited	10%	11.0%	55	0.50
Lanka Special Steels Limited	10%	11.0%	55	6.66
Lak Kraft (Private) Limited	10%	11.0%	55	0.77
Sherwood Holidays Limited	10%	11.0%	55	0.21

ix) No provision has been made for Retiring Gratuity in the accounts of The Colombo Fort Land & Building PLC, York Arcade Holdings PLC, C M Holdings PLC, Colombo Fort Holdings Limited, Capital Leasing Company Limited, Transways (Private) Limited, Union Group (Private) Limited and C.F. Travels Limited as these companies do not employ any staff. All operational services such as accountancy, secretarial and personnel are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

27 RENT RECEIVED IN ADVANCE

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Balance at the beginning of the Year	7,655	6,405	1,087	1,537
Received during the Year	20,930	18,323	-	-
Amount Recognised as Income during the Year	(18,148)	(17,073)	(450)	(450)
Balance at the end of the Year	10,437	7,655	637	1,087
Amount falling due within one Year	(3,810)	(6,483)	(450)	(450)
Amount falling due after one Year	6,627	1,172	187	637

28 TRADE & OTHER PAYABLES

Trade Payables	1,765,873	1,806,755	-	-
Other Payables	3,109,202	4,620,420	73,661	71,397
Accrued Expenses	607,372	601,849	2,006	1,838
Bills Payables	375,584	289,614	-	-
Advance Received	346,150	464,132	-	-
Security Deposit	67,356	51,650	-	-
Unclaimed Dividend	192	48,918	-	-
	6,271,729	7,883,338	75,667	73,235

29 RELATED PARTY TRANSACTIONS

29.1 Amounts due from Related Parties

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000 Restated	2016 Rs.'000	2015 Rs.'000
Subsidiaries				
Agrapatana Plantations Limited	-	-	17,634	9,555
American Lloyd Travels Limited	-	-	28	-
Beruwala Resorts PLC	-	-	712	-
C.W.Mackie PLC	-	-	-	102
Darley Butler & Co Ltd	-	-	-	156
C M Holdings PLC	-	-	-	11,959
E.B. Creasy & Company PLC	-	-	-	2,064
Kotagala Plantations PLC	-	-	8,873	6,795
Lankem Ceylon PLC	-	-	338,329	342,229
Lankem Plantations Holdings Limited	-	-	57,750	57,750
Marawilla Resorts PLC	-	-	566	566
Sigiriya Village Hotels PLC	-	-	712	-
York Hotel Management Services Limited	-	-	314	416
	-	-	424,918	431,592
Less: Transferred to Loan given to Related Parties - Lankem Ceylon PLC	-	-	(277,500)	(290,000)
	-	-	147,418	141,592

Notes to the Financial Statements Contd.

29 RELATED PARTY TRANSACTIONS

29.1 Amounts due from Related Parties (Contd.)

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000 Restated	2016 Rs.'000	2015 Rs.'000
Affiliates				
Capital Finance Limited	346	346	-	-
Colombo Fort Group Services Limited	436	542	-	-
Corporate Managers & Secretaries (Private) Limited	36,951	52,270	-	-
Cosmopoly (Private) Limited	6,622	5,604	-	-
Darley Butler Food Products Limited	-	690	-	-
Financial Trust Limited	1,308	18,595	1,308	18,595
JF Barrier Films (Private) Limited	80,087	76,622	-	-
Oral Care (Private) Limited	3	1,524	-	-
Sherwood Holidays Limited	-	48,274	-	-
Union Construction Engineering Limited	-	-	-	-
York Conventions (Private) Limited	5,282	5,053	-	-
Others	4,877	2,693	-	-
	135,912	212,213	1,308	18,595
Less: Impairment Loss - Related Parties (Note29.1.1)	(1,163)	(3,306)	-	-
	134,749	208,907	1,308	18,595
Total Amounts due from Related Parties	134,749	208,907	148,726	160,187

29.1.1 Affiliates

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Darley Butler Food Products Limited	-	690	-	-
Oral Care (Private) Limited	-	1,521	-	-
Others	1,163	1,095	-	-
	1,163	3,306	-	-

The decrease in groups' impairment loss - Related parties is primarily due to amounts provided for during previous years being written off.

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
29.2 Amounts due to Related Parties				
Subsidiaries				
Capital Leasing Company Limited	-	-	1,350	1,350
Colombo Fort Holdings Limited	-	-	35,287	15,393
Creasy Plantation Management Limited	-	-	4,583	4,400
E.B. Creasy & Co PLC	-	-	23	-
Guardian Asset Management Limited	-	-	43,390	42,086
KIA Motors (Lanka) Limited	-	-	29,873	114,267
Lankem Plantation Services Limited	-	-	4,583	4,400
Lankem Tea & Rubber Plantations (Private) Limited	-	-	233,485	309,544
C M Holdings PLC	-	-	21,686	-
York Arcade Holdings PLC	-	-	43,649	39,872
York Hotels (Kandy) Limited	-	-	117,724	109,921
	-	-	535,633	641,233
Associates				
Capital Investments Limited	12,085	10,085	12,085	10,085
Colombo Fort Investments PLC	52,358	44,348	52,358	44,348
Colombo Investment Trust PLC	29,756	22,390	29,756	22,390
	94,199	76,823	94,199	76,823
Affiliates				
Colombo Fort Group Services Limited	2,592	540	420	540
Consolidated Holdings Limited	1,920	1,847	1,920	1,847
Corporate Holdings (Private) Limited	21,536	20,149	18,047	16,661
Corporate Managers & Secretaries (Private) Limited	26,734	37,790	6,747	24,163
Property & Investment Holdings Limited	22,914	17,040	22,914	17,040
Ceylon Tea Brokers PLC	68,247	37,000	-	-
York Conventions (Private) Limited	3,030	1,967	-	-
Others	11,602	21,444	-	-
	158,575	137,777	50,048	60,251
Total Amounts due to Related Parties	252,774	214,600	679,880	778,307
Interest-bearing Borrowings (Note 29.2.1)	72,900	52,900	441,100	527,100
Non-interest-bearing Borrowings	179,874	161,700	238,780	251,207
	252,774	214,600	679,880	778,307
29.2.1 Interest-bearing Borrowings				
Subsidiaries				
Colombo Fort Holdings Limited	-	-	30,000	10,000
Creasy Plantation Management Limited	-	-	2,000	2,000
Guardian Asset Management Limited	-	-	14,200	14,200
KIA Motors (Lanka) Limited	-	-	25,000	81,000
Lankem Plantation Services Limited	-	-	2,000	2,000
Lankem Tea & Rubber Plantations (Private) Limited	-	-	210,000	280,000
York Hotel (Kandy) Limited	-	-	85,000	85,000
	-	-	368,200	474,200

Notes to the Financial Statements Contd.

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
29.2.1 Interest-bearing Borrowings				
Associates				
Colombo Fort Investments PLC	39,000	34,000	39,000	34,000
Colombo Investment Trust PLC	18,000	12,000	18,000	12,000
	57,000	46,000	57,000	46,000
Affiliates				
Consolidated Holdings (Private) Limited	800	800	800	800
Corporate Holdings (Pvt) Ltd	15,100	6,100	15,100	6,100
	15,900	6,900	15,900	6,900
	72,900	52,900	441,100	527,100

29.3 Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - 'Related Party Disclosures', the details of which are reported below:

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Subsidiaries				
(Receiving)/Rendering of Services	-	-	16,353	15,554
Loans (Taken)/Given	-	-	(20,000)	-
Interest (Expenses)/Income	-	-	(895)	3,060
Dividend (Paid)/Received	-	-	84,045	32,437
Rent (Taken)/Given	-	-	11,086	(24,717)
Guarantee Commission (Taken)/Given	-	-	7,701	(6,502)
Group Service Fee	-	-	75,088	78,294
(Received)/Payment of Outstanding Balances	-	-	9,526	(131,535)
Disposal (Acquisition) of Shares	-	-	56,376	-
Associates				
Loans (Taken)/Given	(11,000)	(19,000)	(11,000)	(19,000)
Interest (Expenses)/Income	(4,202)	(3,012)	(4,202)	(3,012)
Dividend (Paid)/Received	(19,309)	(19,471)	(14,349)	(11,667)
(Received)/Payment of Outstanding Balances	(2,707)	-	(2,173)	(1,000)
Disposal (Acquisition) of Shares	62,986	610	58,594	-
Affiliates				
(Purchases)/Sales of Goods	(657,286)	(669,638)	-	-
(Received)/Payment of Rendering of Services	361,995	316,637	-	(39)
Dividend (Paid)/Received	-	-	(9,607)	(10,738)
Interest (Expenses)/Income	-	-	(1,460)	(868)
Rent (Taken)/Given	-	997	-	-
(Received)/Payment of Outstanding Balances	-	-	(23,042)	65

29.4 Terms and Conditions of Transactions with Related Parties

Transactions with related parties are carried out in the ordinary course of the business at commercial rates. Outstanding balances at year end are unsecured and no interest was charged during the year. Interest on balance transferred to interest-bearing liabilities are charged at market rate.

29.5 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard LKAS 24 - 'Related Party Disclosures', Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, Key Management Personnel include the members of the Board of Directors (Including Executive and Non Executive Directors) of The Colombo Fort Land & Building PLC and its subsidiary companies.

(a) Loans to Key Management Personnel

No loans have been given to Key Management Personnel during the year.

(b) Key Management Personnel Compensation

Details of compensation for Executive and Non-Executive Directors are disclosed below:

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Short-Term Employee Benefits	433,312	415,715	12,300	12,300

(c) Key Management Personnel Shareholding of the Company

The shareholdings of the Directors are disclosed on page 16 of this Annual Report.

(d) Transactions with Close Family Members

There were no transactions with close family members during the year.

29.6 The Directors of the Company are also Directors of the following companies:

Name of the Company	Relationship	Name of the Director							
		Mr. A. Rajaratnam	Mr. S.D.R. Arudpragasam	Mr. N.H.B.S. Perera	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam	Mr. Anushman Rajaratnam	Ms. A.K. Gunawardhana	Mr. C.P.R. Perera
The Colombo Fort Land & Building PLC	-	✓	✓	✓	✓	✓	✓	✓	✓
Agarapatana Plantations Limited	Subsidiary	✓	✓						✓
Beruwala Resorts PLC	Subsidiary	✓	✓						✓
C.F. Travels Limited	Subsidiary	✓							
C.W. Mackie PLC	Subsidiary	✓	✓		✓		✓		
Capital Leasing Company Limited	Subsidiary	✓	✓						
Carplan Limited	Subsidiary	✓	✓		✓				
Ceylon Tapes (Private) Limited	Subsidiary						✓		
Colombo Fort Holdings Limited	Subsidiary	✓							
Colombo Fort Hotels Limited	Subsidiary	✓	✓				✓		
Colombo Fort Properties (Private) Limited	Subsidiary	✓							
C M Holdings PLC	Subsidiary	✓	✓		✓		✓		
Creasy Plantation Management Limited	Subsidiary	✓	✓						
Darley Butler & Company Limited	Subsidiary	✓	✓		✓	✓			
E.B. Creasy & Company PLC	Subsidiary	✓	✓		✓	✓			

Notes to the Financial Statements Contd.

Name of the Company	Relationship	Name of the Director							
		Mr. A. Rajaratnam	Mr. S.D.R. Arudpragasam	Mr. N.H.B.S. Perera	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam	Mr. Anushman Rajaratnam	Ms. A.K. Gunawardhana	Mr. C.P.R. Perera
J.F. Packaging (Private) Limited	Subsidiary						✓		
KIA Motors (Lanka) Limited	Subsidiary	✓	✓		✓				
Kotagala Plantations PLC	Subsidiary	✓	✓		✓				✓
Lak Kraft (Private) Limited	Subsidiary		✓				✓		
Lanka Special Steels Limited	Subsidiary		✓						
Lankem Ceylon PLC	Subsidiary	✓	✓	✓		✓	✓		
Lankem Plantation Holdings Limited	Subsidiary	✓	✓	✓					✓
Lankem Plantation Services Limited	Subsidiary	✓	✓						
Lankem Tea & Rubber Plantations (Private) Limited	Subsidiary	✓	✓				✓		✓
Marawila Resorts PLC	Subsidiary	✓	✓						✓
Muller & Phipps (Ceylon) PLC	Subsidiary		✓						
Sherwood Holidays Limited	Subsidiary	✓	✓						
Sigiriya Village Hotels PLC	Subsidiary	✓	✓						✓
York Arcade Holdings PLC	Subsidiary	✓	✓		✓				
York Hotel Management Services Limited	Subsidiary	✓	✓				✓		
York Hotels (Kandy) Limited	Subsidiary	✓	✓						
Capital Investments Limited	Associate	✓	✓						
Colombo Fort Investments PLC	Associate	✓	✓		✓				
Colombo Investment Trust PLC	Associate	✓	✓		✓				
Colombo Fort Group Services (Private) Limited	Related Company	✓	✓				✓		
Consolidated Holdings (Private) Limited	Related Company	✓	✓						
Corporate Holdings (Private) Limited	Related Company							✓	
Financial Trust Limited	Related Company	✓					✓		
Property & Investment Holdings (Private) Limited	Related Company		✓				✓		

- Mr.A. Rajaratnam resigned from the Board of Colombo Fort Group Services (Private) Limited with effect from 16.09.2015.
- Mr. Anushman Rajaratnam was appointed to the Board of Colombo Fort Group Services (Private) Limited with effect from 16.09.2015.
- Mr. A. Rajaratnam was appointed to the Board of Financial Trust Limited with effect from 02.11.2015.
- Mr. S.D.R. Arudpragasam and Mr. Anushman Rajaratnam were appointed to the Board of Lak Kraft (Private) Limited with effect from 16.12.2015.
- Mr. A. Rajaratnam resigned from the Board of York Hotel Management Services Limited with effect from 24.03.2016.
- Mr. Anushman Rajaratnam was appointed to the Board of York Hotel Management Services Limited with effect from 24.03.2016.

There were no other related party transactions other than the above and those disclosed in Note 29 to the Financial Statements.

30 FINANCIAL INSTRUMENTS

Financial Risk Management

Overview

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents qualitative and quantitative information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks.

Risk Management Framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Group's risk management policies are established to identify and analyses the risk faced by the Group, to set appropriate risk limits and controls, and to monitor risk and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

30.1 Credit Risk

Credit risk is the risk of financial loss to the Group if a customer or counter party to a financial instrument fails to meet its contractual obligation, and arises principally from the Group's receivables from customers, investment and forward contracts.

Group's credit exposure is closely monitored. Credit given is reviewed worth the predetermine approval procedures and contractual agreement made for every high value transaction.

30.1.1 Exposure to Credit Risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows;

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Other Financial Assets	727,844	916,140	-	-
Trade and Other Receivables	7,721,022	7,624,402	2,932	4,167
Income Tax Recoverable	110,230	75,787	-	-
Amount due from Related Companies	134,749	208,907	426,226	450,187
Cash & Cash Equivalents	1,620,026	2,091,975	115,124	112,789
	10,313,871	10,917,211	544,282	567,143

The aging of amount due from related companies as at the reporting date was as follows;

	GROUP				COMPANY			
	Gross Impairment		Gross Impairment		Gross Impairment		Gross Impairment	
	31.03.2016 Rs. '00	31.03.2016 Rs. '000	31.03.2015 Rs. '000	31.03.2015 Rs. '000	31.03.2016 Rs. '000	31.03.2016 Rs. '000	31.03.2015 Rs. '000	31.03.2015 Rs. '000
Past due 0-365 days	6,896	-	94,240	-	45,311	-	47,578	-
More than one year	129,016	(1,163)	117,973	(3,306)	380,915	-	402,609	-
	135,912	(1,163)	212,213	(3,306)	426,226	-	450,187	-

Notes to the Financial Statements Contd.

30.2 Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding of netting agreements.

As at 31st March	GROUP							
	2016				2015			
	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000
Non- Derivative Financial Liabilities								
Loans and Borrowings	14,865,895	14,865,895	6,418,590	5,374,243	12,323,788	12,323,788	5,196,650	5,905,198
Trade & other payables	6,577,972	6,577,972	6,571,345	6,627	8,107,414	8,107,414	8,106,242	1,172
Amounts due to Related Party	252,774	252,774	252,774	-	214,600	214,600	214,600	-
Bank overdraft	3,269,913	3,269,913	3,269,913	-	2,741,148	2,741,148	2,741,148	-
Total	24,966,554	24,966,554	16,512,622	5,380,870	23,386,950	23,386,950	16,258,640	5,906,370

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

As at 31st March	COMPANY							
	2016				2015			
	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000
Non- Derivative Financial Liabilities								
Loans and Borrowings	195,650	195,650	85,650	110,000	318,497	318,497	122,848	195,650
Trade & other payables	114,585	114,585	114,398	187	98,906	98,906	98,269	637
Amounts due to Related Party	679,880	679,880	679,880	-	778,307	778,307	778,307	-
Bank overdraft	93,852	93,852	93,852	-	93,624	93,624	93,624	-
Total	1,083,967	1,083,967	973,780	110,187	1,289,334	1,289,334	1,093,048	196,287

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

30.3 Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates etc. will affect the Group's income or the value of its holdings of financial instruments. The objective of the market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the returns.

30.4 Currency Risk

The Group is exposed to currency risk on purchases and borrowings that are denominated in a currency other than the functional currency which is Sri Lankan Rupees.

Sensitivity Analysis

A strengthening or weakening of Sri Lankan Rupee, as indicated below, against the other currencies at 31st March 2016 would have increased/ (decreased) the equity and profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Group considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables, in particular interest rates, remain constant.

Increase /(Decrease) in Exchange rate

As at 31 March	Effect on Profit before Tax	
	2016 Rs.'000	2015 Rs.'000
Dollar (USA) + 10%	(858,109)	(483,824)
Dollar (USA) - 10%	858,109	483,824
Pound (UK) +10%	(1,215)	(1,600)
Pound (UK) -10%	1,215	1,600
Yen (Japan) +10%	(46,556)	(54,990)
Yen (Japan) -10%	46,556	54,990

30.5 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in the market interest rate relates primarily to Group's long term debt obligations and investments with floating interest rates. The Group utilises various financial instruments to manage exposures to interest rate risks arising due to financial instruments. However, the company does not have material long term floating rate borrowings or deposits as at the reporting date which results a material interest rate risk.

The following table demonstrates the Group sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the profit before tax

As at 31 March	Effect on Profit before Tax	
	2016 Rs.'000	2015 Rs.'000
Variable rate instrument (1% decrease)	29,095	33,776
Variable rate instrument (1% Increase)	(29,095)	(33,776)

30.6 Capital Management

The Board's policy is to maintain a strong capital base so as to maintain shareholder, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and level of dividends paid out to ordinary shareholders.

Bank Overdrafts with variable interest rates are used to manage the working capital requirements of the Group. Major projects are financed by funds received from long term borrowings as well as reserves of the Group.

The Group's debt to equity ratio at the end of the reporting period was as follows:

As at 31st March,	GROUP		COMPANY	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Total Liabilities	28,623,527	27,110,255	1,110,775	1,316,331
Less: Cash and Cash Equivalents	1,620,026	2,091,975	115,124	112,789
Net Debt	27,003,501	25,018,280	995,651	1,203,542
Total Equity	7,610,655	7,979,355	1,444,261	1,363,097
Net Debt to Equity Ratio	355%	314%	69%	88%

There were no changes in the Group's approach to capital management during the year and the Group is not subject to externally imposed capital requirements.

Notes to the Financial Statements Contd.

30.7 Fair Values

Fair Values Versus Carrying Amounts

The fair values of financial assets and liabilities, together with the carrying amounts in the Statement of Financial Position, are as follows:

31st March, 2016	Note	Available for Sale	Held-for Trading	Loans & Receivables	Held to Maturity	Other Financial Liabilities	Total Carrying Value	Fair Value
		Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Group								
Investment in Equity Securities	16	405,297	-	-	-	-	405,297	405,297
Unit trust	16	154,119	-	-	-	-	154,119	154,119
Debentures and Fixed deposits	16	-	-	-	5,852	-	5,852	5,852
Trade & Other Receivables	19	-	-	7,721,022	-	-	7,721,022	7,721,022
Amounts due from Related Parties	29	-	-	134,749	-	-	134,749	134,749
Other financial assets	16	-	727,844	-	-	-	727,844	727,844
Cash & Cash Equivalents	20	-	-	1,620,026	-	-	1,620,026	1,620,026
		559,416	727,844	9,475,797	5,852	-	10,768,909	10,768,909
Liabilities								
Trade & Other Payables	28	-	-	-	-	6,271,729	6,271,729	6,271,729
Amounts due to Related Parties	29	-	-	-	-	252,774	252,774	252,774
Loans and Borrowings	23	-	-	-	-	14,865,895	14,865,895	14,865,895
Bank Overdraft	20	-	-	-	-	3,269,913	3,269,913	3,269,913
Other liabilities		-	-	-	-	891,666	891,666	891,666
		-	-	-	-	25,551,977	25,551,977	25,551,977
Company								
Investment in Equity Securities	16	1,441	-	-	-	-	1,441	1,441
Loans Due from Related Parties	29	-	-	277,500	-	-	277,500	277,500
Trade & Other Receivables	19	-	-	2,932	-	-	2,932	2,932
Amounts due from Related Parties	29	-	-	148,726	-	-	148,726	148,726
Cash & Cash Equivalents	20	-	-	4,124	-	-	4,124	4,124
Deposits with Banks	20	-	-	111,000	-	-	111,000	111,000
		1,441	-	544,282	-	-	545,723	545,723
Liabilities								
Bank Loans	23	-	-	-	-	195,650	195,650	195,650
Bank Overdraft	20	-	-	-	-	93,852	93,852	93,852
Trade and Other Payables	28	-	-	-	-	75,667	75,667	75,667
Amounts due to Related Parties	29	-	-	-	-	679,880	679,880	679,880
		-	-	-	-	1,045,049	1,045,049	1,045,049

31 CAPITAL AND FINANCIAL COMMITMENTS

31.1 COMPANY

The Company had no material capital or financial commitments as at the reporting date.

31.2 GROUP

The Group had no significant capital or financial commitments as at the reporting date other than those disclosed below:

E.B. Creasy & Company PLC

Capital Expenditure on Enterprise Resources Planning amounting to Rs. 78 Million.

Agarapatana Plantations Limited

	31.03.2016 Rs. million	31.03.2015 Rs. million
a) Field Development	175.6	168.4
b) Machinery & Factory Development	119.3	51

Kotagala Plantations PLC

Budgeted capital development programmes of Kotagala Plantations PLC for the next financial year amounts to approximately Rs.640 million (2014/15 - Rs.466.1 million).

SunAgro Farms Limited

Sunagro Farms Limited, a subsidiary, has acquired the agricultural land for cultivation for a period 29 years lease from the Department of Buddhist Affairs on 21st June, 2010. This leasehold rights to the land is amortised over period of lease. However the balance was impaired as at 31st March 2014.

Lanka Special Steels Limited

The outstanding forward exchange contracts entered into by the company as at 31st March 2016 was amounting to Rs. 56 million (2014/15 - Rs. 74 million).

Union Investments Limited

Union Investments Limited, a subsidiary is committed to pay the following to Guardian Asset Management Limited, a related company:

- Management fee at 1.5% per annum calculated on the market value of the portfolio, calculated on daily basis.
- Custodian fee at 0.10% per annum on the market value of the portfolio, calculated on monthly basis to Deutsche Bank.
- Disbursement fee of Rs.144,000/- per annum and accounting fee of Rs. 300,000/- per annum (excluding VAT)

32 CONTINGENT LIABILITIES / ASSETS

There are no material contingent liabilities / assets outstanding as at the date of the Statement of Financial Position, other than those disclosed below:

32.1 Company

The Company has issued Corporate Guarantees for the borrowings by the subsidiary companies as indicated below,

Financial Institutions/Companies	Name of the Company	31.03.2016 Rs.'000	31.03.2015 Rs.'000
Commercial Bank of Ceylon PLC	American Lloyd Travels Limited	10,000	10,000
Inter Company Balances	York Arcade Holdings PLC	3,307	3,307
Pan Asia Banking Corporation PLC	Beruwala Resorts PLC	25,000	-
Pan Asia Banking Corporation PLC	Sigiriya Village Hotels PLC	25,000	-
		63,307	13,307

Notes to the Financial Statements Contd.

32.2 Group

32.2.1 Contingent Liabilities

(i) KIA Motors (Lanka) Limited

KIA Motors (Lanka) Limited is a bona-fide purchaser of land in extent of 3 Acres, 1 Rood and 4.4 Perches at Malabe in 2012. As more fully described in Note 10.1.(e) to these financial statements, the property is the subject matter of litigation as informed to KIA Motors (Lanka) Limited, by a petitioner who had made a Revision Application. KIA Motors (Lanka) Limited has intervened in this matter in the Supreme Court and has been defending its position since 2014/15. Legal advice indicates that KIA Motors (Lanka) Limited will not forfeit physical possession of the property. However, as at the date of issue of these financial statements, management is unable to determine the final outcome of the litigation with certainty, as legal counsel to KIA Motors (Lanka) Limited had informed that they are unable to advise whether KIA Motors (Lanka) Limited would necessarily be subject to an unfavorable outcome, namely to set aside the Final Partition Decree.

KIA Motors (Lanka) Limited has filed two Writ applications against the orders of the Consumer Affairs Authority in the Court of Appeal, in relation to customer claims. The matters are fixed for argument on 31st January 2017.

KIA Motors (Lanka) Limited has been defending a case filed against the company by a service provider for purported invoices raised for services on designing, planning and management of the construction of showroom and services complex. The company has disclaimed the liability and preferred a counter claim. No provision in relation to this claim has been recognised in these consolidated financial statements, pending a final outcome from court.

(ii) E.B. Creasy & Company PLC

Contingent liabilities exist in relation to guarantees issued by E.B. Creasy & Company PLC to financial institutions on behalf of its subsidiaries to obtain bank facilities from Financial Institutions are as follows:

	31.03.2016 Rs.'000	31.03.2015 Rs.'000
Darley Butler & Company Limited	230,000	230,000
	230,000	230,000

(iii) Lanka Special Steels Limited

Lanka Special Steels Limited has given a grantee of Rs. 25,100,003 to Sri Lanka Custom and it was outstanding as at 31st March, 2016.

(iv) Lankem Ceylon PLC

Contingent liabilities exist in relation to guarantees issued by Lankem Ceylon PLC to third parties on behalf of its related companies are as follows:

	31.03.2016 Rs.'000	31.03.2015 Rs.'000
Darley Butler & Company Limited	130,000	145,000
Galle Fort Hotels Limited	98,663	98,663
Lankem Development PLC	62,080	62,080
SunAgro Foods Limited	185,000	110,000
SunAgro LifeScience Limited	210,000	210,000
Waverly Power (Private) Limited	70,000	70,000
	755,743	695,743

(v) *C.W. Mackie PLC*

The following contingent liabilities exist as at the reporting date on account of the letters of comfort and guarantees given by the Company:

	2016 Rs.Million	2015 Rs.Million
Ceymac Rubber Company Limited	99	99
Ceytra (Private) Limited	8	8
	107	107
Outstanding short term loan facility		
Ceymac Rubber Company Limited	50	90
	50	90

These corporate guarantees have been provided for Hatton National Bank PLC on behalf of the subsidiary companies Ceymac Rubber Company Limited and Ceytra (Private) Limited, for short term loan facilities, where repayment terms are less than 12 months.

(vi) *Lankem Tea & Rubber Plantation (Private) Limited*

- Lankem Tea & Rubber Plantations (Private) Limited has given a corporate guarantee to DFCC Bank PLC on behalf of Kotagala Plantations PLC to secure loans of Rs.50 million and Rs.7.47 million under ADB credit line.
- Lankem Tea & Rubber Plantations (Private) Limited has given a corporate guarantee to People's Leasing Company PLC on behalf of Kotagala Plantations PLC, to secure Term Loans of Rs.13 million, Rs.27.7 million and E-friends loans of Rs.1.8 million, Rs.1.5 million, Rs.10.2 million, Rs.9.6 million, Rs.9.6 million, Rs.3.7 million and Rs.2 million.
- Lankem Tea & Rubber Plantations (Private) Limited has given a corporate guarantee to Lanka ORIX Leasing Company PLC on behalf of Kotagala Plantations PLC, to secure Term Loans of Rs.40 million.
- Lankem Tea & Rubber Plantations (Private) Limited has given a corporate guarantee to People's Leasing Company PLC on behalf of Agarapatana Plantations Limited, to secure Term Loans of Rs.4.85 million.

(vii) *Lankem Developments PLC*

Corporate Guarantee given to Agarapatana Plantations Limited amounting to Rs.160 million.

33 GOING CONCERN

GROUP

The Financial Statements of The Colombo Fort Land & Building PLC do not include any adjustments in relation to the recoverability and the classification of recorded asset amounts or to amounts and classification of liabilities that may be necessary, if any of the following companies are unable to continue as going concern:

(i) *Agarapatana Plantations Limited*

Agarapatana Plantations Limited, a subsidiary has recorded a net loss of Rs. 205.8 million during the year ended 31st March, 2016 (2014/15 - Rs. 394.97 million) and as at 31st March, 2016 the Current Liabilities of the Company exceeded its Current Assets by Rs.1,727.87 million (2014/15 - Rs.1,529.76 million). The Company has a serious loss of capital as defined in Section 220 (1) of the Companies Act No 07 of 2007.

The Directors of the Company are confident that the financial position of the Company will significantly improve in the near future in view of the finance facilities available from the banks and related companies together with the recent changes in the tea market and the proposed action plans appended below to circumvent the current liquidity crisis which affects the going concern position of the Company in the future .

- The Last Few Auctions, have witnessed the improvement in tea prices due to the removal of UN embargo on Iran in which our teas have also fetched a remarkable improvement in prices. This is a good sign to count on an increase in our future revenue from tea.
- Further, The company has already started the Bought Leaf lines that was closed during the last year, which has already shown favourable results during the current period.
- Moreover the Company is contemplating to lease two of our unviable loss making properties to an outside party who are interested in operating a bio-tea project, which will reduce our annual losses by at least Rs.70 million.

Notes to the Financial Statements Contd.

- Also planning to establish a retail market for tea with a reputed brand holder currently operating in the local market, which will improve the margin on approximately 10% of the tea currently sold in Colombo Auctions.
- Management Fee has been fully waived off for the current year and 2016/17 by the managing agent Lankem Tea & Rubber Plantations (Pvt) Ltd.
- The Company successfully negotiated a term loan facility of Rs. 245 million from Bank of Ceylon under a lesser interest rate with easy loan capital repayment over a period of five years. This will be utilised for the settlement of high interest borrowings and overdue liabilities

The Financial Statements of the Company have been prepared on the assumption that the Company is a going concern.

(ii) Lankem Developments PLC

Lankem Developments PLC, a subsidiary, has incurred a loss of Rs.182.8 million (2014-/15 a profit of Rs.298.9 million) during the year ended 31st March, 2016, and as at that date the accumulated loss was Rs.894.04 million (2014/15 - Rs.960.2 million) and as of that date the Company's Current Liabilities exceeded its Current Assets by Rs. 97.45 million (2014/2015 Rs. 90.64 million). These factors raised significant doubts of the Company's ability to continue as a going concern. However, the management is of the view that the investments in Plantation sector and Hydro Power Plants will generate profits in the future. Accordingly, the Directors of the Company are of the view that the Company is able to continue as a going concern and the Financial Statements of the Company have been prepared on the assumption that the Company is a going concern.

(iii) SunAgro Foods Limited

SunAgro Foods Limited, a subsidiary has incurred a loss of Rs.86.2 million (2014/15 – Rs.72.8 million) for the year ended 31st March, 2016 and as at that date the accumulated loss was Rs.314.4 million (2014/15- Rs.228.1 million). Further, total liabilities exceeds the total assets by Rs.264.4 million (2014/15- Rs.178.1 million) and the current liabilities exceeds the current assets by Rs.337.0 million (2014/15-Rs.245.5 million). Further, company's net assets are less than half of the stated capital and face a serious loss of capital situation. These factors have effects on company's ability to continue as a going concern. However, the management has set an action plan which is monitored by the Board to prevent further such losses or to recoup the losses incurred. Accordingly, the Directors of the Company are of the view that the company is able to continue as a going concern

34 EVENTS OCCURRING AFTER THE REPORTING DATE

34.1 COMPANY

The Directors of The Colombo Fort Land & Building PLC have recommended the payment of a First & Final Dividend of Rs. 0.30 per ordinary share which will be declared at the Annual General Meeting to be held on 29th, September 2016. In accordance with the Sri Lanka Accounting Standard (LKAS) 10 - " Events Occurring After the Reporting Date", this proposed dividend has not been recognised as a liability as at 31st March, 2016.

34.2 GROUP

(i) Muller & Phipps (Ceylon) PLC

The Board of Directors of Muller & Phipps (Ceylon) PLC have recommended the payment of a First & Final Dividend of Rs.0.07 per ordinary share amounting to Rs.19.8 million for the year ended 31st March, 2016.

(ii) Laxapana Batteries PLC

The Board of Directors of Laxapana Batteries PLC have recommended the payment of a First & Final Dividend of Rs.0.55 per ordinary share amounting to Rs.21.4 million for the year ended 31st March, 2016.

(iii) E.B. Creasy & Company PLC

The Board of Directors of E.B. Creasy & Company PLC have recommended the payment of a First and Final Dividend of Rs.30.00 per share for the year ended 31st March, 2016 which will be declared at the Annual General Meeting to be held on 31st August, 2016. In accordance with the Sri Lanka Accounting Standard (LKAS) 10 - " Events Occurring After the Reporting Date", this proposed First and Final Dividend has not been recognised as a liability in the Financial Statements for the year ended 31st March, 2016.

(iv) C.W. Mackie PLC

The Directors of C.W. Mackie PLC recommended the payment of a First and Final Dividend of Rs. 3.50 per ordinary share amounting to Rs.125.96 million for the year ended 31st March, 2016 which was approved by the shareholders at the Annual General Meeting held on 30th June, 2016.

(v) Sigiriya Village Hotels PLC

The Directors of Sigiriya Village Hotels PLC recommended the payment of a First and Final Dividend of Rs.4/- per ordinary share amounting to Rs.36 million for the year ended 31st March, 2016 which was approved by the shareholders at the Annual General Meeting held on 26th August, 2016.

(vi) York Arcade Holdings PLC

The Directors of York Arcade Holdings PLC recommended the payment of a First and Final Dividend of Rs.0.30 per ordinary share amounting to Rs. 3.6 million for the year ended 31st March, 2016 which was approved by the shareholders at the Annual General Meeting held on 29th July, 2016. The dividend was paid to the Shareholders on 9th August, 2016.

(vii) C.M. Holdings PLC

The Board of Directors of C.M. Holdings PLC has proposed a First and Final Dividend of Rs. 6.00 per share for the year ended 31st March, 2016. The dividend so proposed is subject to the approval of the shareholders at the Annual General Meeting of the Company to be held on 29th September, 2016.

35 OPERATING LEASE

The buildings of Beruwala Resorts PLC, Sigiriya Village Hotels PLC and SunAgro Farms Limited are constructed on land obtained on operating leases.

Company	Unexpired Period of the Lease
Beruwala Resorts PLC	30 Years
Sigiriya Village Hotels PLC	30 Years
SunAgro Farms Limited	29 Years

Beruwala Resorts PLC

Beruwala Resorts PLC's buildings have been constructed on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 01st August, 2007. The lease period will expire on 31st July, 2037. The Company has paid Rs. 2,913,014/- as lease rent during the year 2015/2016 (2014/2015 Rs. 1,836,000/-).

Sigiriya Village Hotels PLC

Sigiriya Village Hotels PLC's buildings have been constructed on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 02nd September, 2009. The lease period will expire on 01st September 2039.

SunAgro Farms Limited

SunAgro Farms Limited, has acquired an agricultural land on 21st June, 2010 on a 29 year lease from the Department of Buddhist Affairs which is amortized over the period of lease. However, the balance was impaired as at 31st March, 2014.

Notes to the Financial Statements Contd.

36 NON-CONTROLLING INTERESTS IN SUBSIDIARIES

The following table summarises the information relating to subsidiaries that have material non-controlling interest (NCI), before any intra-group eliminations.

	Trading Companies Rs.'000	2016 Leisure and Other Rs.'000	Plantation Rs.'000	Trading Companies Rs.'000	2015 Leisure and Other Rs.'000	Plantation Rs.'000
Revenue	33,348,949	2,344,800	6,621,958	32,613,953	1,906,616	7,183,849
Operating Profit / (Loss)	1,192,322	34,794	(497,287)	1,482,599	11,619	(437,339)
Finance Cost	(951,635)	(139,422)	(675,232)	(390,883)	(153,562)	(605,231)
Income Tax	(243,565)	580	100,433	(398,066)	(28,046)	118,537
Profit/ loss After Tax	(2,878)	(114,710)	(1,072,086)	279,626	3,370	(871,325)
Total Comprehensive Income	(31,172)	(157,027)	(886,773)	880,151	(151,805)	(1,527,372)
Profit/ (Loss) allocated to NCI	90,409	(48,203)	(267,759)	390,957	(91,677)	(695,115)
Non Current Assets	8,442,274	4,153,577	8,697,227	8,202,519	3,215,036	8,378,739
Current Assets	17,607,137	1,959,697	1,943,092	16,294,929	1,820,811	3,208,696
Total Assets	26,049,411	6,113,274	10,640,319	24,497,448	5,035,847	11,587,435
Non Current Liabilities	2,400,061	816,688	6,041,224	2,766,515	921,473	6,077,808
Current Liabilities	16,623,400	2,723,006	5,396,614	14,365,138	2,297,771	5,567,596
Total Liabilities	19,023,461	3,539,694	11,437,838	17,131,653	3,219,244	11,645,404

Names of subsidiaries with material non-controlling interest (NCI)

Principal Place of Business		NCI Effective Holding	
		2016	2015
Trading Companies			
E. B. Creasy & Company PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	40.12%	39.95%
Lankem Ceylon PLC	Nawam Mawatha, Colombo 2	41.02%	39.51%
Colonial Motors Ceylon Ltd	297, Union Place, Colombo 02	34.58%	32.99%
C.M. Holdings PLC	297, Union Place, Colombo 02	34.58%	32.99%
Muller & Phipps (Ceylon) PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	69.28%	69.20%
Pettah Pharmacy (Private) Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	69.28%	69.20%
E. B. Creasy Logistics Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.12%	39.96%
Darley Butler & Company Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.12%	39.95%
Creasy Foods Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.12%	39.95%
Laxapana Batteries PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	69.11%	69.03%
C. W. Mackie PLC	No.36, D.R.Wijewardena Mawatha, Colombo 10	65.96%	65.25%
Lankem Paints Limited	Nawam Mawatha, Colombo 2	41.02%	39.51%
Lankem Consumer Products Limited	Nawam Mawatha, Colombo 2	41.02%	39.51%
Lankem Chemicals Limited	Nawam Mawatha, Colombo 2	41.02%	39.51%
Associated Farms Limited	Nawam Mawatha, Colombo 2	41.02%	39.51%
SunAgro Foods limited	Nawam Mawatha, Colombo 2	41.02%	39.51%
Leisure and Other			
Sigiriya Village Hotels PLC	Sigiriya	59.90%	59.14%
Marawela Resorts PLC	Thalwilawella, Thoduwwa, Marawila	61.24%	66.34%
Colombo Fort Hotels Limited	8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 01	38.19%	37.24%
Galle Fort Hotel (Private) Limited	Galle	38.19%	37.24%
Beruwala Resorts PLC	Moragalla, Beruwala	52.29%	51.66%
B.O.T. Hotel Services (Private) Limited	8-2/1, Leyden Bastian Road, York Arcade Building, Colombo 01	52.29%	51.66%
Plantation			
Kotagala Plantations PLC	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	44.57%	44.06%
Agarapatana Plantations Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	60.85%	60.49%
Lankem Development PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	48.12%	47.64%
Lankem Tea & Rubber Plantations (Private) Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	19.74%	19.01%

Segment Information

	Trading of Consumer Products			Trading of Industrial Products			Leisure		Plantations		Others		Total	
	2016 Rs.'000	2015 Rs.'000		2016 Rs.'000	2015 Rs.'000		2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Revenue	21,348,899	22,937,513		12,000,050	9,676,440		1,299,017	982,911	6,621,958	7,183,849	1,141,306	1,028,949	42,411,230	41,809,662
Inter Segments	(4,574,691)	(5,461,207)		(544,821)	(746,440)		(6,531)	(1,425)	(141,780)	(8,708)	(283,303)	(207,282)	(5,551,126)	(6,425,062)
Revenue from External Customers	16,774,208	17,476,306		11,455,229	8,930,000		1,292,486	981,486	6,480,178	7,175,141	858,003	821,667	36,860,104	35,384,600
Segment Results after Eliminations	1,036,773	825,363		(32,175)	231,219		238,425	142,215	(253,301)	(89,472)	270,719	143,277	1,260,442	1,252,622
Gain from Bargain Purchase	-	-		-	-		-	-	-	-	193	-	193	-
Finance Expenses	(520,672)	(175,184)		(430,963)	(215,699)		(134,702)	(122,926)	(675,232)	(605,231)	(26,418)	(78,001)	(1,787,987)	(1,197,041)
Share of Results of Associate	-	-		-	-		-	-	-	-	(10,662)	-	(10,662)	30,146
Profit Before Tax	516,102	650,198		(463,139)	15,521		103,723	19,289	(928,533)	(726,854)	233,832	127,572	(538,016)	85,726
Taxation	(171,920)	(359,285)		(71,645)	(38,781)		(21,749)	(6,077)	100,433	118,537	5,201	(48,607)	(159,680)	(334,213)
Profit for the Year	344,182	290,913		(534,784)	(23,260)		81,974	13,212	(828,100)	(608,317)	239,033	78,965	(697,695)	(248,487)
Equity Holders of the Parent	214,752	103,363		(502,901)	(145,742)		87,410	145,022	(372,088)	(93,857)	251,649	48,031	(321,178)	56,818
Non Controlling Interest	129,430	187,550		(31,883)	122,481		(5,435)	(131,810)	(456,013)	(514,460)	(12,617)	30,934	(376,517)	(305,305)
Total	344,182	290,913		(534,784)	(23,260)		81,974	13,212	(828,100)	(608,317)	239,033	78,965	(697,695)	(248,487)
Non-Current Assets														
Property, Plant & Equipment	5,173,207	4,874,677		2,419,210	2,483,252		3,616,359	3,628,133	6,814,993	6,564,817	965,804	971,595	18,989,573	18,522,474
Leasehold Properties	-	-		-	-		-	-	548,263	585,115	-	-	548,263	585,115
Investment Properties	137,952	114,965		17,270	19,443		157,144	24,368	25,638	-	102,865	114,163	440,869	272,939
Biological Assets	-	-		-	-		-	-	1,201,905	-	-	1,131,930	1,201,905	1,131,930
Investment in Associates	-	-		-	-		-	-	-	-	464,236	584,547	464,236	584,547
Other Long-Term Investments	427,928	423,623		39,549	77,997		234	250	89,675	96,998	2,482	2,712	559,868	601,580
Retirement Benefit Obligations - Plan Assets	23,088	23,261		72,451	108,995		-	-	-	-	-	-	95,539	132,256
Deferred Tax Assets	55,749	28,701		25,935	13,120		17	-	(24)	(119)	33,059	353	114,736	42,055
	5,817,923	5,465,228		2,574,415	2,702,806		3,773,754	3,652,751	8,680,450	7,246,811	1,568,446	2,851,724	22,414,989	21,872,896
Goodwill	-	-		-	-		-	-	-	-	-	-	821,650	854,172
Income Tax Recoverable	-	-		-	-		-	-	-	-	-	-	110,230	75,787
Non-Current Liabilities														
Interest-Bearing Borrowings	485,538	497,119		753,322	1,116,172		675,861	749,691	3,349,421	3,300,847	110,101	241,369	5,374,243	5,905,198
Capital Grants	19,940	22,688		-	-		-	-	565,483	549,315	-	-	585,423	572,003
Deferred Tax Liabilities	233,491	248,656		41,576	117,436		45,182	45,627	137,775	183,282	72,858	72,412	530,882	667,412
Retirement Benefit Obligations	516,001	270,678		227,872	204,054		26,891	26,352	1,750,286	1,976,525	19,618	6,281	2,540,668	2,483,890
Rent Received In Advance	4,480	-		-	-		-	-	-	-	3,173	1,172	7,653	1,172
	1,259,450	1,039,141		1,022,770	1,437,662		747,934	821,670	5,802,965	6,009,969	205,750	322,484	9,038,869	9,629,678
Current Liabilities														
Income Tax Payables	-	-		-	-		-	-	-	-	-	-	295,806	216,421

Group Financial Summary

As at 31st March,	SLFRS						2010	2009	2008	2007
	2016 Rs.'000	2015 Rs.'000	2014 Rs.'000 Restated	2013 Rs.'000	2012 Rs.'000	2011 Rs.'000				
TRADING RESULTS										
Group Revenue	36,860,104	35,384,600	35,029,794	29,918,015	31,771,237	27,758,034	14,633,342	12,813,383	12,610,909	11,384,763
Profit/(Loss) before Tax	(538,016)	85,726	53,749	1,596,841	2,757,954	2,564,025	981,738	283,934	989,791	704,163
Income Tax Expense	(159,679)	(334,213)	(329,384)	(396,877)	(649,892)	(424,969)	(311,598)	(234,434)	(272,402)	(172,907)
Profit/(Loss) for the Period	(697,695)	(248,487)	(275,635)	1,199,964	2,108,062	2,139,056	670,139	49,500	717,389	531,256
Other Comprehensive Income	224,102	58,039	(142,790)	(229,597)	(1,762,361)	-	-	-	-	-
Attributable to :										
Equity Holders of the Parent	(246,488)	208,795	(94,546)	647,598	(129,352)	1,146,897	412,803	65,436	360,048	331,810
Non - Controlling Interest	(227,106)	(399,243)	(323,879)	322,769	475,052	992,159	257,337	(15,936)	357,341	199,446
	(473,593)	(190,448)	(418,425)	970,367	345,701	2,139,056	670,140	49,500	717,389	531,256
CAPITAL EMPLOYED										
Stated Capital	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000
Capital Reserves	20,058	20,058	20,058	20,058	20,058	20,058	1,789,242	492,016	492,016	492,016
Revenue Reserves	7,263,597	7,632,297	7,477,502	7,477,502	7,196,989	7,348,455	999,807	561,541	484,169	110,764
	7,610,655	7,979,355	7,824,560	7,824,560	7,544,047	7,695,513	3,116,049	1,380,557	1,303,186	929,780
Non - Controlling Interest	4,168,728	4,373,635	4,993,804	4,993,804	5,411,705	5,563,904	3,175,588	1,866,273	1,925,767	1,794,953
Total Equity	11,779,384	12,352,990	12,818,364	12,818,364	12,955,753	13,259,417	6,291,637	3,246,830	3,228,952	2,724,733
Total Debt	18,135,808	15,064,936	12,477,962	12,477,962	8,932,057	6,794,671	5,115,969	3,893,082	3,413,622	3,798,380
	29,915,192	27,417,926	25,296,326	25,296,326	21,887,810	20,054,088	11,407,606	7,139,912	6,642,574	6,523,113
ASSETS EMPLOYED										
Property, Plant & Equipment	18,989,573	18,522,474	16,039,000	16,039,000	12,816,158	11,368,935	9,620,957	6,571,111	5,914,019	5,592,383
Other Non-Current Assets	4,296,289	4,216,223	3,569,478	3,569,478	3,929,215	5,464,619	1,730,604	1,051,711	1,034,926	1,210,798
Current Assets	17,117,049	16,724,548	15,832,651	15,832,651	12,560,110	10,257,705	6,481,451	4,348,928	4,707,769	3,777,080
Liabilities Net of Debt	(19,585,684)	(17,480,580)	(15,287,631)	(15,287,631)	(10,319,085)	(8,064,766)	(6,425,406)	(4,831,838)	(5,014,140)	(4,057,148)
	20,817,227	21,982,665	20,153,498	20,153,498	18,986,398	19,026,493	11,407,606	7,139,912	6,642,574	6,523,113
CASH FLOW										
Net Cash Generated from/(used in) :										
Operating Activities	(1,972,923)	1,386,736	1,643,947	(542,829)	2,522,199	239,990	982,070	488,123	1,122,405	300,636
Investing Activities	(1,332,532)	(3,421,836)	(1,345,360)	(3,089,110)	(2,911,007)	(1,216,237)	(1,430,970)	(968,769)	(480,023)	(436,583)
Financing Activities	2,304,742	2,278,260	217,398	1,810,567	553,817	1,744,333	741,415	378,733	338,623	(520,182)
INVESTOR'S INDICATORS										
Earnings/(Loss) per Share (Rs.)	(1.78)	0.32	(0.83)	4.12	7.03	31.86	11.47	1.82	10.00	9.22
Net Asset/(Liability) per Share (Rs.)	42.28	44.33	43.47	43.47	41.91	123.68	86.56	38.35	36.20	25.83
Price Earnings Ratio (Times)	(14.12)	79.83	(30.73)	7.04	5.97	13	5.62	8.93	2.30	1.74
KEY INDICATORS										
Market Value per Share (Rs.)	19.50	25.20	25.50	29.00	33.90	400.40	64.50	16.25	23.00	16.00
Market Capitalisation (Rs.'000)	3,510,000	4,536,000	4,590,000	5,220,000	6,102,000	14,414,400	2,322,000	585,000	828,000	576,000
Current Ratio (Times)	0.87	0.96	1.04	1.04	1.20	1.25	0.97	0.81	0.86	0.77
Interest Cover	0.66	1.06	1.03	2.40	4.56	4.99	2.81	1.46	3.07	2.35

Share Information

DISTRIBUTION OF SHAREHOLDING

No. of Shares Held	31st March, 2016			31st March, 2015		
	No. of Shareholders	Total Holding	Holding %	No. of Shareholders	Total Holding	Holding %
1 - 1,000	1,325	527,177	0.29	1,341	548,959	0.30
1,001 - 10,000	908	3,621,891	2.01	968	3,899,964	2.17
10,001 - 100,000	260	7,835,699	4.35	282	8,445,889	4.69
100,001 - 1,000,000	57	17,912,056	9.95	57	18,114,326	10.07
Over 1,000,000	19	150,103,177	83.40	16	148,990,862	82.77
Total	2,569	180,000,000	100.00	2,664	180,000,000	100.00

ANALYSIS OF ORDINARY SHAREHOLDERS

	31st March, 2016			31st March, 2015		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individuals	2,375	31,090,733	17.28	2,483	40,097,145	22.28
Institutions	194	148,909,267	82.72	181	139,902,855	77.72
	2,569	180,000,000	100.00	2,664	180,000,000	100.00

PUBLIC HOLDING

The percentage of shares held by the public as at 31st March, 2016 was 32.59% (2015 - 37.22%)

PUBLIC SHAREHOLDERS

The number of Public Shareholders as at 31st March, 2016 were 2,548.

MARKET VALUE OF SHARES

	2015/2016 Rs.	2014/2015 Rs.
Highest	29.00	35.00
Lowest	15.50	24.60
Year end	19.50	25.20

NET ASSETS PER SHARE

	Rs.
31.03.2016	8.02
31.03.2015	7.57

Share Information Contd.

TWENTY MAJOR SHAREHOLDERS

Position	Name	31st March, 2016		31st March, 2015	
		No. of Ordinary Shares	%	No. of Ordinary Shares	%
1	Property & Investment Holdings (Private) Limited	26,399,690	14.67	28,399,690	15.78
2	Colombo Investment Trust PLC	25,103,109	13.95	25,100,109	13.94
3	Colombo Fort Investments PLC	21,701,905	12.06	21,698,505	12.05
4	Capital Investments Limited	21,084,375	11.71	23,084,375	12.82
5	Corporate Holdings (Private) Limited A/C No.02	8,204,800	4.56	1,853,665	1.03
6	Sampath Bank PLC/ Mr. Arunasalam Sithampalam	6,773,865	3.76	-	-
7	Financial Trust Limited	5,742,643	3.19	5,522,818	3.07
8	Estate of the Late Mariapillai Radhakrishnan (Deceased)	5,400,000	3.00	5,400,000	3.00
9	Seylan Bank PLC/Capital Trust Holdings (Private) Limited	5,157,340	2.87	5,429,817	3.02
10	Seylan Bank PLC/Arunasalam Sithampalam	5,000,000	2.78	5,000,000	2.78
11	Union Investments (Private) Limited	4,089,680	2.27	4,089,680	2.27
12	Seylan Bank PLC/Thirugnanasambandar Senthilvel	3,406,525	1.89	2,315,582	1.29
13	Estate of the Late Rajaratnam Senathirajah (Deceased)	2,752,780	1.53	10,957,580	6.09
14	Commercial Bank of Ceylon PLC/Capital Investments Limited	2,000,000	1.11	-	-
15	Commercial Bank of Ceylon PLC/Property & Investment Holdings (Private) Limited	2,000,000	1.11	-	-
16	Corporate Holdings (Private) Limited A/C No.01	1,853,665	1.03	-	-
17	Mr. Alagarajah Rajaratnam	1,263,900	0.70	1,362,900	0.76
18	Associated Electrical Corporation Limited	1,157,900	0.64	1,020,400	0.57
19	Mr. Arunasalam Sithampalam	1,011,000	0.56	1,011,000	0.56
20	C. M. Holdings PLC	1,000,000	0.56	1,000,000	0.56
		151,103,177	83.95	143,246,121	79.59

Notice of Meeting

Notice is hereby given that the One Hundred and Seventeenth Annual General Meeting of The Colombo Fort Land & Building PLC will be held at the Grand Oriental Hotel, No. 2, York Street, Colombo 1, on 29th September, 2016 at 10.45 a.m. and the business to be brought before the meeting will be:

- To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March, 2016 with the Report of the Auditors thereon.
- To declare a First and Final Dividend of Rs. 0.30 per share for the year ended 31st March, 2016, as recommended by the Directors.
- To re-elect Mr. Anushman Rajaratnam, who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
- To re-elect Ms. A.K. Gunawardhana, who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
- To reappoint Mr. N.H.B.S. Perera, as a Director. As Mr. N.H.B.S. Perera is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 02).
- To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 03).
- To reappoint Mr. A. Rajaratnam, as a Director. As Mr. A. Rajaratnam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 04).
- To reappoint Mr. R. Seevaratnam, as a Director. As Mr. R. Seevaratnam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 05).
- To reappoint Mr. C.P.R. Perera, as a Director. As Mr. C.P.R. Perera is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 06).

- To authorise the Directors to determine contributions to Charities.
- To reappoint Messrs. KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.

By Order of the Board,
Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
23rd August, 2016

Note:

1. A member is entitled to appoint a Proxy to attend and vote in his/her stead and a Proxy need not be a member of the Company. A Form of Proxy is enclosed with this Report. The instrument appointing a Proxy must be completed and deposited at the Registered Office of the Company, not less than forty-eight hours before the time fixed for the meeting.
2. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. N.H.B.S. Perera, as an Ordinary Resolution:

“Resolved – That Mr. N.H.B.S. Perera who is eighty five years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. N.H.B.S. Perera.”
3. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A.M. de S. Jayaratne, as an Ordinary Resolution:

“Resolved – That Mr. A.M. de S. Jayaratne who is seventy six years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A.M. de S. Jayaratne.”

Notice of Meeting Contd.

4. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A. Rajaratnam, as an Ordinary Resolution:

“Resolved – That Mr. A. Rajaratnam who is seventy five years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A. Rajaratnam.”

5. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. R. Seevaratnam, as an Ordinary Resolution:

“Resolved – That Mr. R. Seevaratnam who is seventy three years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. R. Seevaratnam.”

6. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. C.P.R. Perera, as an Ordinary Resolution:

“Resolved – That Mr. C.P.R. Perera who is seventy two years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. C.P.R. Perera.”

Form of Proxy

I/Weof
being a member/members of
 THE COLOMBO FORT LAND & BUILDING PLC hereby appoint
 of
 whom failing

- | | |
|--|---------------------------|
| 1. Alagarajah Rajaratnam | of Colombo or failing him |
| 2. Sri Dhaman Rajendram Arudpragasam | of Colombo or failing him |
| 3. Nelakanni Hettiarachige Bernard Susantha Perera | of Colombo or failing him |
| 4. Ajit Mahendra de Silva Jayaratne | of Colombo or failing him |
| 5. Ranjeevan Seevaratnam | of Colombo or failing him |
| 6. Anushman Rajaratnam | of Colombo or failing him |
| 7. Ms. Anandhiy Krishnajina Gunawardhana | of Colombo or failing her |
| 8. Chrisantha Priyange Richard Perera | of Colombo |

as my/our Proxy to represent me/us, to speak and to vote on my/our behalf at the One Hundred and Seventeenth Annual General Meeting of the Company to be held on 29th September, 2016 and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid meeting.

	For	Against
• To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March, 2016 with the Report of the Auditors thereon.	☐	☐
• To declare a First and Final Dividend of Rs. 0.30 per share for the year ended 31st March, 2016 as recommended by the Directors.	☐	☐
• To re-elect Mr. Anushman Rajaratnam, who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
• To re-elect Ms. A.K. Gunawardhana, who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
• To reappoint Mr. N.H.B.S. Perera, as a Director. As Mr. N.H.B.S. Perera is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution which is set out in the Notice of Meeting.	☐	☐
• To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution which is set out in the Notice of Meeting.	☐	☐
• To reappoint Mr. A. Rajaratnam, as a Director. As Mr. A. Rajaratnam is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
• To reappoint Mr. R. Seevaratnam, as a Director. As Mr. R. Seevaratnam is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
• To reappoint Mr. C.P.R. Perera, as a Director. As Mr. C.P.R. Perera is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
• To authorise the Directors to determine contributions to Charities.	☐	☐
• To reappoint Messrs. KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.	☐	☐

As witness my/our hand(s) this day of, 2016.

.....
 Signature of Shareholder

Note:

1. A Proxy need not be a member of the Company.
2. Instructions as to completion appear on the reverse hereof.

INSTRUCTIONS AS TO COMPLETION OF FORM OF PROXY

1. To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, not less than 48 hours before the time appointed for the holding of the meeting.
2. In perfecting the Form of Proxy, please ensure that all details are legible.
3. Please indicate clearly how your Proxy is to vote on the resolution. If no indication is given the Proxy at his discretion may vote as he thinks fit.
4. In the case of Corporate Members, the Form of Proxy must be under seal or under the hand of an Authorised Officer or Attorney.
5. Where the Form of Proxy is signed under a Power of Attorney (POA) which has not been registered with the Company, the original POA together with a photocopy of the same, or a copy certified by a Notary Public must be lodged with the Company along with the Form of Proxy.

Corporate Information

Board of Directors

A. Rajaratnam
FCA
(Alternate – Anushman Rajaratnam)

S.D.R. Arudpragasam
FCMA (U.K.)

N.H.B.S. Perera
B.Sc. (Cey.)

A.M. de S. Jayaratne
B.Sc. (Econ.), FCA (Eng. & Wales), FCA (ICASL)

R. Seevaratnam
B.Sc. (Lond.), FCA (Eng. & Wales), FCA (ICASL)

Anushman Rajaratnam
B.Sc. (Hons.), CPA, MBA

Ms. A.K. Gunawardhana
LLB (Hons.) (Colombo)
LLM (Distinction) (Georgetown)
Attorney-at-Law

C.P.R. Perera

Name of the Company

The Colombo Fort Land & Building PLC

Legal Form

A Quoted Company with limited liability, incorporated under the provisions of the Joint Stock Companies Ordinance 1861 & 1888 on 30th April, 1895 and re-registered under the Companies Act No. 07 of 2007 on 3rd July, 2008.

Company No.

PQ172

Registered Office

No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 01.

Stock Exchange Listing

The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka.

Bankers

Commercial Bank of Ceylon PLC
Standard Chartered Bank
Hatton National Bank PLC
Indian Bank
Sampath Bank PLC

Auditors

Messrs. KPMG, Chartered Accountants

Legal Advisers

Messrs. Julius & Creasy
Attorneys-at-Law

Tax Advisors

Messrs. KPMG, Chartered Accountants

Managers & Secretaries

Corporate Managers & Secretaries (Private) Limited
No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 1.

